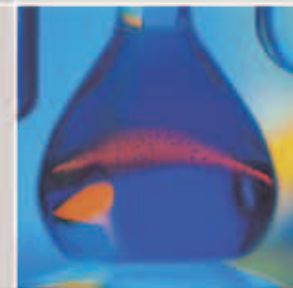




Granules India Limited

Annual Report

2005-06



Evolution

in a time of change



Granules India Limited

8-2-293/A/A/2, Road No. 2,
Banjara Hills, Hyderabad - 500 033
Ph. No. 040-2355 3266, Fax No. 040-2354 7894
www.granulesindia.com

Forward-looking statement

In this Annual Report we have disclosed forward-looking information to enable investors to comprehend our prospects and take informed investment decisions. This report and other statements - written and oral - that we periodically make contain forward-looking statements that set out anticipated results based on the management's plans and assumptions. We have tried wherever possible to identify

such statements by using words such as 'anticipate', 'estimate', 'expects', 'projects', 'intends', 'plans', 'believes', and words of similar substance in connection with any discussion of future performance.

We cannot guarantee that these forward-looking statements will be realised, although we believe we have been prudent in assumptions. The achievement of results is subject to risks, uncertainties and even inaccurate assumptions. Should known or

unknown risks or uncertainties materialise, or should underlying assumptions prove inaccurate, actual results could vary materially from those anticipated, estimated or projected. Readers should bear this in mind.

We undertake no obligation to publicly update any forward-looking statements, whether as a result of new information, future events or otherwise.

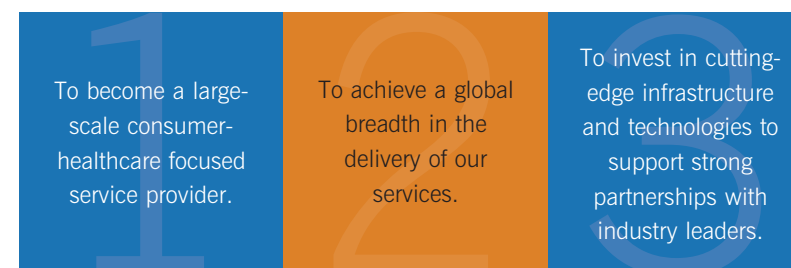
Contents

2	Corporate identity	14	MD's Message	18	Research and Development	22	Management discussion and analysis
		37	Financial summary	38	Board of Directors	39	Senior management team
40	Directors' Report	46	Corporate Governance	57	Auditors' Report	60	Balance Sheet
		61	Profit and Loss Account	62	Schedules	74	Cash Flow Statement
75	Balance Sheet Abstract	76	Section 212	77	Consolidated Accounts	92	Subsidiary Accounts

Corporate Information

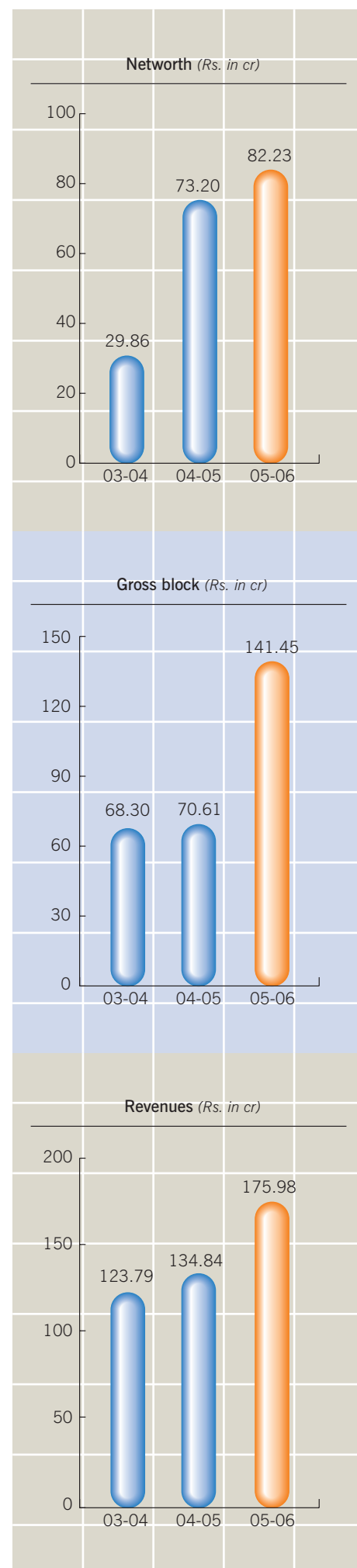
Board of Directors Dr. C. Nageswara Rao, <i>Chairman</i> Shri. L. S. Sarma, <i>Director</i> Shri. A. P. Kurian, <i>Director</i> Shri. N. R. Ganti, <i>Director</i> Shri. C. Krishna Prasad, <i>Managing Director</i>		Chief Financial Officer Shri. Pranesh Raj Mathur	
Registered Office 8-2-293/A/A/2, Road No.2, Banjara Hills, Hyderabad- 500 033		Company Secretary Mrs. N.Madhavi	
	Share Transfer Agents CIL Securities Limited 214, Raghava Ratna Towers, Chirag Ali Lane, Abids, Hyderabad Ph: 66661267, 66661276	Auditors M/s. Kumar & Giri, <i>Chartered Accountants</i> D.No. 1-11-126/D, Opp. Aeroview Towers, Begumpet, Hyderabad – 500 016	
R & D Centre Gagillapur, Qutubullapur Mandal R. R. District, A.P – 500 043.	Bankers Andhra Bank ING Vysya Bank IndusInd Bank Bank of Baroda Union Bank of India Export-Import Bank of India State Bank of Travancore	Plant Locations Plot No.15/A/1, Phase-III I.D.A. Jeedimetla, Hyderabad – 500 055 Temple Road, Bonthapally Medak District, A.P – 502 313 Gagillapur, Qutubullapur Mandal R. R. District, A.P – 500 043	

At Granules our vision revolves around three critical drivers.



It gives us pleasure to state that in the last few years we evolved our business model in line with our vision. And emerged progressively relevant, global and competitive.





Pharmaceuticals, outsourcing and Granules India Limited

The pharmaceutical industry is one of the largest the world over.

In this space, the outsourcing of products and services to low-cost, quality-driven geographies represents one of the most fundamental shifts in structure that the industry has seen over the last few decades.

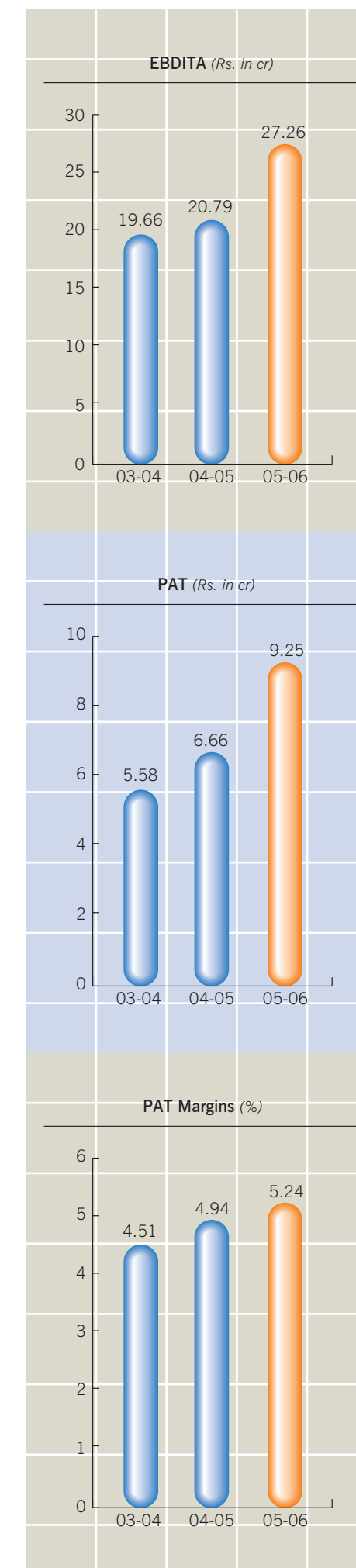
Going ahead, this represents a significant opportunity. For global brands to reduce costs and for selectively dispersed manufacturers to grow their size.

Granules India Limited is one of the creations of this global phenomenon. Over the last two decades, the company has capitalised proactively on this evident industry trend through its single minded vision to emerge as a dependable global outsourcing partner. With a difference.

Granules has evolved itself from a process outsourcing partner into an integrated outsourcing partner capable of offering formulations and regulatory outsourcing services as well.

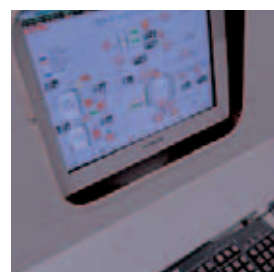
The growing success of the company's business strategy is demonstrated in its financial results for 2005-06: a 30.51% increase in turnover to Rs.175.98 cr and a 38.88% increase in profit after tax to Rs.9.25 cr.

Both numbers were the highest ever in the company's existence.



Differentiated business model.

This is what reinforces Granules' outsourcing proposition



In the global pharmaceutical industry, successful outsourcing is influenced by the nature of the service provider's business model.

This business model is influenced by the following: scale, cost leadership, regulatory strengths, global distribution capabilities and supply chain efficiencies.

At Granules, we have not just accounted for these drivers but are pleased to state that our business model is unmistakably distinctive for the following reasons:

Extended value-chain: At Granules, we address an extended value chain from the manufacture of API to PFI to Finished Dosages at one level and the research and development for regulatory approvals at the other. In doing so, the company possesses the strategic flexibility to convert an API customer into a PFI customer and vice-versa; or a PFI customer into a formulations customer or vice versa; or handhold a product partner into value-added research.

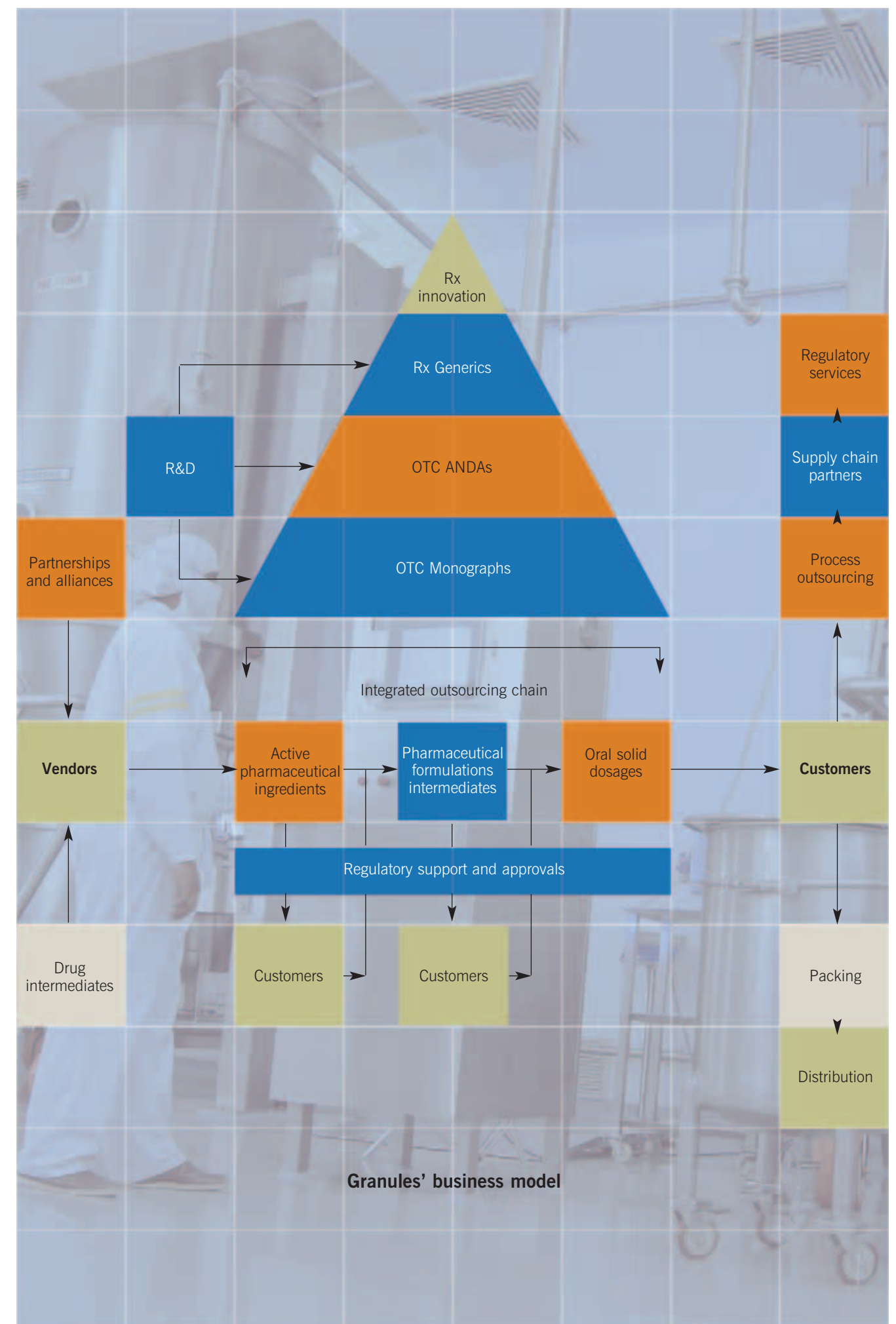
Segment: At Granules, we have focused significantly on the growth arising out of the voluminous OTC segment; we are also capitalising on opportunities to develop products for customers within the prescription segment through contracted partnerships.

Partner, not vendor: At Granules, we have consciously positioned

ourselves as a partner of our customers. The company has worked backwards to not just commission equipment, processes and practices compatible with the size and quality standards of our downstream users; the complement of a technical know-how, bringing in a differentiated service and cost offering, has resulted in repeat business making it possible for us to seek growth from the same customer and also achieve brand-enhancing referrals that can potentially lead us to other large customers.

Product portfolio: At Granules, we have de-risked our business model through structured and focused product selection process. Our products are those that have been subjected to significant erosion in margins. We add value using our unique know-how on products ranging from APIs to multi active PFIs and formulations, thereby offering different value chain options to our customers. At the same time, our service offerings in contract manufacturing, as well as on a partnership basis for prescription products enables us to benefit from market upsides, without the corresponding risks of value erosion.

As a result, Granules' business has emerged progressively de-risked, scalable, profitable and sustainable.



Our focus on the niche PFI segment protected us from price declines and intensive competition



At Granules we went into business through the trading of APIs and extended gradually into relevant manufacture.

However, even as we were engaged in production, we responded to the threat of declining realisations and margins in the API space through the following initiatives:

- Venturing to work in the area of niche PFI manufacture, involving the production of a ready-to-compress mix of APIs and excipients (inactive substances used in formulations) that can be directly fed by formulators into the hopper for onward compression into tablets, a step higher than API manufacture in the pharmaceutical value chain. As a result, the Company was relatively protected from the intense competition affecting the latter segment.
- Extending to the manufacture of PFIs, extending global pharmaceutical players from the outsourcing of APIs to a granulated product, saving them time, people and overheads on the one hand and providing an opportunity to focus on business-enhancing R&D, marketing and distribution on the other.
- Expanding the PFI capacity to commission the world's largest stand-alone multi- product granulation facility at Gagillapur comprising the world's largest single batch capacity of 6,000 kgs, facilitating a further reduction in costs for its customers.

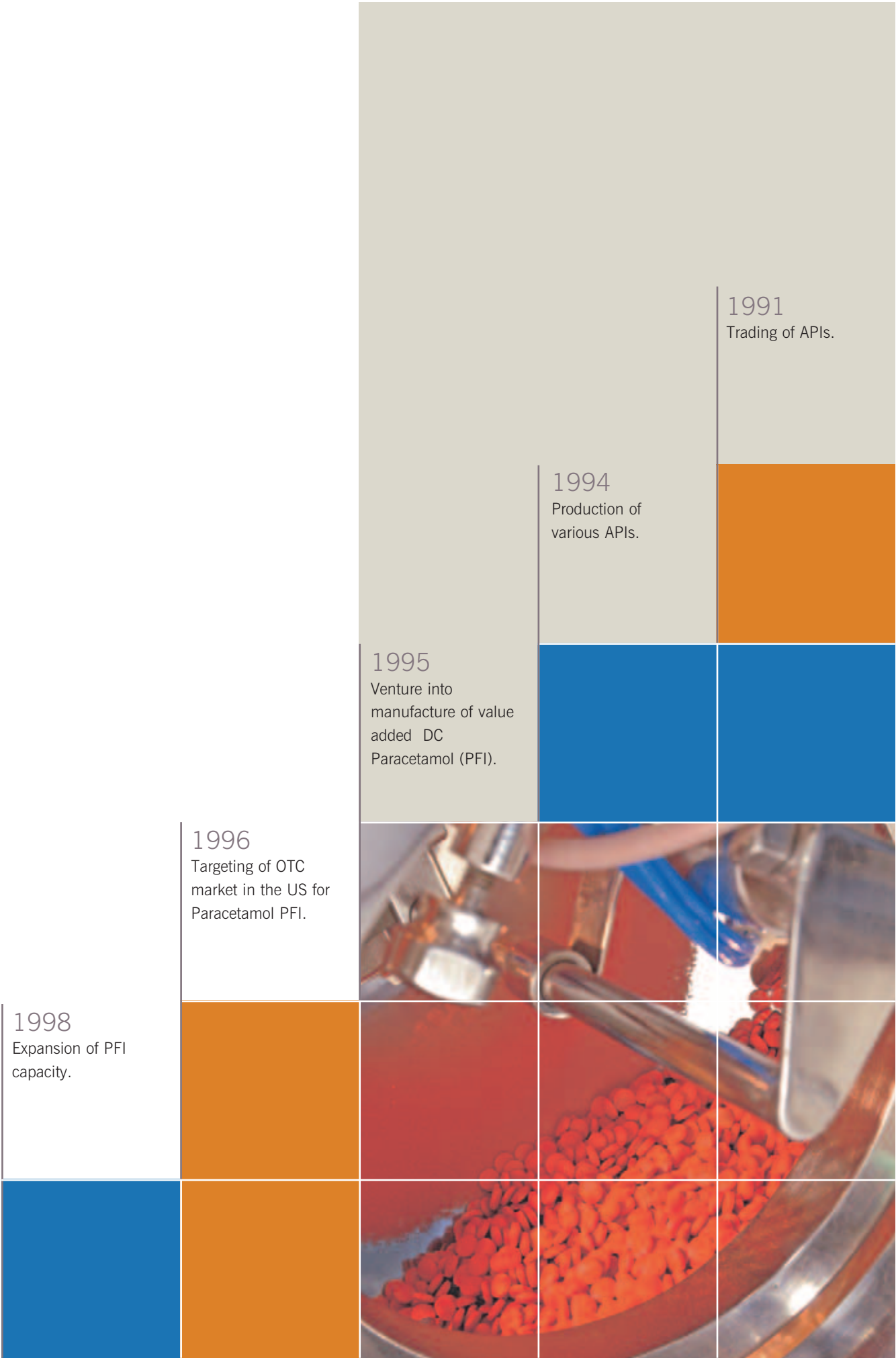
Today, Granules is one of the few in the

world enjoying regulatory approvals for its PFI plant from all the major regulatory authorities - the USFDA, the Canadian TPD, Australian TGA and the German HA – enabling it to service the growing needs of many of the largest global pharmaceutical majors.

At Granules, we are happy to state that even as most competing PFI manufacturers have selected to specialise in a single product, we have differentiated our business model through the following initiatives:

- We are the only Company in the world to manufacture PFIs beyond high bulk drugs like paracetamol and aspirin.
- We are among the few PFI manufacturers to extend beyond high volume products to relatively low volume, high cost products like guaifenesin and metformin.
- We are the only PFI Company in the world to commercially manufacture combination PFIs (using multiple APIs).

It is this ability to innovate that provides the Company a competitive edge, inspires customer confidence and distributes revenues across a wider product basket; this de-risks the business on the one hand and provides for sustainable growth on the other.



Graduating ourselves into the

supply chain partners

of our customers resulted in a win-win proposition for customer, Company and consumer

2000

Backward integrating into Acetaminophen API through acquisition of Triton Laboratories

2000

USFDA approval for PFI and other APIs.

2001

Development of new PFIs such as Guaifenesin, Metformin, Ibuprofen etc.

2002

Filing of new DMFs of the new PFIs and moving up the value chain in OTC products.

At Granules, after we had established our presence in the area of PFI outsourcing, we sought partnering opportunities within the industry supply chain that would lead to sustainable relationships, revenues and win-win benefits for customers and the company.

As the pharmaceutical companies recognised the opportunities in outsourcing PFIs for their OTC products, Granules was among the first to identify that, to emerge as a successful outsourcing partner for formulator-customers, it required to consistently offer low cost solutions without compromising product properties and quality.

As an opportunity-focused manufacturer, Granules evolved its role from mere PFI outsourcing to supply chain partnership with accompanying benefits of bulk purchases, logistics and backward integration leading to a comprehensively low cost solution for our customers and enhanced margins for the company.

In doing so, the Granules business model provided for seeking margin increases through in-process improvements marked by the following initiatives:

Role recognition: At Granules, we do not just see ourselves as a supplier; we see ourselves as a critical partner in the supply chain of our formulator-customers. As a result, we do not only consider it important to manufacture products with a high quality standard, we consider it equally important to deliver customised solutions to requirements across the world.

High volume purchasing: At Granules, even as the raw material

going into most of its end products are the same, the varying proportion and different treatment has helped the Company manufacture a range of end products. The uniformity in inputs helped the Company purchase raw material in bulk and leverage related economies of scale; the fact that Granules is one of the largest buyers of select APIs and excipients in Asia (and the largest in India for some of the others) has enabled it to maximise purchase efficiencies for the benefit of its customers although servicing diverse formulae for the same product.

Over the years, Granules has strengthened its sourcing efficiencies through the following initiatives:

- Long-term contracts with vendors covering quantity and price.
- Preferred import of quality raw material to avail of the import duty exemption (since most of its plants are export oriented).
- Purchases in bulk, enabling it to negotiate lower prices.
- Ongoing monitoring of international price movements facilitating the purchase of the right quantity at the right time at the right price.
- Purchases from approved vendors who follow the international regulatory requirements reinforced by vendor plant audits.

Backward integration: Granules acquired Triton Laboratories, a leading manufacturer of raw material acetaminophen (Paracetamol), an effective API backward integration. Gradually, the Company extended beyond acetaminophen and today possesses an installed capacity of over

12,000 TPA of API capacity across three manufacturing plants. As the Company increases its market share in the OTC segment for PFIs, the new 8,000 TPA Bonthapally plant (commissioned in March 2006) will enable it to captively meet its entire requirement of paracetamol, a major raw material. This backward integration will enhance quality control, minimise production cost and protect delivery schedules.

Value chain: Within the API segment, Granules has climbed the value chain through an extension beyond manufacturing just OTC monographs to the manufacture of various complex APIs that are high in value.

Scale: Granules has reinforced its industry standing through an installed API capacity of over 12,000 TPA across three plants.

Regulatory approval: Granules' API facilities are benchmarked in line with international regulatory requirements with approvals from the USFDA, WHO cGMP and EDQM.

This sequence of low cost and high quality strengthens the outsourcing proposition at one level and enables the company's customers to pass on cost declines to their respective consumers, creating a virtuous cycle across the entire consumption chain.

A fully
integrated outsourcing partnership
is an over-riding value proposition for our customers

With the escalating competition in the pharmaceutical markets, there is a need for transactions to evolve into relationships and suppliers to extend their role into partnerships.

Over the years, Granules integrated its value chain in response to this growing need. As compared to a manufacturer and direct seller of highly competitive generic drugs, we embarked on a strategy based on strengthening our existing presence in the pharma value chain through the following initiatives:

Formulations: In climbing the value chain, Granules is developing its core competence around finished dosages with the launch of a 12 billion tableting capacity, making it the largest such facility in Asia. The phase I of the project (capacity six billion tablets per annum) will be commissioned by March 2007.

One-stop: Granules' integrated business model will help generate revenues from multiple sources (APIs, PFIs and Finished Dosages), enabling it to widen its customer portfolio, enhance margins and drive sustainable growth. This will represent a one-stop integrated pharmaceutical outsourcing solution.

Scale: Granules developed API and PFI manufacturing capacities benchmarked with the prevailing international standards. The company's 7,200 TPA PFI facility (Gagillapur) is the largest stand-alone multi-product granulation facility in the world, resulting in a capability to deliver material almost on-demand to customers the world over. Its largest

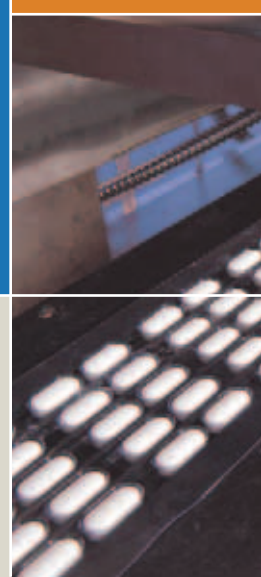
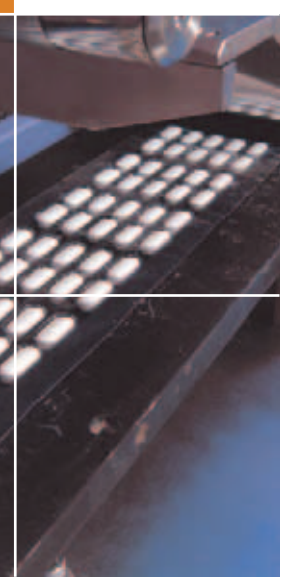
single batch manufacturing capacity of 6,000 kgs enables it to reduce operational and analytical testing costs for itself and customers. Its 12 billion finished dosage facility will be the largest in Asia.

OTC focus: The business model at Granules is focussed on generating aggressive growth from the OTC segment (where the cost of granulation and tableting constitutes a major cost in the finished dosages) through its integrated service offerings.

Granules' strategy to focus on the OTC segment is advantageous for yet another reason. Increased health awareness is driving the demand for OTC products in the developed markets such as North America, Japan and Western Europe, and also in emerging markets such as Eastern Europe and Asian markets including China, Indonesia, India and the Philippines. The US market for select over-the-counter (OTC) drugs at the manufacturer level has been estimated at over USD 10 billion. This will increase to approximately USD 13 billion by 2007. In UK, the total over-the-counter (OTC) pharmaceuticals market was estimated at £2.1 bn at retail selling prices (rsp) in 2005, a rise of 3.7% on 2004. As per a CII report, the OTC market in China, practically non-existent today as defined by Western standards, will grow at a compounded annual rate of 19%, from about USD 1 billion in 2000 to about USD 5.7 billion in 2010. Globally, the OTC segment is expected to grow from USD 59.70 bn in 2004 to USD 102 bn in 2009, at a CAGR of 11.31%.

Health awareness is expected to underpin the continuing consumer trend towards self-medication, as preventative medicine is deemed the more economic and convenient option over the increasingly high costs associated with visits to healthcare professionals. Problems associated with ageing like arthritis and osteoporosis, are key factors underpinning long-term demand for products such as analgesics, digestive remedies and dietary supplements in the developed economies of North America and Western Europe. Similarly in China, a booming economy, improvements in living standards and a higher level of disposable income have resulted in higher allocation of disposable income to self-medication, boosting demand for OTC healthcare products.

In line with its overall strategy of offering end-to-end solutions to companies on OTC products, Granules is also entering into a 50:50 Joint Venture agreement with Hubei Biocause Heilen Pharmaceutical Company (Biocause) of China, one of the largest Ibuprofen manufacturers and exporters in the world, to manufacture and sell pharmaceutical APIs starting with Ibuprofen. The high levels of GMP compliance of Biocause's facility and capability to manufacture Ibuprofen for Europe and the USA will provide the Company with a strong manufacturing base in China, one of the fastest growing pharmaceutical manufacturing bases in the world, in the area of high volume APIs.

			2003 Setting up of the world's largest, stand alone international standard PFI facility with a capacity of 7,200 TPA.
		2004 The only Company in the world to manufacture combination PFIs on a commercial scale using different basic APIs with other excipients.	
	2005 Commenced construction of a 12 billion tablet per annum capacity facility, currently under implementation.		
2006 Commissioning of new 8,000 TPA internationally benchmarked API facility for paracetamol taking the total capacity to 12,000 TPA.			



Our regulatory services

provide us the global delivery breadth beyond process outsourcing

In the global pharmaceutical industry, there are two discernable trends: the shift in regulatory environment of most countries from easy-to-enter unregulated and semi-regulated markets to the more regulated markets, requiring pharmaceutical companies to upgrade their processes and products in line with this shift in the marketplace; there is also a rising pressure on global pharmaceutical companies to reduce their cost of manufacture.

As a future-focused organisation, Granules has responded to these needs in a timely way: it evolved into a regulatory supporting outsourcing partner with Amneal Pharmaceuticals LLC (United States). Amneal was given the USFDA approval for their metformin ANDA, filed with Granules' PFI.

- It was the first time that the USFDA approved an ANDA with PFI as its raw material, making it a landmark approval for the industry and company.
- The approval was received within 11 months of filing, reflecting the company's regulatory competence.
- The ANDA approval for metformin established the company's ability in improvising outsourcing offerings to products beyond OTC products. It has showcased the company's capability to commercialise the granulation concept not only at the lower levels of the value pyramid like OTC monographs but also at higher prescription product levels.
- The approval has opened out attractive opportunities as global pharmaceutical companies will now use

the PFI concept in their ANDAs to enhance their ANDA filing capacity and reduce the time-to-market (as most of the regulatory information usually contained in the ANDA is already available in the DMF for PFI)

Such contractual partnerships adapted for the prescription segment revolving around technology-based outsourcing will ensure that the Company does not compromise on the high value prescription market even as it aggressively targets growth opportunities in the high volume OTC segment.

Granules has strengthened its case through the following periodic investments:

- The Company commissioned its new Class hundred thousand 3,500 sq ft formulations research and development facility in January 2006.
- The facility received an approval from the Canadian TPD and the Australian TGA.
- This facility is equipped with state-of-the-art equipment, manned by a team of qualified and experienced R&D personnel
- The R&D team is qualified and experienced to deal with regulatory filings for stringently regulated markets like USA, UK, Canada and Australia, making the Company truly global in its R&D expertise.

R&D at Granules is targeted towards new product development leading to a wider portfolio, new process innovation and lower costs.

As a future focused company, Granules is also climbing the R&D value chain: having consolidated its position in the OTC monograph segment, the Company is consolidating its position in value-added OTC ANDAs with ANDAs of over five products currently under development (expects to file at least eight to 10 ANDAs over the next 12 months). The Company will gradually transcend immediate release dosage forms to value-added dosage forms (sustained release dosage forms, sachet type products, easily administrable Pressfit dosage forms like gelatine encapsulated tablets and fast disintegrating effervescent tablets).

This growing R&D strength in the area of formulations and regulatory compliance places Granules in the higher league of the pharmaceutical value chain, potentially protecting it from price erosions and strengthening its margins in the OTC segment.

After its successful partnership with Amneal Pharmaceuticals, the Company expects to forge more such partnerships in the growing prescription segment; the contractual partnership approach revolving around technology-based outsourcing will ensure that the Company does not yield ground in the high value prescription market even as it targets aggressive growth in the large OTC segment.



MD's message

“I am confident that as we at Granules transform these strategies into actions, we will emerge as a leading global service provider within the OTC segment.”

Dear Shareholders,

At Granules India Limited, we had a satisfactory year-2005-06 for a number of reasons:

- Our new 8,000 TPA API plant for paracetamol, benchmarked to cGMP standards was commissioned in March 2006 at Bonthapally; this will help us to integrate backwards towards low cost solutions, helping us consolidate our position within the OTC monograph segment.
- We strengthened our formulation expertise and services through the commissioning of a new formulations R&D centre in January 2006, strengthening our value chain.
- We are adding to our existing 300 million tablets per annum capacity with a greenfield 12 billion tablets per annum formulations plant; phase I of the project (capacity six billion tablets per annum) is expected to be commissioned by March 2007.
- While our revenues increased by 30.51% to Rs.175.98 cr, our net profit increased by 38.59% to Rs.9.23 cr, strengthening our net margin by 30 basis points to 5.24%.
- We generated a return of 13.74% on our employed capital (previous year 14.71%); the marginal decline was on account of increased investments in capacity expansion, the corresponding returns on which will accrue to the Company only over the coming years.

Going ahead, the future looks even more promising. In August 2006, for the very first time, the USFDA approved an ANDA with a PFI (Pharmaceutical Formulation Intermediate) as a raw material; this approval was for Amneal's metformin HCl ANDA

using the Granules' PFI.

This approval is exciting for a number of reasons:

- It vindicates our presence within the segment
- It has opened up the prescription market for Granules
- It has endorsed our ability to handle commercial granulations of any product, a know-how developed by us over the last ten years
- It has extended our understanding of the integration at our customers' end to formulations and regulatory approvals.

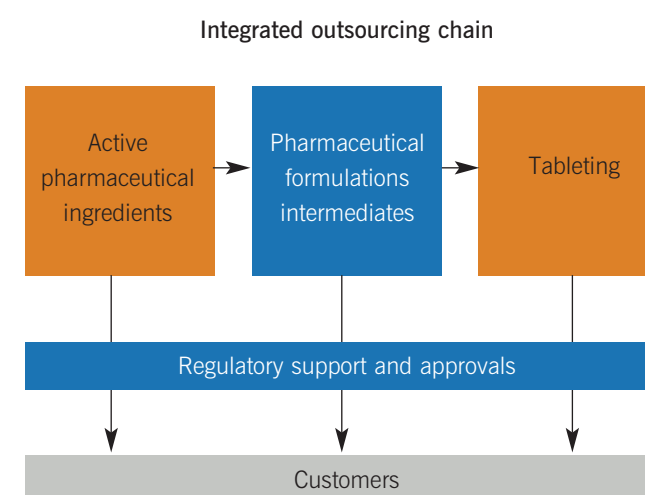
Integrated outsourcing chain

At Granules, we have consciously positioned ourselves in the OTC segment, the largest end of the pharmaceutical value pyramid. In this competitive high-volume and low margin segment, we have protected our margins through a progressive extension from trading in APIs to the manufacture of APIs and PFIs to a strong backward integration into the manufacture of strategic APIs, emerging as a complete and dependable supply chain partner. Concurrently, the Company reinforced this positioning through an investment in scale with two objectives: to meet the growing needs of customers and to leverage related economies, a win-win benefit.

The result is that our expertise and experience in handling large-scale OTC monograph products is now well recognised. Following the commissioning of our 12 billion-tablet capacity formulations plant, the largest in Asia, Granules will leverage its experience and understanding of its core PFI business to

successfully integrate into the next stage – the compressing of granules into tablets. The Company will therefore emerge as a completely integrated outsourcing player within the OTC monograph segment with the competence to offer multiple product streams – API, PFIs and tablets.

This will be an important facility; benchmarked to cGMP standards with a capacity of 12 billion tablets, it will offer economies of scale and address the cost reduction needs of our large global pharmaceutical majors. Besides, an integrated presence across an extensive value chain will eliminate price additions at every point of conversion, thereby reducing costs for formulators and enhancing margins for Granules – a win-win proposition for both.



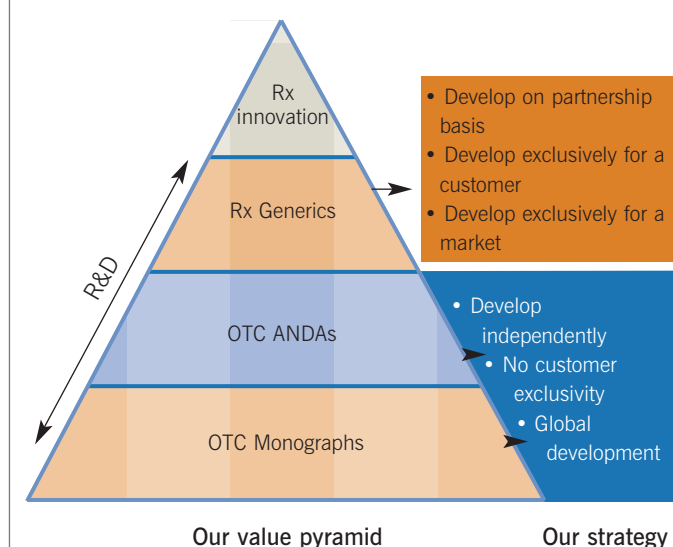
Following the consolidation of our presence within the OTC monograph segment, we realised that we need to climb the value chain of services. In view of this, we are now targeting OTC ANDA and prescription products.

Research and development

Globally, pharmaceutical majors are looking at outsourcing to control operational costs. Over time, outsourcing is no longer limited to mere manufacturing but has extended to value-added research and development, inspiring Granules to build relevant R&D capabilities. As a result, the Granules Class 100,000 R&D facility is equipped with state-of-the-art infrastructure / equipment and approved by the Canadian TPD. The company's 16 member R&D team is qualified and rich in experience; it is headed by a highly experienced professional with over 14 years of experience in formulations R&D within the OTC segment.

Besides, our global product development approach ensures that our documents and dossiers address a substantial portion of the requirement of all the four major global regulated authorities - the US, Western Europe, Canada and Australia - thereby shrinking the application and regulatory approval time

for our customers. This technical competence and world-class infrastructure, combined with our regulatory competence and low cost solutions, offer an unbeatable value proposition to our global customers.



Value pyramid

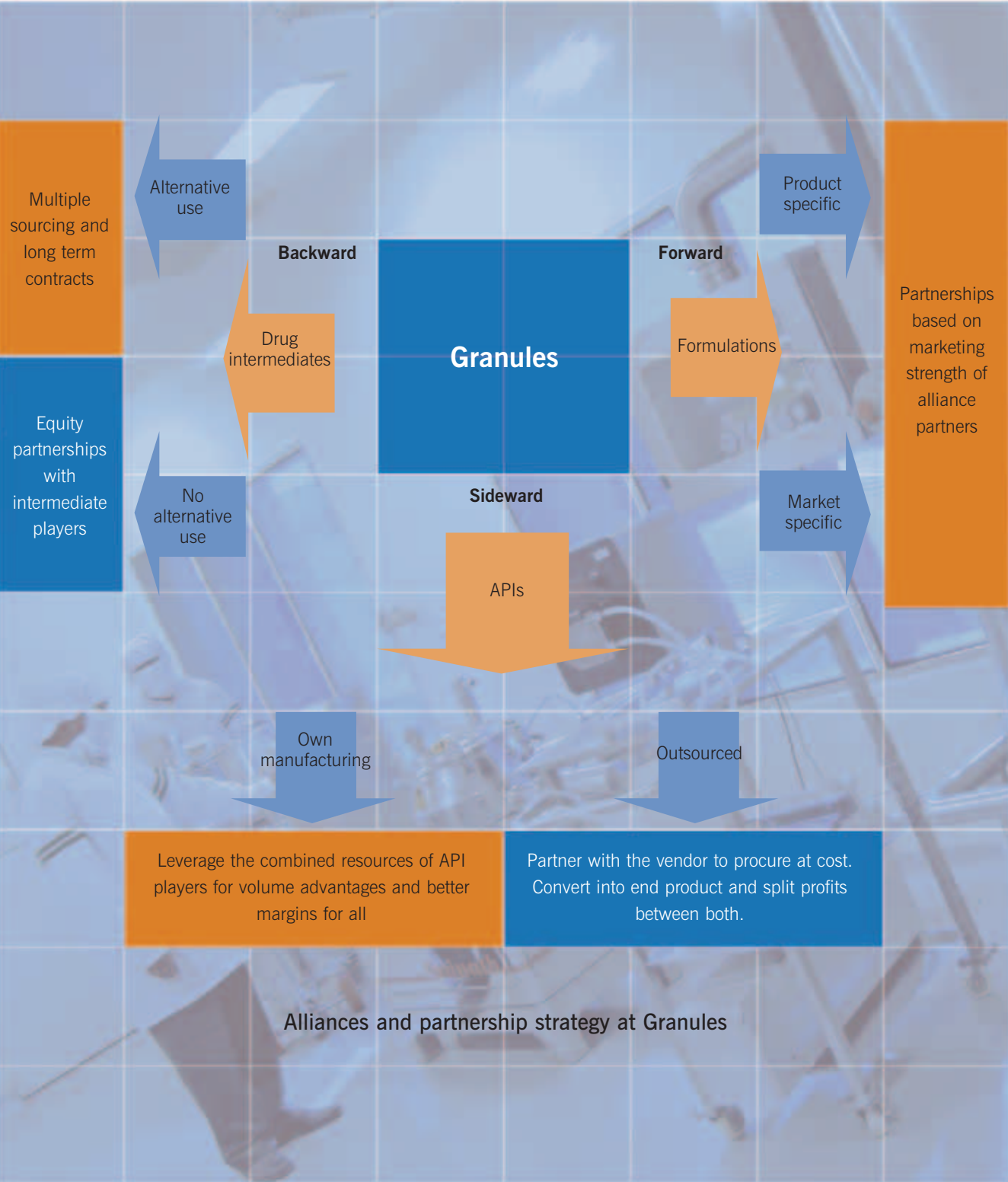
Going ahead, we intend to reinforce our OTC presence by widening our product portfolio to cover the entire range of OTC products – OTC monographs and OTC ANDAs. Besides, our portfolio of analgesics, cough and cold products will be complemented through the addition of anti-ulcer and anti-histamine OTC ANDA products by the end of 2007.

Since product development in the pharmaceutical industry is generally characterised by a lead time of at least 18 months before they can generate significant revenues, we are independently developing a range of OTC products and looking at partnering opportunities for prescription products like metformin to help us fund product development without compromising margins.

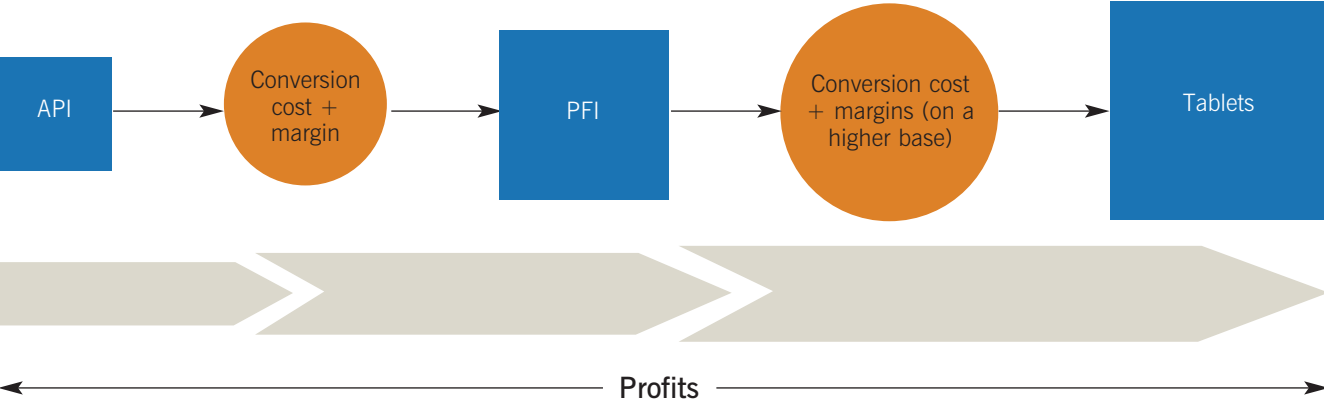
Partnerships and alliances

At Granules, we are also seeking opportunities in partnerships and collaborations - raw materials and formulations - to strengthen our leadership position. For granulation and formulations, our alliance strategy shall address different industry marketing channels. Since different products are marketed in different ways in different countries depending upon the regulatory and product requirements, our alliances and partnerships will be based on the marketing strength - product or region specific - of our alliance partners. For instance, we shall partner with OTC players enjoying a significant retail and distribution presence while for prescription products we may look at partners with strengths in that specific therapeutic category.

At Granules, we are seeking opportunities in partnerships and collaborations - raw materials and formulations - to strengthen our leadership position.



At Granules, we are also entering into partnerships and alliances for intermediates and APIs to secure our supply of raw materials and stabilise margins. For intermediates with alternative uses, we will secure supply through multiple sourcing across long-term contracts; for intermediates with no alternative use, we will look at partnership opportunities – both equity as well as non-equity – to insulate our costs from volatile market movements.



Since margins are thinning at the API stage in a competitive OTC market, the company's proposed partnerships and alliances will not just de-risk the business but also enhance profitability. For instance, in areas where the Company is competing with a number of players for the same API, it will enter into joint alliances of mutual benefit: these alliances will provide us with an access to new markets as well as economies of scale in purchases and sale; for certain APIs, the Company will also look at partnerships that facilitate outsourcing at cost, eliminating margins at the API stage, and after being converted into granules and formulations, shall be sold to formulators with the margins being shared by the partners. Since these partnerships will eliminate margins at the intermediate stages, they will reduce costs for us and increase profits for both the API partner and Granules. This has already transpired in the case of ibuprofen; where in a normal transaction the API player would earn only 9%, through the partnership route, returns increased to 12.5% (on a higher API base plus conversion cost).

Granules entered into a memorandum of understanding for a 50:50 joint venture partnership with Hubei Biocause Heilen Pharmaceutical Company of China, one of the largest manufacturers of ibuprofen in the world. Granules will be responsible for the development and growth of the market for the products manufactured by the joint venture entity. This partnership will not just provide Granules with a strong manufacturing base in China; it will also secure the company's supply of ibuprofen (key product in its OTC basket), enabling it to offer end-to-end solutions to OTC product companies.

Senior management team
To help us implement our strategies we have also strengthened

our senior management team with qualified experts in their relevant field.

Our senior management team comprising Dr. B. R. Reddy (Director PFI Operations), Mr. G. V. R. Nagesh (Senior General Manager, Operations), Mr. Pranesh Raj Mathur (Chief Financial Officer) and Mrs. S Bhavani (Head Supply Chain Management) was further strengthened by the induction of Dr. K.R. Kumar as Director, R & D (facilitating and providing an improved research focus), Mr. Vaidyanathan Nateshan as General Manager-Business Development (actively involved in expanding the company's presence across newer businesses and geographies while strengthening the existing business model) and Mr. Sandeep P Vaijapurkar as General Manager, Operations (to oversee the new Bonthapally API unit).

This realigned managerial team, with its renewed enthusiasm, focus and rich competence will lead the Company in all its future endeavours.

I am confident that as we at Granules transform these strategies into actions, we will emerge as a leading global service provider within the OTC segment. An integrated presence across the pharmaceutical value chain will strengthen our revenues, enhance profits and widen our margins; as we climb this value chain, we will create a strong foundation at the lower end before graduating to the next level, creating de-risked, secure and sustainable growth well into the long term.

Yours sincerely,

C. Krishna Prasad
Managing Director

Research and development

Our growing expertise



At Granules, we expect to capture growing R&D outsourcing opportunities. As a result, even though the Company is currently focused on the OTC segment (monographs and ANDAs), it intends to gradually enhance its presence in the prescription segment as well.

The US market for select OTC drugs at the manufacturer's stage is estimated at over USD 10 billion and is expected to increase to approximately USD 13 billion by 2007. Future Rx-to-OTC switches, new product introductions, population ageing, sustained advertising, deregulation in developing countries like China and a focus on core brands by large companies are driving OTC growth. As a result, the average annual non-prescription drug industry growth of 2.4% is expected to grow the OTC market to USD 18.6 billion by 2010.

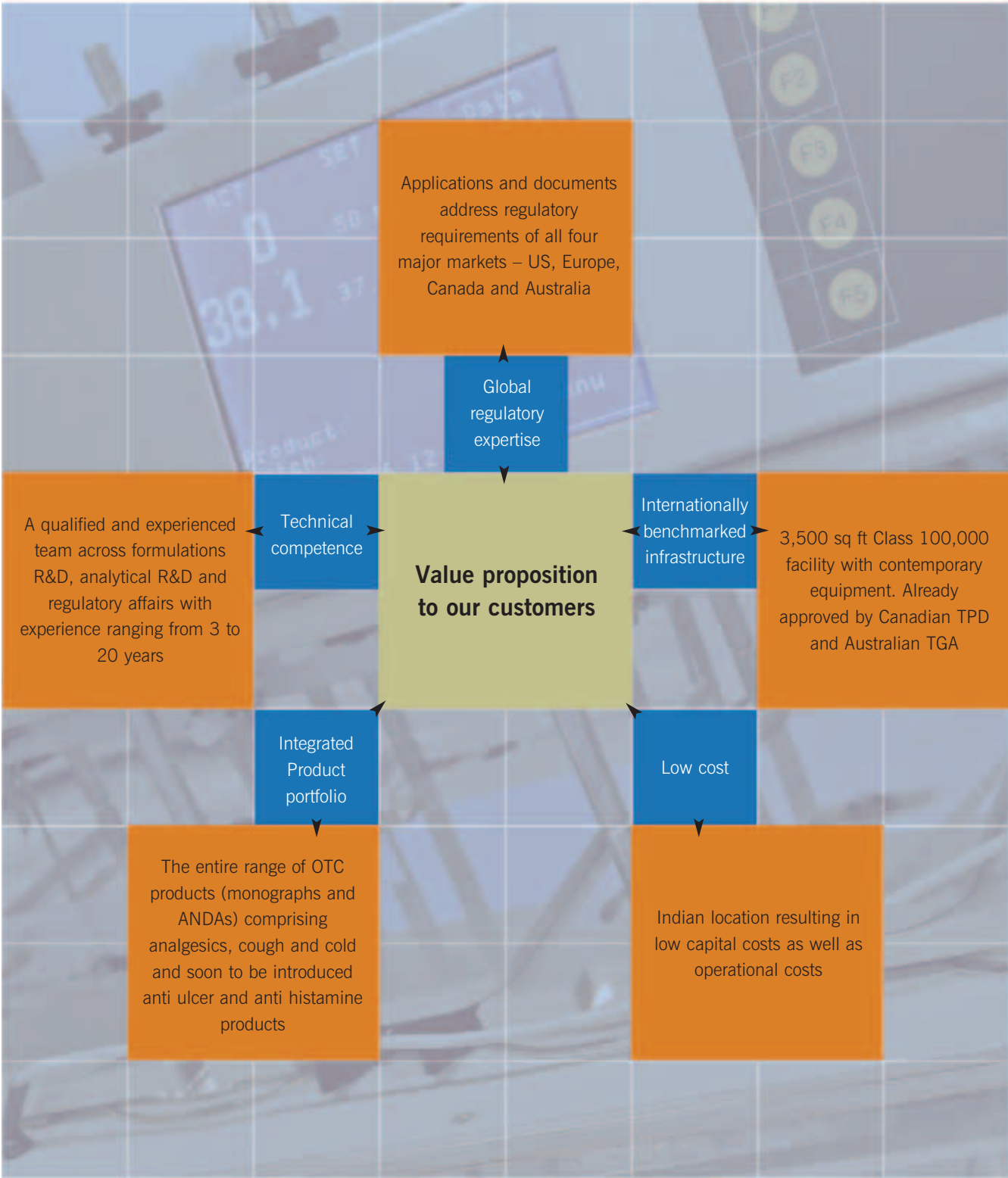
Since OTC products are inherently low margin and high volume in nature, the inflated cost structure of the developed markets and governmental pressure to reduce healthcare costs are inducing global companies to seek low cost outsourcing opportunities in China and India. While China offers a cost competitive solution and contemporary infrastructure, India's vast pool of qualified scientists and regulatory experiences offer a dual advantage: technical and regulatory competence on the one hand combined with infrastructure and low cost solutions

on the other. This makes it a preferred outsourcing destination for value-added R&D solutions. Today, the highest number of DMFs filed with USFDA and the second largest number of ANDA filings are from India. Besides, the growing importance of India within the global industry space is reflected in the fact that the United States Pharmacopoeia has an office in Hyderabad, India.

In line with growing opportunities, Granules strengthened its formulations R&D through investments in world-class infrastructure and global technical expertise, enabling it to capitalise on growing opportunities.

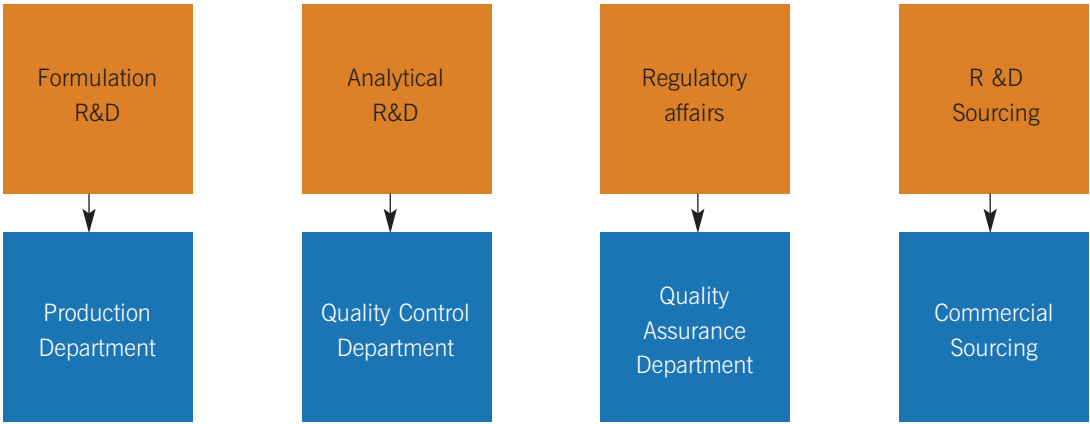
Technical and regulatory competence: The Company inducted Dr. Kumar, a senior R&D professional, to drive its R&D initiative. A PhD in pharmaceuticals from Auburn University, Alabama, Dr Kumar enjoys an experience of over 14 years in the OTC segment, eight years in the US industry. For four years, he served as the R&D head of Perrigo in USA before heading to India. Responsible for bringing Perrigo, the largest OTC pharmaceutical Company in the world, to India, Dr Kumar was its R&D chief before he joined Granules in February 2006. Dr Kumar brings with him a significant technical competence and expertise within the OTC pharmaceutical space, supported by a team of 16 R&D professionals with relevant qualifications and experience.

In line with growing opportunities, Granules strengthened its formulations R&D through investments in world-class infrastructure and global technical expertise, enabling it to capitalise on growing opportunities.

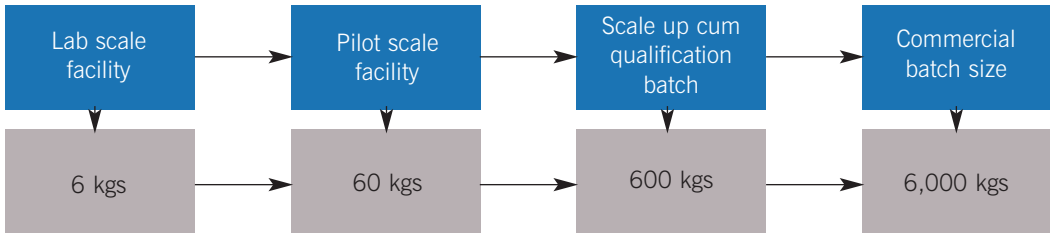


At Granules, these professionals are assigned to address four major R&D areas – Formulations R&D, Analytical R&D, Regulatory Affairs and Sourcing. While the Analytical R&D team is responsible for method development, method validations, analytical testing of samples generated by R&D activities and stability studies, Formulations R&D is responsible for formulations and process development. The Regulatory Affairs team generates regulatory documents for dossier filings with the regulatory authorities in the required CTD format. The technical competence of the regulatory team is evident from the fact that the dossiers at Granules address a substantial portion of the regulatory requirements of the four major regulatory authorities of the world (USFDA, Canadian TPD, Australian TGA and Western Europe). This stringent global development approach significantly reduces application complexities and minimises application time at the time of filing.

This comprehensive expertise ensures an integrated R&D approach and smooth scale-up from the R&D to the production stage.

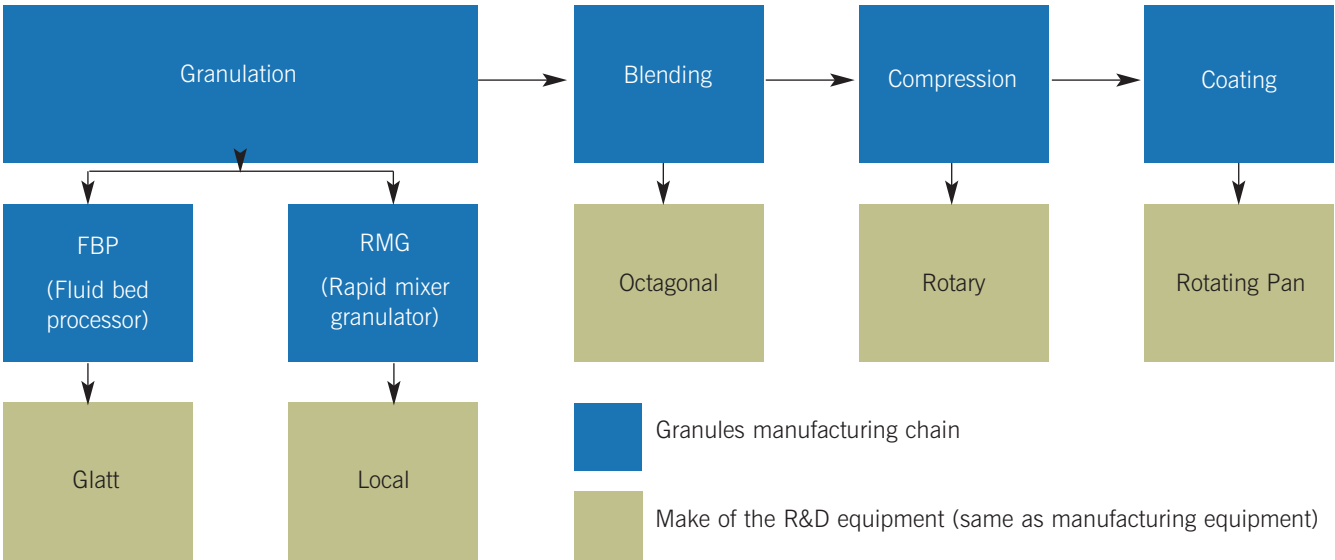


Infrastructure: The company's 3,500 square feet R&D facility at Gagillapur has been designed and equipped as per international and extra-industry norms; it intends to expand this facility to 7,000 square feet by 2007. The company's entire R&D facility has been designed in line with the 10X scale up allowed by the FDA. As per the FDA requirements, for an ANDA approval received based on an application comprising bio batch scale of X (say 100,000) tablets, the maximum production scale allowed is 10 times of bio batch scale (i.e. 10X or 1,000,000 tablets). Granules' R&D facility ensures that right from the beginning the scale-up from one stage to the next is in terms of 10X requirements of the FDA, thereby ensuring a technically strong application and minimising application approval tenure by the regulatory agencies.



10X scale up at Granules

Besides, the R&D equipment used by Granules is identical to the ones used in its manufacturing facilities, ensuring a smooth transfer from R&D to commercial production, strengthening the confidence of global customers.

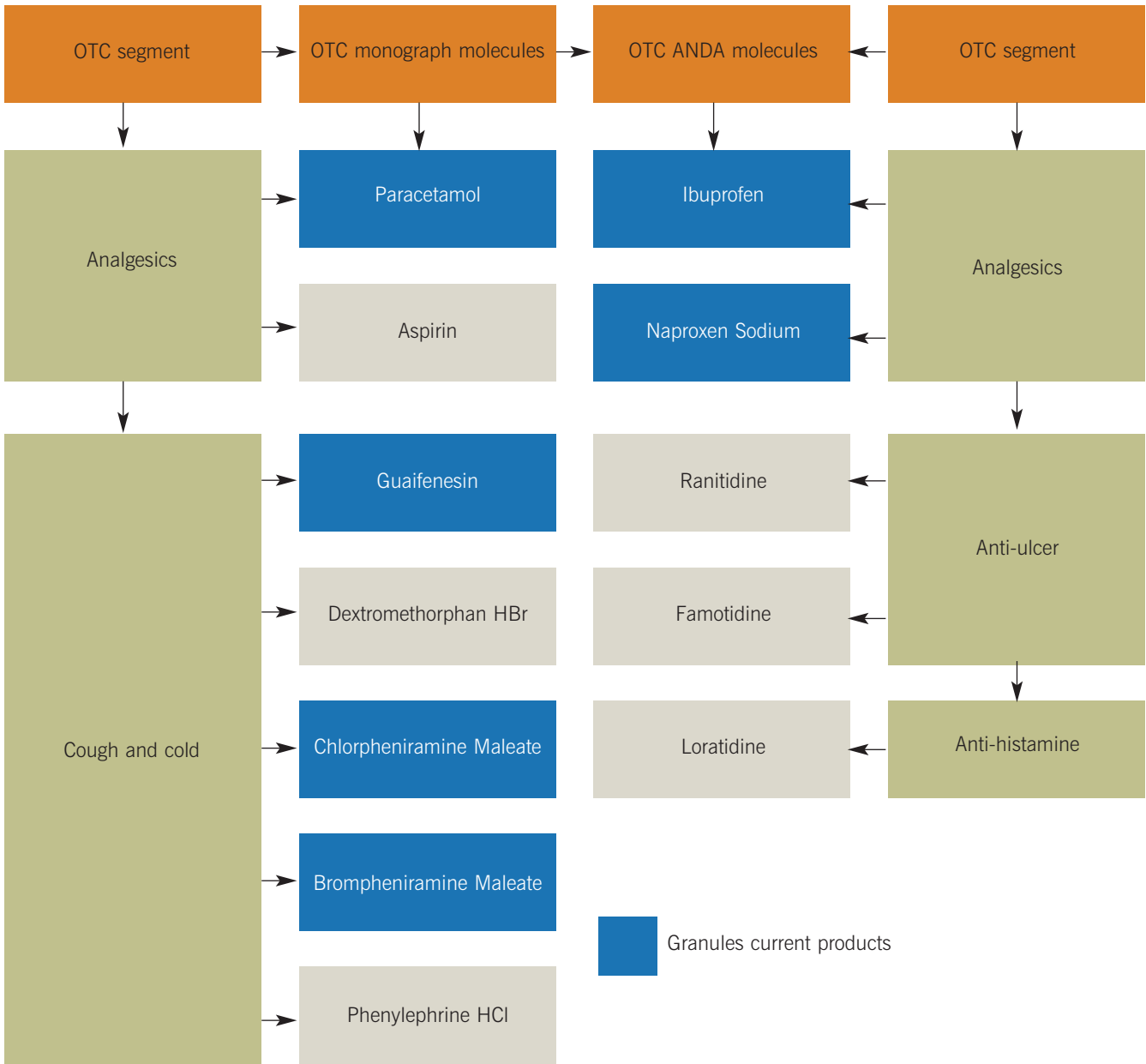


The company's commitment to quality is reflected in its Class 100,000 R&D facility. This ensures a dust-free quality air through the use of an air handling system (comprising air filters and ducts) normally used only within a manufacturing facility.

The company's R&D strength is reflected in an approval received from Canadian TPD within just nine months of the commissioning of its facility. The facility has been inspected by the Australian TGA and approved.

OTC portfolio: The company's wide range of OTC products, comprising analgesics and cough and cold products, enables it to capture a wider market share within the segment and derisk it from an over dependence on any single product. Besides, an extension from OTC monograph to OTC ANDA products also helps it strengthen margins.

Through a combination of its current range of basic molecules, the Company can create over two dozen products. It is also targeting to invest its resources in anti-ulcer and anti-histamine products, resulting in a range that covers the entire spectrum of OTC products, except low margin antacids usually preferred in liquid dosage forms. Currently, the Company has over 18 products under development comprising 13 Monograph and five ANDA products. Of the above, at least seven products are expected to be commercialised in 2006-07.



OTC products

Low cost: The company's technical competence, product range, world-class infrastructure and low costs have resulted in a compelling value proposition. Further, there is an abundance of technically qualified professionals in Hyderabad, a critical resource in a knowledge-based business, at a fraction of the cost compared to Western countries.

A complement of these competencies has transformed the company's research and development capability from a passive business support to an active business driver and a potential revenue earner.



Management discussion and analysis

Industry overview

Over-the-Counter (OTC) drug

An OTC drug is a product marketed for use by the consumer without the intervention of a healthcare professional to obtain it. This makes it a non-prescription drug.

OTC drugs marketed under monographs

The OTC monograph represents regulatory standards for the marketing of non-prescription drugs not covered by new drug applications (NDAs) and abbreviated new drug applications (ANDAs). These standards provide the marketing conditions for some OTC drugs including the active ingredients, labeling, and other general requirements. If the standards of the applicable monograph are met, pre-clearance by the FDA is not required for marketing of such OTC products.

OTC drugs marketed after approval of ANDAs (Prescription to OTC switch)

Prescription to OTC switch refers to over-the-counter marketing of a product that was once a prescription drug for the same indication, strength, dose, duration of use, dosage form, population, and route of administration. Such OTC products require ANDA approvals before marketed for the use of consumers.

OTC drugs marketed after approval of NDAs

All OTC drugs apart from OTC monographs require a pre-clearance from the USFDA before it is marketed to the consumers. The clearance is given on the basis of new drug applications filed with the above regulatory authority with relevant and exhaustive details on the safety and effectiveness of the drug.

The OTC industry scenario

- The top 10 manufacturers account for more than 55% of total sales in 2005.
- In 2005, Johnson & Johnson, Wyeth, Pfizer and Bayer were the leading companies.
- With the announced acquisition of Pfizer's OTC unit by Johnson & Johnson, the top 10 companies will be even larger and more powerful in the years to come.
- Some of the therapeutic areas where the OTC drugs play a significant role are allergic rhinitis, analgesics, asthma/respiratory conditions, benign prostatic hypertrophy, gastroesophageal reflux disease, glaucoma, hypertension, nicotine addiction and osteoporosis.
- Drug stores are the primary outlets where OTC drugs are sold.
- Alternative outlets like warehouse clubs, dollar stores and online retailers continue to gain in prominence.

The OTC pharmaceuticals market in the US

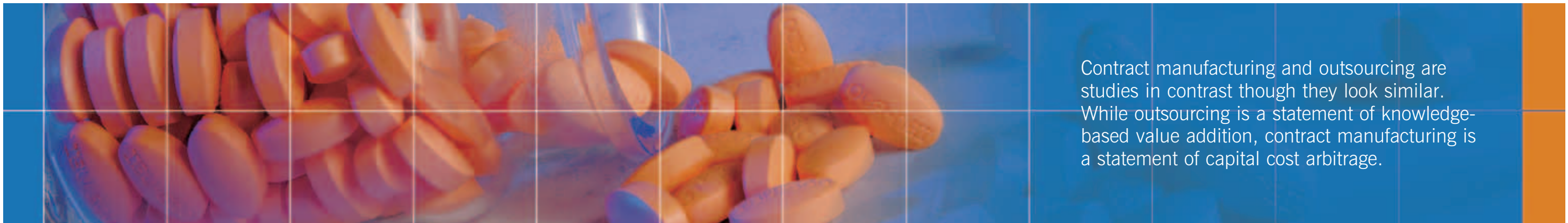
The US market for select OTC drugs at the manufacturer level, is estimated at over USD 10 billion. This will increase to approximately USD 13 billion by 2007. OTC drugs are becoming increasingly important in the US healthcare system. More than 80 therapeutic categories of OTC drugs are on the market ranging from acne drugs to weight control products.

The OTC pharmaceuticals market in the UK

In the UK it is estimated that the OTC pharmaceuticals market is worth £2.1 billion in 2005, a rise of 3.7% on 2004. Key Note forecasts that future annual growth in the market will rise year on year from 4.5% in 2006 to 6.5% by 2010.

The OTC pharmaceuticals market in developing countries

Populous Asia Pacific markets such as Indonesia, China and India, are expected to show rapid growth due to increasing populations, evolution of their middle class, improving economic conditions, increased health awareness, demand for smoking cessation aids and stress relief products as well as



the need to reduce the cost of public healthcare provision for ageing populations.

Growth drivers in the OTC industry

Growth in this segment is expected to come from several factors, for instance:

Ageing populations: Problems associated with ageing, including arthritis and osteoporosis, are driving the demand for products such as analgesics, digestive remedies and dietary supplements in the developed economies of North America, Japan, Western Europe and also in the emerging markets, such as Eastern Europe and Asian markets including China, Indonesia, India and the Philippines.

Self-medication: Health awareness is expected to underpin the continuing consumer trend towards self-medication, as preventative medicine is deemed the more economic and convenient option over the increasingly high costs associated with visits to healthcare professionals.

Prescription to OTC switches: Prescription-to-OTC switches are expected to regain momentum both in the US and UK markets through a more streamlined delisting process, relaxation of regulations and the entry of new products into the OTC market.

Retail outlets: Through a relaxation of regulations, a greater variety of retail outlets are being permitted to sell OTC products like warehouse clubs, dollar stores, online retailers and direct sales through non-pharmacy channels in order to improve access to the general public.

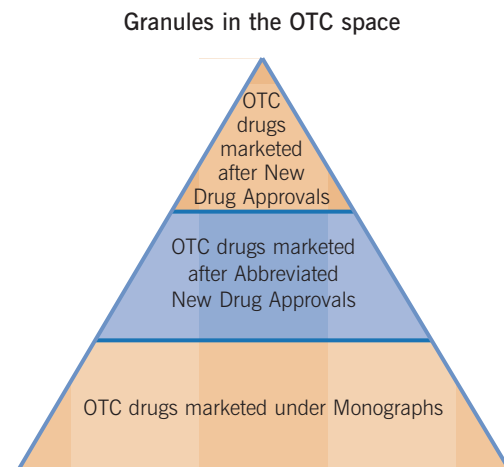
Smoking restrictions: Restriction on tobacco advertising and smoking in public places is expected to increase the number of consumers electing to give up the habit, consequently driving the growth of smoking cessation aids.

Changing lifestyles: Increasingly hectic and stressful modern lifestyles will provide the backdrop for dynamic sales of stress relief, calming and sleeping products.

Higher disposable incomes: Increased disposable incomes among middle-aged consumers are also expected to lead to a greater emphasis on lifestyle OTC products, resulting in a sales growth in products such as hair loss treatment and smoking cessation aids, health drinks etc.

Granules India in the OTC space

Granules India has established itself as the preferred outsourcing partner in the international pharmaceutical industry. Though it is partnering other pharmaceutical companies in the manufacturing and development of prescription products, the Company has a more prominent presence in the manufacture and development of OTC products. In the OTC space, Granules has consolidated itself totally and has a marked presence in every level of the OTC value pyramid.



Demand constraints in the OTC space

While increasing segmentation, such as the development of products targeted at niche consumer groups – children, men, women, or the elderly – is expected to add value to the global market, particularly in the most mature markets, the rise in popularity of competing products such as reimbursable prescription (Rx) medicines and homeopathic remedies is expected to inhibit OTC growth. Euromonitor reports that increasingly health-conscious and prosperous consumers are seeking more efficacious or holistic remedies through prescription drugs or homeopathic products.

However, if the Government were to take certain actions, such as limiting the availability of free prescriptions, market growth could alter significantly.

OTC industry: Outlook

The most likely forecast for sales of the non-prescription drugs industry is an average 2.4% growth per year to reach USD18.6 billion in 2010. Future Rx-to-OTC switches, new product introductions, the ageing of the population, high levels of advertising support and a focus on core brands by large companies will drive growth. The year 2006 looks set to see the launch of products with greater potential in the OTC market with the advent of Sanofi-Aventis' Acomplia for the treatment of obesity and smoking cessation.

The global pharmaceutical industry and its changing environment

The US leads global pharmaceutical sales with over one-third of the global market, followed by Europe (23.5%) and Japan (15.9%) (based on 1999 figures).

In addition to USA being the largest consumer of drugs, it also leads the global pharmaceutical R&D, accounting for 36% of global research as well as global drug development, accounting for 45% of major drugs developed between 1975 and 1994.

In recent times, the global pharmaceutical industry has been witnessing a striking change in its business environment. A host of generic drugs have entered the market after the expiry of their respective product patents. This has resulted in increasing competition and declining drug prices in the whole industry, further aggravated by a governmental pressure on price reduction. Thus, margins of most pharmaceutical companies have eroded rapidly in the last few years.

Besieged by the ever-increasing cost pressures, shorter product life cycles and numerous regulatory challenges in the West, the industry is increasingly shifting/outourcing its manufacturing and Research and Development (R&D) activities to other low cost developing nations especially India and China.

Outsourcing versus contract manufacturing

Contract manufacturing and outsourcing are studies in contrast though they look similar. While outsourcing sends a signal to the customer that the organization is capable of building best in breed systems around a process that no other Company has mastered, contract manufacturing is a meek admission of a lack of intellectual property or technical know-how.

In other words, while outsourcing is a statement of knowledge-based value addition, contract manufacturing is a statement of capital cost arbitrage.

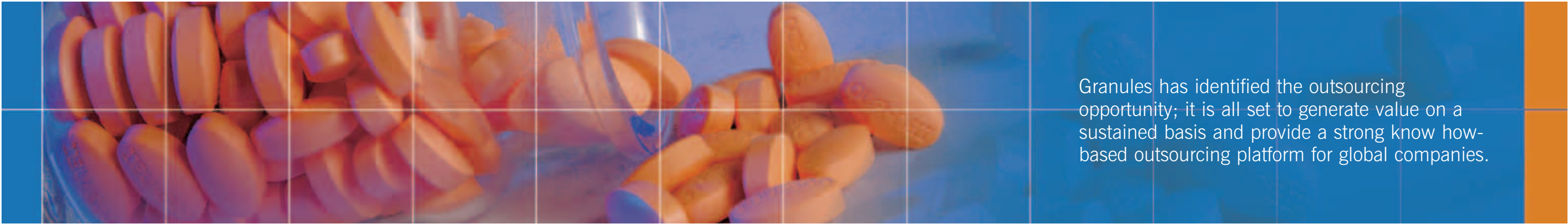
From an investor's perception, a contract manufacturing player is interested in short-term gains and will sustain until the technology generated by the capital cost invested is viable and is worth exploiting. An outsourcing player, on the other hand, occupies a keen sense of understanding of his end customer and specializes in a process that adds value to the customer and enhances his offering on those lines, thereby generating a sustainable business model.

The Indian pharmaceutical industry and its attractive outsourcing proposition

India occupies a significant position in world pharmaceutical market. The Indian pharmaceutical market is the thirteenth largest individual market in terms of sales, but fourth by volume of product. The size of the Indian pharmaceutical industry is about USD 8.8 billion and constitutes 1.3% of India's GDP. The Indian pharmaceutical market is slated to grow to as much as USD 25 billion by 2010 as per Organization of Pharmaceutical Producers of India (OPPI) estimates. Espicom's market projections forecast a more modest but stable annual market growth of around 7.20%, putting the market at USD 11.6 billion by 2009.

Following the consolidation of the IT industry, the pharma-outsourcing wave is expected to flourish; primarily led by India. The future growth in the country's GDP is expected to be influenced substantially by its outsourcing activities within the pharmaceutical space. The service hungry economies are all looking forward to low-cost, knowledge-based outsourcing service providers like India, which are rich in intellectual property services. The pharmaceutical industry in India must take a cue from this and generate models based on the fact that in future there is a likelihood of generally two types of companies existing- one, companies directly servicing the customers and second, companies providing outsourcing partnerships to the primary set of companies.

Thus, outsourcing in the pharmaceutical industry is waiting for its time and, after years of persuasion, regulated markets like the United States are waking up to specific value chain



Granules has identified the outsourcing opportunity; it is all set to generate value on a sustained basis and provide a strong know how-based outsourcing platform for global companies.

concepts like granulation. Once these become institutionalised, the industry will witness a wave and the direction of consolidation would inevitably be aligned with customer expectations.

The Advantage - 'India'

- Presence of over 10,000 pharmaceutical companies, one-fourth of which can provide contract manufacturing services to foreign pharmaceutical companies.
- Presence of around 25 Contract Research service (CRO) providers with excellent infrastructure and well trained experienced staff to conduct clinical development activities.
- India has the largest number of US Food & Drug Administration (FDA) approved drug manufacturing facilities outside the US.
- Through the amendment of the Indian Patent Act in March 2005, India has become product-patent respecting, thereby

opening a new avenue in the global pharmaceutical market.

- The cost saving for a multinational companies outsourcing its pharmaceutical R&D and manufacturing activities to India is 30-50% much higher than the cost savings possible through outsourcing to other countries.
- Lower wages and better but cheaper infrastructure facilities.
- Better equipment and IT support.
- Plentiful supply of treatment-naïve patients that can dramatically accelerate clinical trial patient recruitment times.
- Large number of highly educated and English speaking scientists.
- The second largest population in the world, a growing economy and rising income levels make the Indian consumers an attractive target for the global industry.

Granules and outsourcing

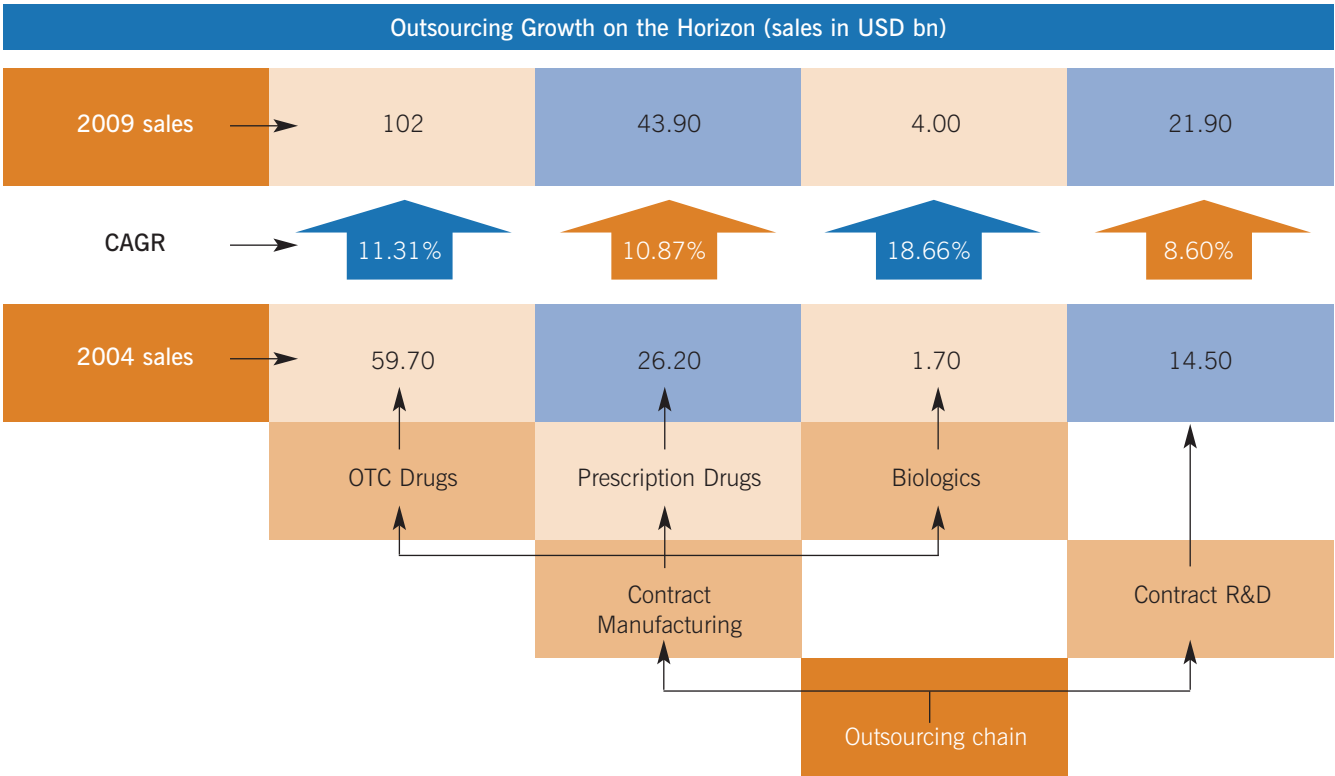
Granules India is a fully integrated pharmaceutical formulations manufacturer with the world's largest 'granulation' capacity; it specialises in manufacturing pharmaceutical formulation intermediates (PFIs). The Company manufactures several strategic active pharmaceutical ingredients (APIs) and multiple PFIs, which are distributed to multinational companies across approximately 35 countries. It is foraying into manufacturing tablets with a capacity of 6 billion tablets per annum. This facility will strengthen its presence in the pharma outsourcing chain space with capabilities of offering a wide range of products beginning from APIs to finished dosages. Thus, the Company is strategically placed at all levels of pharmaceutical outsourcing with special emphasis on OTC products. Granules India has the vision to climb to the apex in the pharma outsourcing value chain and become a world leader in its field, targeting the OTC space in the immediate future.

research business. In 2005, contract research in India was valued at USD 100-120 million and is currently growing at a rate of 20-25% each year, according to a report by the Chemical Pharmaceutical Generic Association.

- About 35% of the research business is in the field of new drug discovery and 65% in the clinical trials arena.
- Over 10 multinational pharmaceutical companies have decided to make India a hub for cheaper production of active pharmaceutical ingredients (APIs) and finished formulations.
- Indian pharmaceutical companies have filed the largest number of Drug Master Filings (DMFs) with the US Food and Drug Administration in the April-June 2006 quarter. Indian pharmaceuticals companies filed 104 out of 251 new DMFs made in the US in April-June 2006.
- The Indian Pharmacopoeia Commission (IP) and the US Pharmacopeial Convention (USP) have signed a memorandum of understanding to promote a greater awareness about the quality and safety of medicines.

Some interesting facts about the Indian outsourcing industry

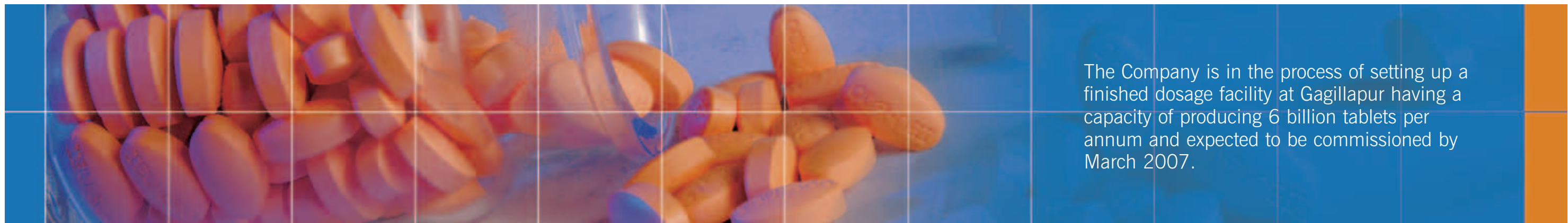
- India is holding the lion's share of the world's contract



Granules' presence

Granules India is headquartered at Hyderabad, the 'pharma city' of India. It has an international presence in the USA through its wholly owned marketing subsidiary and in Latin America where it has a branch office. Its manufacturing facilities are all located in India around the city of Hyderabad and benchmarked to international quality standards.

Type of facility	Location	Capacity/Area	Approval from
API	Jeedimetla	1,000 TPA	USFDA, WHO cGMP compliant
API Plant I	Bonthapally	3,600 TPA	Certificate of suitability EDQM
API Plant II	Bonthapally	8,400 TPA	New facility built up to standards of USFDA, TGA etc.,
PFI Module A	Jeedimetla	1,200 TPA German HA	USFDA, Australian TGA,
PFI Module B	Gagillapur	7,200 TPA	USFDA, German HA, Australian TGA
Formulations	Gagillapur	Phase I – 6 billion tablets per annum Phase II – 6 billion tablets per annum	Phase I - Under implementation
Research and Development	Gagillapur	3,500 sq ft	Canadian TPD



Operational review

API Division

The API facilities of the Company are located at Jeedimetla and Bonthapally. Its single plant at Jeedimetla has a capacity of manufacturing about 1,000 tons of APIs annually while its two plants located at Bonthapally together have an annual capacity of manufacturing 12,000 tons of APIs. The plant at Jeedimetla primarily manufactures APIs like Guaifenesin and Metformin etc., while the Bonthapally plants manufacture Paracetamol/Acetamenophen.

Performance during the year

During the year ended June 2006, the API division of the Company recorded a revenue of Rs.52 cr and manufactured over 5,000 tons of API. The percentage contribution of the division towards the overall revenues of the Company was 30%.

The main achievements of the division during 2005-06 were:

- Commissioning of the new 8,000 TPA plant at Bonthapally in March 2006.
- Customer validations coming in from large pharmaceutical players like Pfizer, Perrigo, Ranbaxy and Sun Pharma.
- During the year under review, the Company received approval for Metformin HCl and Oxymetazoline HCl from EDQM and also received USFDA's approval for Amneal's metformin ANDA using Granules' PFI.
- In 2005-06, the Company submitted 40 new DMFs in Mexico, Brazil, South Africa, Turkey, Macedonia and Morocco. It also submitted 38 new technical packages to different customers and authorities and answered 20 questionnaires during the year. DMFs were also submitted to Health Canada authorities and new numbers were allotted for the products PP HCl and Paracetamol.
- The Company is in an advanced stage of researching several new products and will submit DMFs for them within 2006. Some of these comprise Guaifenesin (a new manufacturing process), Metformin HCl (Xylene route), Gabapentin, Bromphenamine Maleate and Dextro Propoxyphene HCl. Apart from these, the Company is also working on other new

products like Glucosamine HCl, Gemfibrozil, Venlafaxine HCl, Quetiapine, Isometheptene HCl and Propoxyphene Napsylate.

PFI Division

The Company has two PFI facilities located at Jeedimetla and Gagillapur. The facility at Jeedimetla has a capacity of manufacturing 1,200 TPA of PFIs while the plant at Gagillapur has a capacity of manufacturing 7,200 TPA of PFIs.

Performance during the year

During the year ended June 2006, the PFI division of the Company recorded a revenue of Rs.122 cr and manufactured 6,760 tons of PFIs. The percentage contribution of the division towards the overall revenues of the Company was 69%.

The main achievements of the division during 2005-06 were:

- Capacity utilisation improved at both its plants. During the year under review, the module A achieved a capacity utilisation of about 60% while the module B achieved a capacity utilisation of about 100%, thus striking an average capacity utilisation of 80%.
- New products added: during the year ended June 2006, the new PFI products comprised Compresso CIP 65 (Anti-bacterial), Compresso PAP 80 DPL done in rapid mix granulator (Cough and cold), Compresso GGF 95SA done in fluid bed processor (Cough and cold), Compresso MF 90X and 95X (Anti-diabetic).
- Reduction in customer rejections.
- Increase in output per day of APAP products by about 30%.
- Increase in output per day of other products by about 20%.

Initiatives

The initiatives taken by the Company to enhance its PFI plant facilities comprise:

- Installation of the new 72-inch sifter at module A to take the load of two fluid bed processors.
- Procurement of new binder vessel for module A to increase the capacity utilisation of both fluid bed processors.
- An additional wet mill to modify the discharge process of the rapid mix granulator; this will reduce drying and sifting time,

as a result of which both quality and quantity of their products will improve.

- Modification in the packing of products in big bags is planned; this will reduce the extent of manual operation involved and reduce people costs.

Formulations Division

The Company is in the process of setting up a finished dosage facility at Gagillapur having a capacity of producing 6 billion tablets per annum and expected to be commissioned by March 2007. This would be one of the largest formulations facility in Asia and the Company plans to expand its capacity to 12 billion tablets per annum.

Environmental, health and safety standards (EHS)

Granules India is committed to protecting not only the well being of the organization and its employees but also the environment and the public at large. Consequently, it has well framed strategies incorporated at every stage of product development and production, which helps in the protection of the environment and prevents its pollution. It also undertakes various health and safety measures at all its plants for the benefit of its employees.

Environmental initiatives of the Company include:

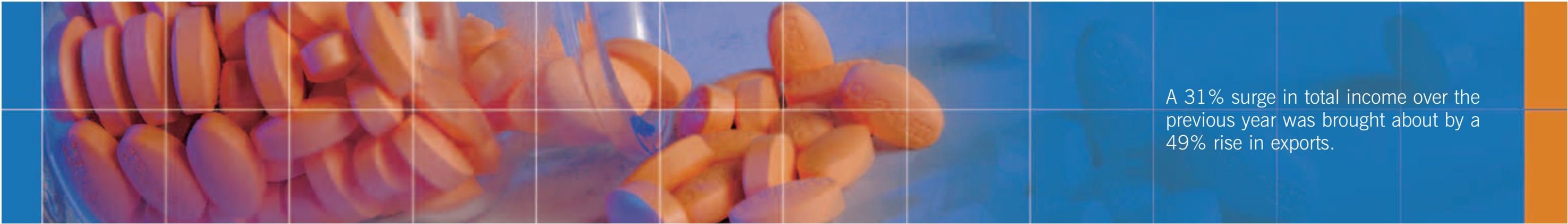
- The adoption of clean technologies, which minimize accidental pollution, ensuring strict control over effluents, atmospheric release and solid waste.
- Adopting various water conservation methods like the installation of control devices to avoid wastages, regular monitoring for leakages and spills, periodical review of water balance and rain water harvesting at its Gagillapur plant.
- Adopting various energy conservation measures like the installation of the automatic power factor control in the main power distribution system and achieving a power factor above 0.98, installation of variable frequency drives for all high power motors to reduce the initial and running loads, using the coal activiser which reduced coal consumption by 8-10% etc.
- Practising waste disposal methods authorised by the relevant regulatory authority, ensuring proper collection of hazardous

wastes and its analysis, proper labeling of hazardous wastes, conducting studies to reduce, recycle and reuse wastes, following the regulatory guidelines for transportation of hazardous wastes.

- Practising vermiculture at its Gagillapur plant; this involves the generation of its own bio-compost manure, which is chemical-free and environment friendly, development of a green belt within its facilities and encouraging the planting of trees.

Health and safety initiatives of the Company include:

- Designing, developing and operating the manufacturing process in such a way so as to incorporate all possible steps to prevent accidents and control any adverse consequences affecting its staff, local population and environment.
- Imparting training on the handling of hazardous wastes, emergency preparedness, selection of equipment containing inbuilt safety options, providing personal protection equipment to employees, isolation of highly hazardous activities from the normal operations.
- Following regular preventive maintenance of equipment to reduce the breakdowns during the operations, which might lead to accidents and danger, displaying of safety boards, slogans and caution boards.
- On-job training and class room training; during the induction program every new employee is trained on safety and environmental issues, conducting periodical inspections, studies and continuous monitoring for identifying unsafe acts and implement safe practices.
- Establishment of an occupational health centre at the factory premises, conducting periodical health check-ups with a part time doctor to provide health guidelines to the employees, providing all its staff with safe and satisfactory working conditions which incorporate high standards of industrial safety.
- Having its own administrative controls like the rotation of all employees throughout the operations to reduce their chronic exposure to hazards, giving washing and risk allowances, providing uniforms and aprons to employees to protect them from chemical contamination and the establishment of a



proper sanitation facility to protect the environment from chemical contamination.

Future EHS initiatives

Future EHS challenges of the organization include obtaining the ISO 14001 certification for all its units and working towards achieving zero discharge of wastewater at its facilities.

Marketing

Marketing initiatives at Granules

Marketing initiatives at Granules are centred around relationships; the Company values formation and maintenance of long term relationships with its customers. To fulfil this objective the Company is evolving new relationship strategies, which would make its customers more competitive in the market place. Here, the focus is to approach its customers as a multi-point value provider across the overall pharmaceutical value chain.

Accordingly, a complete basket of products are being developed for the marketing team to enable them to establish partnerships with customers more effectively, especially on the OTC monographs and the OTC ANDA product range. On the prescription product range, Granules' marketing strategy is to make sure that they partner with the right customer for the right product, after a thorough evaluation of the partner's strengths.

To achieve the above marketing strategies, the structure of the sales department has undergone a change with more control being given to the regional sales teams in terms of creating regional strategies that are independent of each other, yet complying with the corporate marketing policy.

International marketing initiatives

Granules has a subsidiary in the United States where it has five representatives who address the techno-commercial and logistics need of our customers in the US. The Company also has a branch in Latin America, which is expected to be expanded in the coming months. The Company is foraying into the European market and is in the process of setting up of an office there in the foreseeable future. The European markets would be a significant contributor to revenues in the immediate future and would be an important milestone in the sales and

marketing presence of Granules. Apart from the international offices, Granules possesses a strong Asia Pacific sales team, based outside India. The sales infrastructure is supported by a logistics and a production planning and inventory control group (PPIC). This group goes beyond the precincts of Granules to address the logistics and PPIC needs of its customer base as well, thus enabling it to deliver the promise of being a value added service provider.

Customer feedback

Customer feedback is taken from the market as well as the numerous audits that Granules goes through from a regulatory perspective. The Company has a structured system of addressing customer feedback and a cross-functional committee. The committee consisting of representatives from the production, R&D, sales, finance and logistics department address each customer feedback under the leadership of its quality assurance department to make sure that all valuable suggestions of the customers are worked upon. The Company also reverts back to its customers as regards the actions undertaken based on their suggestions.

Internal Controls

The Company has adequate internal control systems implemented within the organisation commensurate with its size and nature of business. The system ensures optimum utilisation of its resources through the presence of standard operating procedures for each activity, ensuring uniformity and quality throughout its manufacturing process. Responsibilities are outlined at every level of delegation, thereby ensuring accountability for each level of its organisational hierarchy. The Company has in place an audit committee comprising three Non-Executive-Independent Directors and one Executive Director. Audits and checks are carried out regularly to ensure that all internal control procedures are being followed as per guidelines and to detect irregularities in its application; thus safe-guarding the assets of the Company from misapplication.

Human Resource

At Granules, the human resource policy includes predetermining the resources required, recruitment of the right person for the right job at right time, ensuring continuous improvement and growth of the employee by imparting training

and development; in line with changes in the regulatory scenario and environmental needs and to have a long-term, safe and secured association with its employees. The total employee strength of the organisation was around 478, for the year under review.

Some of the initiatives taken by the Company to achieve the above goal are:

- Allocating the employees to three levels for instance 'Team Member, Team Leader and Resource Leader'.
- Measuring performance of employees through 'self-score-card' system in order to improve their quality and efficiency.
- Implementation of an incentive system by which groups with high performance are adequately rewarded.

Financial review

Accounting policy

Granules follows the accrual basis of accounting and prepares its financial statements based on the historical cost convention method. The company's accounts have been prepared as per the generally accepted accounting principles followed in India and in accordance with the applicable accounting standards as issued by the Institute of Chartered Accountants of India (ICAI) to the extent applicable.

2005-06 vs 2004-05

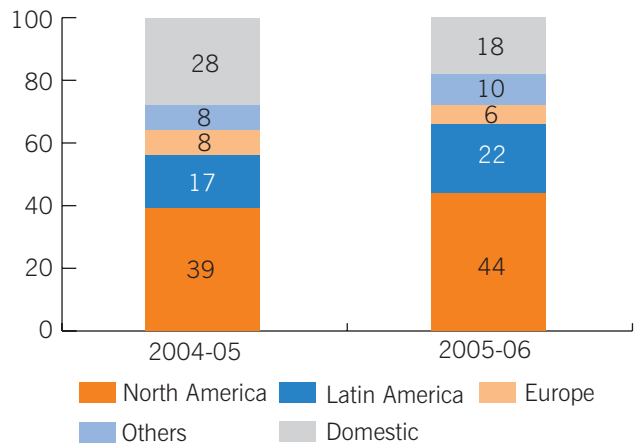
- 49% export growth.
- 39% PAT growth.
- 100% growth in gross block.
- 7 basis point growth in EBIDTA margin.
- 31 basis point growth in PAT margin.

Income analysis

The Company clocked a total income of Rs.175.98 cr in 2005-06 as against a total income of Rs.134.84 cr recorded in 2004-05. This 31% surge over the previous year was brought about by a 49% rise in exports although domestic sales declined marginally by 15%. Intense marketing initiatives

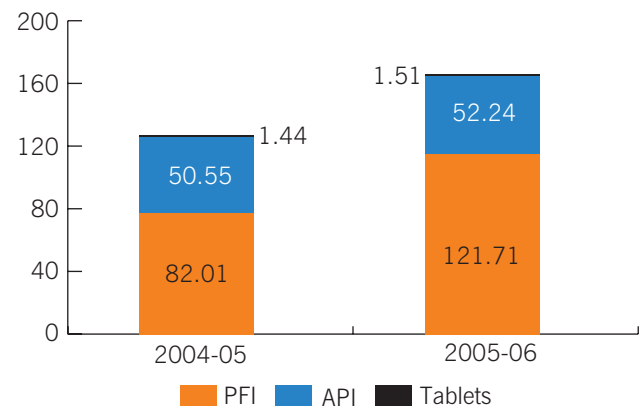
resulted in greater export penetration; a majority of the company's revenues were generated from exports to North America, Latin America and Europe, which together contributed 72% (previous year 64%) of the company's total revenues.

Geographical break-up of revenues (% to total sales)



PFI sales of the Company increased from Rs.82.01 cr in 2004-05 to Rs.121.71 cr in 2005-06. API sales also improved from Rs.50.55 cr in 2004-05 to Rs.52.24 cr in 2005-06.

Product-wise break up of revenues (Rs./cr)





Net profits rose from Rs.6.66 cr in 2004-05 to Rs.9.25 cr in 2005-06 almost a 39% rise, backed by higher revenues and proportionately lower interest costs.

Profit and profitability

Operating profits of the Company increased from Rs.20.81 cr in 2004-05 to Rs.27.25 cr in 2005-06. Higher revenues led to higher profits, improving the EBITDA margin, marginally from 15.42% in 2004-05 to 15.49% in 2005-06.

Net profits rose from Rs.6.66 cr in 2004-05 to Rs.9.25 cr in 2005-06 almost a 39% rise, backed by higher revenues and proportionately lower interest costs (as a % to revenues). Consequently, PAT margin grew from 4.94% in 2004-05 to 5.25% in 2005-06.

Cash profit margin of the Company increased from 7.65% in 2004-05 to 8.48% in 2005-06 by 83 basis points.

Cost analysis

The cost structure of Granules as a proportion to its total income is elaborated in the table below:

Cost heads (%)	2005-06	2004-05
Raw material consumed	58.48	62.72
Packing material consumed and stock changes	4.87	1.40
Wages	2.93	3.03
Power and fuel	3.29	2.88
Other manufacturing expenses	1.73	1.78
Employee cost	1.39	1.39
Other administrative expenses	4.77	4.76
Marketing and selling expenses	7.31	6.94
Interest	5.82	6.59
Depreciation	2.96	2.39
Tax	1.19	1.19

Raw materials

Raw materials comprise a substantial cost burden for the company. Granules successfully reduced its material cost by 424 basis points over the previous year, aided by the benefits of economies of scale; its large production facilities and bulk procurement policies.

Packing materials

A significant increase in exports resulted in a hike in the packing costs of the Company so as to meet the high quality standards of the international markets.

Wages and power and fuel

Wages of the Company recorded a negligible reduction of 10 basis points while power and fuel expenses rose from 2.88% in 2004-05 to 3.29% in 2005-06 as a proportion of total income on the back of rising costs of diesel, coal and furnace oil.

Other manufacturing expenses

Other manufacturing expenses include conversion charges, effluent treatment expenses, consumables and laboratory chemicals, analytical fees etc. This cost remained more or less steady, helped by the stringent cost control measures adopted by the company.

Marketing and selling expenses

Marketing and selling expenses rose marginally by 38 basis points along with rising exports.

Input output ratio

The input-output ratio of the Company for APIs increased from 0.73 in 2004-05 to 1.02 in 2005-06, indicating the improved productivity of its API plant.

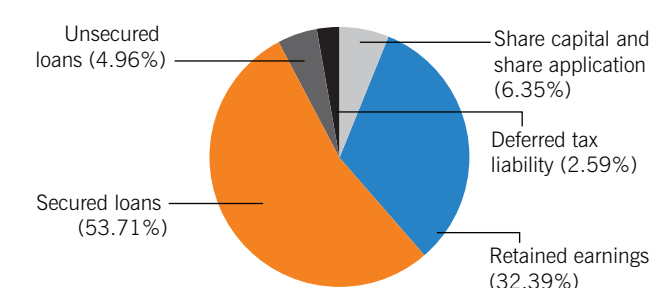
Capital employed

Total capital employed in the Company for 2005-06 was Rs.216.72 cr as against Rs.173.25 cr employed in 2004-05. The increase was funded primarily through loans and the balance through internal accruals, share application money and a deferred tax liability.

The returns on capital employed declined by 97 basis points over the previous financial year. This was due to the rising capital investments being made in the company's plants, while the corresponding returns on them would accrue only in the next year.

Year	2005-06	2004-05
ROACE (PBDIT / Average capital employed)	14.71%	13.74%

Composition of capital employed as on 30 June 2006



Own funds

The share capital of the Company increased marginally by Rs.0.04 cr due to the exercise of stock options by Directors and employees. The Company received share application money worth Rs.1.39 cr during the year from Mr. C. Krishna Prasad, promoter of the company, on account of an issue of share warrants. Internal accruals of the Company increased from Rs.63 cr to Rs.70.20 cr; i.e. by 11.43%. All these cumulatively increased the net worth from Rs.73.20 cr in 2004-05 to Rs.82.23 in 2005-06. Returns on net worth increased significantly by 218 basis points reflecting efficient sweating of capital. The Company has been ploughing back a greater proportion of its profits into the business with a view to generating higher returns for the shareholders in future, which will in turn enhance their market capitalisation in the years to come.

Year	2005-06	2004-05
RONW (PAT / Net Worth)	8.84	11.02

Loan funds

Loan funds comprised secured loans worth Rs.116.40 cr (previous year Rs.88.44 cr) and unsecured loans worth Rs.10.75 cr (previous year Rs.5.59 cr). Fresh loans were taken during the year to fund capacity expansion activities at its plants; consequently, the debt- equity ratio increased from 1.25% in 2004-05 to 1.51% in 2005-06. However, since the fresh loans were taken at cheaper rates, the average cost of debt declined by 154 basis points during the year. This, coupled with higher returns generated during 2005-06, resulted in interest cover rising from 2.29% in 2004-05 to 2.61% in 2005-06.

Year	2005-06	2004-05
Debt-equity ratio	1.54	1.28
Networth	82.23	73.20
Total loans	127.15	94.03

Year	2005-06	2004-05
Interest cover (PBDIT/interest) times	2.61	2.29
Average cost of debt (%)	9.27	10.81

Gross block

Granules undertook major capacity expansions during the year under review. The capacity of its API plant at Bonthapally increased by 269% consequently, the gross block of the Company more than doubled in the year ending June 2006. Returns on average gross block declined by 404 basis points, since the expanded capacities are yet to generate revenues at their full capacities. The effect of an investment in gross block will be prominently visible from 2006-07 onwards.

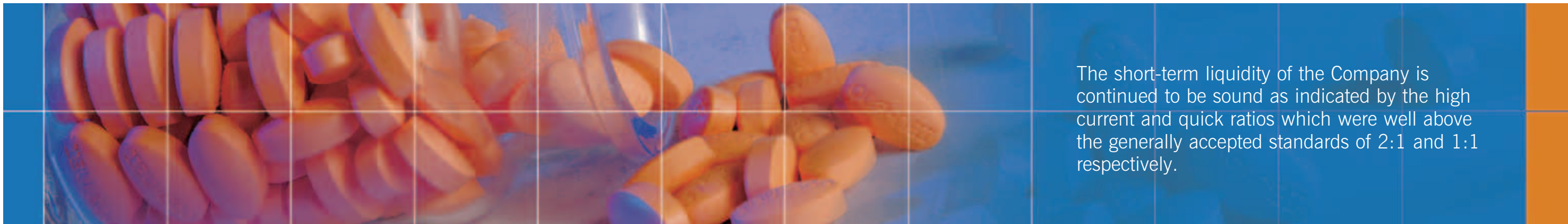
Year	2005-06	2004-05
ROAGB (PBDIT /Avg Gross Block in %)	25.27	29.31
Gross block (Rs. in cr)	141.45	70.61

The asset turnover ratio of the Company increased from 0.79 in 2004-05 to 0.82 in 2005-06. However, the fixed asset turnover ratio declined from 2.58 to 1.53, indicating that the Company is in an expansion mode. Like all capital intensive industries, the investments made to fixed assets are expected to generate higher revenues in future.

Year	2005-06	2004-05
Asset turnover (Total income / total assets)	0.82	0.79
Turnover / Fixed assets	1.53	2.58

Investments

Investments of the Company rose from Rs.0.44 cr in 2004-05 to 0.54 cr in 2005-06. This was on account of investments made by the Company in the shares of Andhra Bank during the year under review.



The short-term liquidity of the Company is continued to be sound as indicated by the high current and quick ratios which were well above the generally accepted standards of 2:1 and 1:1 respectively.

Working capital management

The working capital of the Company constituted 33.24% of the total capital employed in the business as on 30 June 2006. The working capital outlay declined from Rs.80.79 cr in 2004-05 to Rs.72.04 cr in 2005-06 due to the declining cash balance. The unutilised portions of the proceeds from issue of share capital during 2004-05 and other long-term borrowings were utilised during the year in the plants of the Company during 2005-06. Thus, cash balance significantly declined, reducing its working capital by almost 11% during 2005-06. The efficient management of working capital was visible also in the declining working capital cycle from 211 days in 2004-05 to 143 days in 2005-06.

Sundry debtors accounted for the principal component of the company's working capital outlay (as indicated below):

(% of current assets)		
Item heads	2005-06	2004-05
Inventory	21.33	20.44
Debtors	62.91	46.39
Cash & bank balances	4.82	22.54
Loans & advances & other current assets	10.94	10.63
Total	100.00	100.00

Current Assets

Sundry debtors of the Company increased significantly by 34.81% from Rs.45.73 cr in 2004-05 to Rs.61.65 cr in 2005-06 on the back of higher revenues generated from overseas clients. Consequently, debtors-turnover increased marginally from 100 days in 2004-05 to 106 days in 2005-06.

Inventories remained more or less stagnant at Rs.20.90 cr (previous year Rs.20.15 cr), while inventory turnover declined from 47 days in 2004-05 to 41 days in 2005-06, indicating efficient management.

Cash balances declined sharply owing to a utilisation of proceeds from shares issued during 2004-05, which remained unutilised until the end of the year. Loans and advances saw

no major fluctuations during the year as compared to the previous year.

Current liabilities

The current liabilities of the Company rose from Rs.17.78 cr in 2004-05 to Rs.25.96 cr in 2005-06 on account of higher purchases made during the year to support higher revenues generated. The credit availed of by the Company increased from 65 days in 2004-05 to 71 days in 2005-06, indicating a strong bargaining capacity of the Company with its suppliers.

Short-term liquidity

The short-term liquidity of the Company is continued to be sound as indicated by the high current and quick ratios which were well above the generally accepted standards of 2:1 and 1:1 respectively.

Year	Current ratio	Quick ratio
2005-06	3.78	4.41

Tax management

The Company calculated charge for income tax in accordance with the tax regulations prevalent in India. Since most of the units of the Company are export oriented, they are subjected to export exemptions under Section 10 of the Income Tax Act, 1961. Consequently, the company's tax rate was low, being 3.35% in 2005-06 (previous year 3.39%).

Deferred income tax reflected the impact of a timing difference between accounting for tax as per the Companies Act, 1956 and the Income Tax Act, 1961. The deferred tax provision of the Company stood at Rs.1.72 cr in 2005-06 as against Rs.1.32 cr in 2004-05.

Fringe Benefit Tax was calculated in accordance with the prevalent tax regulations within the country and stood at Rs.0.08 cr in 2005-06, as against Rs.0.02 cr in 2004-05.

Foreign Exchange Fluctuations

Foreign exchange transactions were recorded at the exchange rates prevailing at the time of transactions or at contracted rates. Current assets and current liabilities were translated at values prevailing at the Balance Sheet date. Gains/losses, if any, arising thereby are recognised in the Profit and Loss

account. During the year under review, the Company suffered a negligible loss of Rs.0.33 cr, due to exchange rate fluctuations (previous year Rs.0.02 cr).

Risks

Risks are inherent in all business activities. However, at Granules the following risks are of more significance and accordingly the management has adopted the under mentioned strategies to mitigate the same.

Strategy risk

Granules' business strategy revolves around the OTC space, where volumes are higher while margins are comparatively lower. This exposes the Company to the risk of being present at the lower end of the pharmaceutical value pyramid.

Risk Mitigation

Granules has de-risked by positioning itself as the preferred outsourcing partner for international customers, being an integrated one-stop solutions provider present within all spheres of the OTC space, with adequate research capabilities. Moreover, it has gradually moved up the value chain in the OTC segment (OTC monographs to OTC ANDAs). Also, its presence in the world of prescription products through attractive partnerships and willingness to enter into more of such alliances enabled the Company to mitigate such risks successfully.

Research risk

Incompetent research capabilities for a Company operating within the pharmaceutical industry might prove to be highly risky in this competitive world of advanced and continuously evolving technologies.

Risk Mitigation

Granules has strengthened its research team with one of the best qualified and experienced personnel who can take calculated and commercially viable decisions, thus enhancing the chances of successful research work. It has in place a 3,500 sq ft class 100,000 research facility at Gagillapur with all modern technologies. Also, operating within the entire value chain of the pharmaceutical business, the exposure of the Company to research activities is limited, minimising its risk element to a great extent.

Regulatory risk

Failure to pass through the stringent quality control tests of several international regulatory agencies might obstruct the Company from making its products commercially marketable.

Risk Mitigation

Granules has in place all major regulatory approvals required from international agencies for all its plants under operation. It follows the best quality control measures in the industry and employs the most updated technologies in its production process. The upgradation of technologies in both research and production is a continuous process within the organisation. Its newly commissioned Research and Development facility has already received approval from the Canadian TPD and is in the process of being approved by the Australian TGA.

Market concentration risk

The pharmaceutical industry is largely dominated by the US market, which is the largest in the world. Any changes in the industry drivers of that country could have a significant impact on the drug industry of other countries.

Risk Mitigation

Granules is continuously de-risking against over dependence on any one country by expanding its area of operations to varied geographies like Latin America, Europe and South-East Asia, apart from its significant presence in North America. Granules generated 18% of its total revenues from within India in 2005-06.

Geographical break up of revenues (% to total sales)

Region	2005-06
North America	44
Latin America	22
Europe	6
Domestic	18
Others	10

Client concentration risk

An over dependence on any one client for the majority of its business might subject the Company to undue risks associated with the fate of its client's business.

Risk Mitigation

Granules has successfully shielded itself against this risk through its wide range of product portfolio which is attractive to all categories of customers at every level of the pharmaceutical value pyramid.

Relationship risk

Within the business model in which Granules operates, maintaining long-term relationships both at the disbursement level (customers’ end) and procurement level (suppliers’ end) is of vital importance.

Risk Mitigation

The Company has categorically evolved marketing and procurement strategies to suit this business model. For instance, its marketing activities focus on providing a value-added quality service starting from APIs to formulations under the same roof, which is difficult to find elsewhere, representing an extra-edge to retain its clients. Also, the service it provides has a proven track record.

In the procurement field, the Company beats all others through its volume purchase, which is an attractive proposition to most suppliers; this, along with its established reputation and prompt payment schedule keeps its suppliers tied to the company.

Technology obsolescence risk

In the pharmaceutical industry, the production process and research technologies undergo continuous changes, thus rendering the old ones obsolete.

Risk Mitigation

The Company remains aware of new technology changes within the industry on a continuous basis and incorporates the same as and when required. The Company recently commissioned its new 3,500 sq ft class 100,000 research facility equipped with state-of-the-art technologies.

Globalisation risk

With the pharmaceutical industry in India becoming product patent respecting from January 2005 onwards, international companies are eyeing it as a preferred ground for manufacturing, marketing and research activities, increasing competition.

Risk Mitigation

Granules India is an integrated solutions provider across the entire value chain of OTC products. Also, its presence in the niche-segment of PFIs and attractive partnerships for prescription products, along with its highly efficient research capabilities makes it a preferred outsourcing destination. Moreover, its large scale manufacturing facilities and bulk-

procurement strategies facilitate in reducing cost of production, enabling the Company to successfully fight competition.

Currency risk

Since the majority of the revenues of the Company are derived from exports, it is subjected to the risk of loss arising out of exchange fluctuations.

Risk Mitigation

The Company procures a fair amount of raw materials through import, thus hedging itself to a certain extent against exchange fluctuations arising out of exports.. In addition, it has entered into forward contracts with customers and suppliers as a part of its intelligent derisking.

Cost risk

Rising input costs might affect the margins of the Company adversely, especially in a scenario where competition is intense.

Risk Mitigation

Granules adopts cost control strategies throughout the production process and gives due importance in the procurement of supplies at the most economic rates. This ensures higher margins for the company. Also, long term agreements for the supply of raw materials with price escalation clauses also protects the Company against fluctuations within the national and international markets.

Environmental risk

The pharmaceutical industry is subject to the provisions of maintaining high standards for protecting the environment from pollution and prevention of contamination through the use of hazardous substances.

Risk Mitigation

Granules India has well framed strategies incorporated at every stage of product development and production, which helps in protection of the environment and prevents its pollution. It also undertakes various health and safety measures at all its plants for the benefit of its employees. The Company aims at obtaining the ISO 14001 certification for all its units and is also working towards achieving a zero discharge of wastewater at its facilities.

Outlook

Armed with large-scale facilities for APIs, PFIs and Finished Dosages, all capable of going through any regulatory requirement, Granules is all set to emerge as a world leader in pharmaceutical outsourcing and strengthen its presence the value chain across the foreseeable future.

Financial Summary

(Rs. cr)

Particulars	2005-06	2004-05 (15 months)	2003-04
Sales	175.47	134.00	122.91
Non manufacturing Income	0.51	0.85	0.87
Total income	175.98	134.85	123.79
Raw materials	111.49	86.47	77.16
Manufacturing expenses	16.61	12.72	13.35
Gross profit	47.88	35.66	33.27
Overheads and all other expenses	21.08	15.28	14.16
PBDIT	26.80	20.38	19.11
Interest	10.25	8.88	7.68
PBDT	16.55	11.50	11.43
Depreciation	5.21	3.22	2.93
Pre-tax profit	11.33	8.28	8.50
Tax	0.29	0.27	0.95
Deferred Tax	1.72	1.32	1.96
Fringe Benefit Tax	0.08	0.02	–
Post-tax profit	9.25	6.66	5.58
Equity Capital	12.37	12.33	8.31
Reserves (excluding rev. reserves)	70.20	62.70	21.94

Particulars	30-Jun-06	30-Jun-05	30-Jun-04
Sources of Funds			
Equity share capital and share application money	13.76	12.33	8.31
Reserve and surplus	70.20	63.00	22.52
Net worth	83.96	75.33	30.83
Secured loans	116.40	88.44	62.48
Unsecured loans	10.75	5.59	7.75
Deferred tax liability	5.61	3.89	2.58
Total liabilities	216.72	173.25	103.63
Application of funds			
Gross block	141.45	70.61	68.30
Less: Depreciation	22.72	17.29	13.83
Net block	118.73	53.32	54.48
CWIP	23.69	36.57	5.33
Net block + CWIP	142.42	89.89	59.80
Investments	0.54	0.44	0.52
Total current assets	98.00	98.57	59.74
Less: Total current liabilities	25.96	17.78	17.40
Net current assets	72.04	80.79	42.34
Deferred expenditure	1.72	2.13	0.97
Total assets	216.72	173.25	103.63

Board of Directors



Dr. C Nageswara Rao, *Chairman*



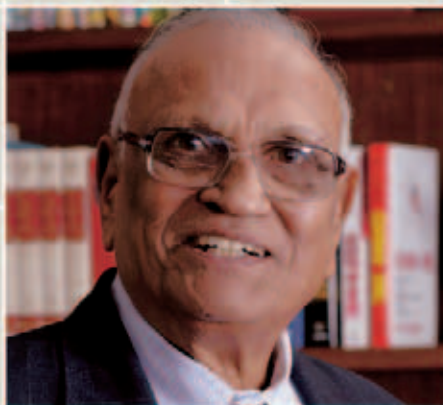
Shri C Krishna Prasad, *Managing Director*



Shri A P Kurian, *Director*



Shri N R Ganti, *Director*



Shri L S Sarma, *Director*

Senior Management Team

From left to right (standing): Mr. Pranesh Raj Mathur (*Chief Financial Officer*), Mr. Vaidyanathan Nateshan (*General Manager - Business Development*), Mr. G. V. R. Nagesh (*Senior General Manager - Operations*)

From left to right (sitting): Dr. K. R. Kumar (*Director - R&D*), Mrs. S. Bhavani (*Head - Supply Chain Management*), Dr. B. R. Reddy (*Director - PFI Operations*)





Dear members

The Directors submit the Annual Report of the Company together with the audited statement of accounts for the year ended 30 June, 2006.

Financial highlights

(Rs. lakhs)		
Particulars	2005-06	2004-05
Sales	17,547.17	13,399.88
Other Income	50.97	84.70
Total Income	17,598.14	13,484.58
Expenditure before depreciation, interest and tax	14,919.89	11,446.86
Interest and finance charges	1,024.53	888.44
Depreciation and amortisation	521.07	322.20
Profit before tax	1,132.65	827.08
Provision for taxes including deferred tax and FBT	208.05	160.59
Profit after tax	924.60	666.49
Add: surplus brought forward	1,906.48	1,432.56
Surplus available	2,831.08	2,099.05
Appropriations		
Dividend	154.51	153.98
Tax on distributed profits	21.67	21.60
Transfer to general reserve	24.00	17.00
Balance carried to balance sheet	2,630.90	1,906.48

Changes in Share Capital

During the financial year 2005-06, 42,820 equity shares were issued and allotted to the employees and independent directors consequent to the exercise of the stock options issued by the Company resulting in the paid-up equity share capital of the Company increasing from Rs.12,32,65,820/- to Rs.12,36,94,020/-. In accordance with the resolution passed by the shareholders at the 14th Annual General Meeting held on 5 December 2005, the Committee of the Board allotted 13,55,000 warrants at Rs.102.50 per warrant convertible into equity shares of Rs.10/- each to Mr. C. Krishna Prasad, Managing Director of the company. On the said warrants, 10% of the value i.e., Rs.1,38,88,750/- was received towards application money. As on 30 June 2006, the entire 13,55,000 warrants were outstanding.

Dividend

In view of the company's profitable performance, the Directors are pleased to recommend for approval of the shareholders a dividend of 12.5% on 123,60,952 equity shares (face value of Rs. 10 each) of the Company in respect of the financial year 2005-06. The dividend, if declared as above, would involve an outflow of Rs.154 lakhs towards dividend and Rs.22 lakhs towards dividend tax, resulting in a total outflow of Rs.176 lakhs. Under the Income Tax Act, 1961, the dividend will be tax free in the hands of the shareholders.

Transfer to Reserves

The Company proposes to transfer Rs.24 lakhs to the General Reserve out of the amount available for appropriations. After the appropriations, it is proposed to retain Rs.724 lakhs from the current year's profits.

Operating Results and Business

The Company continued its focus on the export markets. Export sales increased from Rs.9,598 lakhs to Rs.14,328 lakhs, a growth of 49%. The increase was mainly as a result of the increased capacity utilisation from the PFI facility at Gagillapur, which increased from 42% to 56%.

The net turnover of the Company showed a substantial increase of 31% from Rs.134 crore to Rs.175 crore. EBIDTA was Rs.2,725 lakhs as compared to Rs.2,081 lakhs in the previous financial year. Profit after tax increased by 39% from Rs. 666 lakhs in the previous year to Rs. 925 lakhs during the year under review.

Funding

Your Company had started the implementation of the Tablet Project and completed the API Project during the year under review. The Company funded these projects partly through GAR issue, which was completed in the previous year and mobilised loans for these projects during the year under review. The total amount of loans mobilised during the year under review is Rs.3,626 lakhs. The Company continued to

service repayments and interest obligations to banks and financial institutions from the funds generated from operations.

Research and Development

R & D at Granules India Limited, a service organisation, is catering to our in-house product development requirements for both PFI and Finished dosage. Our in-house development philosophy aims to collaborate and offer a business model of delivering end-to-end solutions for OTC -monograph and OTC ANDA products.

The Company has further strengthened its R&D team and presently possesses 16 people in the team who are adequately qualified to meet the demands on the product development front. During the year, the Company commissioned an R&D Lab, which will cater to all its in-house requirement on product development while also looking at outsourcing opportunities from our customers.

Directors

Pursuant to Article 51 of the Articles of Association of the company, Shri. A. P. Kurian, Director, retires by rotation during the forthcoming Annual General Meeting and, being eligible, offers himself for re-appointment as Director.

A brief resume of Shri. A. P. Kurian, the nature of his expertise in specific functional areas and the names of companies in which he holds directorships and memberships/Chairmanships of Committees of the Board, as stipulated under Clause 49 of the Listing Agreement with the stock exchanges, have been provided in the section on Corporate Governance in this Annual Report.

Corporate Governance Report and Management discussion and analysis statement

A report on Corporate Governance is attached to this report as also a Management Discussion and Analysis statement.

Directors' Responsibility Statement

Pursuant to the requirement of Section 217 (2AA) of the Companies Act, 1956 ("Act") and based on the representations received from the operating management, the Directors hereby confirm that:

- the applicable accounting standards issued by the Institute of Chartered Accountants of India have been followed;
- appropriate accounting policies have been applied consistently. Judgement and estimates that are reasonable and prudent have been made so as to give a true and fair view of the state of affairs of the Company as at the end of the financial year and of the profits of the Company for the year.
- proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.

iv. the annual accounts have been prepared on a going concern basis.

Subsidiary Company
GRANULES USA INC.

Granules USA Inc., a wholly owned subsidiary company, operates for the marketing requirements of the Company in USA. The turnover of the subsidiary Company has increased considerably from Rs.3,456 lakhs to Rs.5,585 lakhs showing a growth of 62%.

The relevant particulars of Granules USA Inc. and the consolidated final accounts for the year ended 30 June 2006, in accordance with the Accounting Standard AS-21 on Consolidated Financial Statements, read with Accounting Standard AS-23 on Accounting for Investment in Associates, are appended to this report.

Auditors

M/s. Kumar & Giri, Chartered Accountants, who are the statutory auditors of the Company hold office, in accordance with the provisions of the Companies Act, 1956, up to the conclusion of the forthcoming Annual General Meeting and have confirmed their eligibility and willingness for re-appointment.

Cost Auditors

Mr. E. Vidya Sagar, Cost Accountant, was appointed as Cost Auditor of the Company subject to the consent of the Government of India to conduct cost audit of the bulk drugs division of the Company for 2005-06.

Fixed Deposits

Your Company has not accepted any public deposits and, as

such, no amount on account of principal or interest on public deposits was outstanding on the date of Balance Sheet.

Conservation of Energy, Technology Absorption etc.,

The particulars as prescribed under section 217 (1) (e) of the Companies Act, 1956 read with the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988 are set out in Annexure I to this report.

Human Resources

Your Company enjoys cordial employee relations, marked by empowerment and delegation. In view of this need, the Company approved an Employee Stock Option Plan and implemented the Granules India Equity Option Plan 2002, framed and implemented in accordance with the SEBI (Employees Stock Option Scheme and Employees Stock Purchase Scheme) Regulations 1999.

Particulars of Employees

Information as required under Section 217 (2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975, as amended, are given in Annexure II to this report.

Employee Stock Option Plan

Your Company implemented the Granules India Equity Option Plan 2002 with the objective of enhanced employee commitment.

The details of the stock options granted under the Granules India Equity Option Plan 2002, including grants to senior management (comprises all Independent Directors), are given below:

	Description	Details
A	Total number of shares	3,91,082 shares (one share represents one option)
B	Pricing formula	At the fair market value as on the date of the grant
C	Options granted during the year	Nil
D	Options vested during the year	42,820
E	Options exercised during the year	42,820
F	Total number of shares arising as a result of exercise of options	42,820
G	Options lapsed during the year	35,550
H	Variation of terms of options	Not Applicable
I	Money realised by exercise of options during the year	Rs. 5,99,480/-
J	Total number of options in force	1,29,640
K	Options granted to Independent Director during the year	Nil
L	Employees who were granted options amounting to 5% or more of the options granted during the year.	Not Applicable
M	Employees who were granted options in any one year equal to or exceeding 1% of the issued capital of the Company at the time of grant	Not Applicable

Related Party Transactions

As a matter of policy, your Company carries out transactions with related parties on an arms- length basis. Statement of these transactions is given in the Notes to Accounts in compliance of Accounting Standard AS – 18.

Acknowledgements

The Directors thank the Company's customers, vendors, investors, business associates and bankers for their support to the Company.

The Directors also thank the Government of India and the Governments of various countries, the concerned State Governments and other Government Departments and

Governmental Agencies for their cooperation.

The Directors place on record their appreciation of the contributions made by every member of the Granules family.

On behalf of the Board of Directors,

Dr. C Nageswara Rao
Chairman

Place : Hyderabad
Dated : 16th October, 2006

Annexure - I to Directors' report

Particulars under Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988 for the year ended 30 June 2006.

FORM A – PARTICULARS OF CONSERVATION OF ENERGY

A. Power and fuel consumption

Particulars	For the year ended 30 June 2006	For the year ended 30 June 2005
1. Electricity		
Unit (KWH)	63,10,483.00	46,87,157.00
Total amount (Rs. In lakhs)	228.71	181.67
Rate/Unit (Rs.)	3.62	3.88
Rate/Kg of production (Rs.)	2.22	2.43
2. Own generation from Diesel Generator		
Unit (KWH)	3,45,232.70	1,73,155.00
Total amount (Rs. in lakhs)	57.37	31.26
Rate/Unit (Rs.)	16.62	18.05
Unit/Kg of production (Rs.)	0.03	0.02
Rate/Kg of production (Rs.)	0.56	0.42
3. Coal		
Qty. (MT)	5124.00	3820.36
Total cost (Rs. in lakhs)	120.33	97.91
Rate/Unit (Rs.)	2.35	2.56
Rate/Kg of production (Rs.)	2.20	2.19
4. Furnace Oil, LSHS & LD Oil		
Qty. (K. Ltrs.)	912.78	572.13
Total Cost (Rs. in lakhs)	172.60	78.31
Average/K.Ltr. (Rs.)	18.91	13.69
Rate/Kg of Production (Rs.)	3.58	2.60

B. Consumption per unit of production

Particulars	Standards	Current year	Previous year
Products (with details) unit			
Electricity	Since the Company manufactures a wide range of Bulk Drugs and Granulations, it is not practicable to give consumption per unit of production.		
Furnace Oil			
Coal			

FORM B - PARTICULARS OF ABSORPTION

Research and development (R & D)

1. Specific areas in which R & D work has been carried out by the Company
The Company's R&D worked on OTC monograph initiatives like Acetaminophen, several Acetaminophen combos (APAP PM, APAP/GGF, APAP/Aspirin/Caffeine), Cough & Cold (Guaifenesin) and OTC ANDA initiatives like Ibuprofen and Ibuprofen/Pseudo.

We have a highly experienced team with a global experience. Our focus is on immediate and sustained-release dosage forms. We possess the ability to develop several products and file ANDAs/Dossiers in the USA, Europe, Australia and many other countries. Being a Company whose business model evolved around PFIs, we have the capacity to handle compression and in-vitro tests.

The infrastructure is also designed to cater to the requirements of our customer on a contract basis. Consequently our customers are leveraging on our intellectual capability and state-of-the-art manufacturing facilities.

We are well supported by a scale up of production facilities and Class 100,000 R & D facility, which meets the global standards. The facility is spread over 3,500 sq.ft. with an expansion plan of up to 7,000 sq. ft. by mid 2007.
2. Benefits derived as a result of the above R & D
A number of new products in PFI were developed by the company. We are also developing several finished dosages and expect to commercialise more than seven products by April 2007.
3. Future plan of action
Our R&D focus is to create a business offering which comprises a set of documents that can serve as a document template for all regulated markets such as US, Canada, Europe and Australia. The Company would be consolidating its position on OTC ANDA products like Ranitidine, Famotidine and Loratadine. The future of this model will be to have a standardised finished dosage offering of all products to the world.

4. Expenditure on R & D:
The expenditure on R & D during the year 2005-06 is Rs. 487.78 lakhs.
- Technology absorption, adaptation and innovation

1. Efforts, in brief, made towards technology absorption, adaptation and innovation:
a. Developed and commercialised Compresso GGF 95SA in Fluid bed processor;
b. Developed and commercialised Compresso PAP 80DPL in high shear granulator;
c. Developed tasted masking of Ibuprofen crystals, through particle coating;
d. Developed Metformin DC 90X, which has no residual odour.

2. Benefits derived as a result of the above efforts:
Commercial batches of Metformin 90X were produced and supplied to some customers.

Ibuprofen taste masked product is under evaluation with some customers.

3. Imported technology: There is no import of technology.

FORM C - FOREIGN EXCHANGE EARNINGS AND OUTGO

(Rs. In lakhs)		
Particulars	2005-2006	2004-2005
Foreign Exchange Earnings	13,338.11	9,173.25
Foreign Exchange Outgo	8,017.51	4,681.83

On behalf of the Board of Directors,

Dr. C Nageswara Rao
Chairman

Place : Hyderabad
Dated : 16th October, 2006

Annexure - II to Directors' report

Information pursuant to Section 217 (2A) of the Companies Act, 1956 read with Companies (particulars of employees) Rules, 1975

Name	Age (yrs)	Qualification	Designation	Date of commencement of employment	Experience (yrs)	Gross remuneration (Rs. lakhs)	Last employment
Dr.K.R.Kumar	42	Ph. D. in pharmaceuticals	Director (R & D)	01/02/2006	14	15.90	Perrigo Laboratories India Pvt. Ltd., Hyderabad

- Notes :
1. Remuneration includes salary, allowances, Company contribution to Provident Fund and perquisites.
2. The nature of employment is contractual.
3. The above employee was in service only for a part of the year during 2005-06.
4. Dr.Kumar is not related to any Director of the Company.

On behalf of the Board of Directors,

Dr. C Nageswara Rao
Chairman

Place : Hyderabad
Dated : 16th October, 2006

Declaration regarding compliance with the Code of Conduct of the Company by Board Members and senior management personnel

This is to confirm that the Company has adopted the Code of Conduct for the Board of Directors and senior management personnel of the Company, which is available at www.granulesindia.com.

I declare that the Board of Directors and senior management personnel have affirmed compliance with the Code of Conduct of the Company.

Place: Hyderabad
Date: 16th October, 2006

C.Krishna Prasad
Managing Director



1. Company's philosophy on Corporate Governance

The Company believes that good Corporate Governance practices should be enshrined in all activities of the Company. This would ensure efficient conduct of the affairs of the Company and help the Company achieve its goal of maximizing value for all its stakeholders. The Company will continue to focus its resources, strengths and strategies to achieve its vision, while upholding the core values of transparency, integrity, honesty and accountability, which are fundamental to the Company.

The Company has a strong legacy of fair, transparent and ethical governance practices. The Company's Corporate Governance philosophy has been further strengthened through the Code of conduct and the Code of Conduct for Prevention of Insider Trading.

The Company is in compliance with the requirements of the revised guidelines on Corporate Governance stipulated under clause 49 of the Listing Agreement with the Stock Exchanges, and with the adoption this year, of a Code of Conduct for Directors and Senior Management personnel the Company has moved further in its pursuit of excellence in Corporate Governance.

2. Board of Directors

i) The Company has a Non-Executive Chairman and the number of Independent Directors at 60% is more than one-third of the total number of Directors. The number of Non-Executive Directors (NEDs) at 80% is more than 50% of the total number of Directors. The composition of the Board is in conformity with Clause 49 of the Listing Agreement entered into with the Stock Exchanges.

ii) None of the Directors on the Board is a Member of more than 10 Committees or Chairman of more than 5 Committees as specified in clause 49, across all the companies in which he is a Director. The Directors have made necessary disclosures regarding Committee positions in other public Companies as at March 31, 2006.

iii) The names and categories of the Directors on the Board, their attendance at Board Meetings held during the year and the number of Directorships and Committee Chairmanships / Memberships held by them in companies is given below. Other directorships do not include alternate directorships, directorships of private limited companies and of companies incorporated outside India. Chairmanship / Membership of Board Committees include only Audit and Shareholders / Investors Grievance Committees.

Name	Category	No. of Board Meetings during the year 2005-06		Whether attended last AGM	No. of Directorships in other public companies	No. of Committee positions held in public companies	
		Held	Attended			Chairman	Member
Dr.C.Nageswara Rao, (Chairman)	Non- Independent, Non- Executive	7	6	Yes	–	1	–
Shri.C.Krishna Prasad, (Managing Director)	Non- Independent, Executive	7	7	Yes	–	–	2
Shri.L.S.Sarma	Independent, Non- Executive	7	7	Yes	3	2	2
Shri.A.P.Kurian	Independent, Non- Executive	7	2	No	4	–	4
Shri.N.R.Ganti	Independent, Non- Executive	7	7	Yes	2	2	2

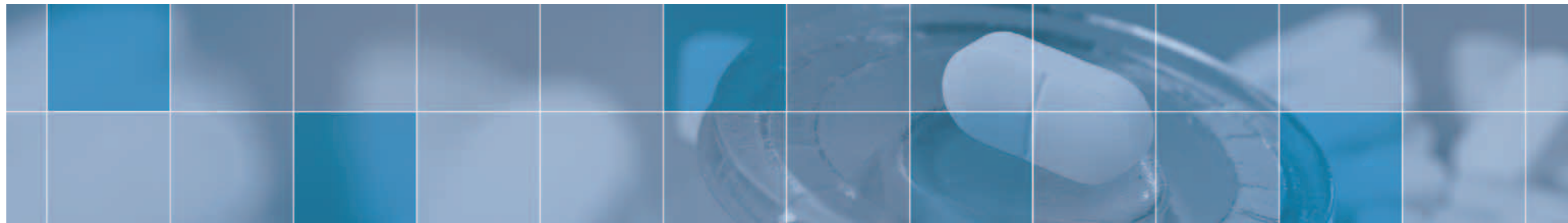
iv) Seven Board Meetings were held during the year and the gap between two meetings did not exceed four months. The dates on which the Board meetings were held are as follows: July 30, September 17, October 21, November 5, December 5, in 2005 and January 23, April 21, in 2006.

3. Audit Committee

i) The Composition, procedures, powers and role of the audit committee constituted by the Board comply with the requirements of Clause 49 of the Listing Agreement and Section 292A of the Companies Act, 1956.

ii) The terms of reference of the Audit Committee are broadly as under:

- Overview of the company's financial reporting process and the disclosure of its financial information to ensure that the financial statements reflect a true and fair position and that sufficient and credible information is disclosed.
- Recommending the appointment and removal of external auditors, fixation of audit fee and also approval for payment for any other services.
- Reviewing the financial statements and draft audit report,



- including quarterly / half yearly financial information.
- d. Reviewing with management the annual financial statements before submission to the Board, focusing primarily on:
- the changes in accounting policies and practices;
 - major accounting entries based on exercise of judgment by management;
 - qualifications in draft audit report;
 - significant adjustment arising out of audit;
 - the going concern assumption;
 - compliance with accounting standards;
 - compliance with stock exchange and legal requirements concerning financial statements;
 - any related party transactions as per Accounting Standard 18.
- e. Reviewing with the management, external and internal auditors, the adequacy and compliance of internal control systems.
- f. Reviewing the adequacy of internal audit functions.
- g. Discussion with internal auditors any significant findings and follow up thereon.
- h. Reviewing the findings of internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the Board.

- i. Discussion with external auditors before the audit commences nature and scope of audit as well as has post-audit discussion to ascertain any area of concern.
- j. Reviewing the Company's financial and risk management policy.
- iii) The Company's Audit Committee comprises of three Non Executive, Independent Directors and one Executive Director. Shri L.S.Sarma is the Chairman of the Committee and is a Non-Executive Independent Director and has expertise in accounting and financial management. The Audit Committee meetings are usually held at the Corporate Office of the Company and are usually attended by the Chief Finance Officer and representatives of the Statutory Auditors and representatives of the Internal Auditors. The Cost Auditor is invited to the meetings whenever matters relating to cost audit are considered. The Company Secretary acts as Secretary of the Audit Committee.
- iv) The previous Annual General Meeting of the Company was held on December 5, 2005 and it was attended by Shri.L.S.Sarma, the Chairman of the Audit Committee.
- v) Six Audit Committee meetings were held during the year. The dates on which the said meetings were held are as follows: July 30, September 17, October 21, in 2005 and January 23, March 15, April 21, in 2006.
- vi) The composition of the Audit Committee and particulars of meetings attended by the members of the Audit Committee are given below:

Name	Category	No. of meetings during the year 2005-06	
		Held	Attended
Shri L. S. Sarma, Chairman	Independent, Non- Executive	6	6
Shri N. R. Ganti	Independent, Non- Executive	6	6
Shri C. Krishna Prasad	Non- Independent, Executive	6	6
Shri A. P. Kurian	Independent, Non- Executive	6	3

4. Remuneration Committee

- i) The Remuneration Committee determines and recommends to the Board of Directors, a suitable remuneration package payable to Executive Directors. The Board of Directors may approve the same subject to the consents as may be required.
- ii) The Remuneration Committee comprises three Independent, Non-Executive Directors namely Shri L.S.Sarma, Shri.A.P.Kurian and Shri N. R. Ganti. The Committee deals with all elements of remuneration

- package, stock options, service contracts and other terms and conditions of the Executive Directors and senior management. No meetings were held during the year 2005-2006.
- iii) The remuneration policy is directed towards rewarding performance, based on review of achievements on a periodical basis. The remuneration policy is in consonance with the existing industry practice.
- iv) Details of remuneration to Directors during financial year 2005-06:

a) Executive Director				(Rs.)
Name	Salary	Perquisites	Commission	Total
Shri C.Krishna Prasad	30,00,000	7,87,023	21,53,410	59,40,433

b) Non Executive Directors: The Company paid a sitting fee of Rs. 2,500 for attending each meeting of the Board of Directors and the Committee meetings. From 23rd January 2006, the sitting fees was enhanced to Rs.5,000 for Board Meetings and other Committee meetings except Share Transfer and Shareholders' / Investors' Grievance Committee.

Name	Sitting Fees (Rs.)
Dr. C. Nageswara Rao	45,000
Shri L.S. Sarma	50,000
Shri A.P. Kurian	20,000
Shri N. R. Ganti	1,07,500

Committee of Directors was constituted to specifically look into the matters of investors' grievances such as Transfer, transmission, split and consolidation of investors holding, Replacement of lost/mutilated/stolen share certificates, Dematerialization of shares, Non-receipt of dividends / notices / annual reports, change of addresses etc., The main object of the Committee is to strengthen the Investors' relations.

- ii) The Committee meets every fortnight and during the year 2005-06, 23 meetings were held. During the year, 1 complaint was received from the shareholder and was pending as on 30th June 2006.
- iii) The composition of the Committee and the details of meetings attended by its members are given below:

5. Share Transfer and Shareholders'/Investors' Grievance Committee

- i) A Share Transfer and Shareholders' / Investors' Grievance

Name	Category	No. of meetings during the year 2005-06	
		Held	Attended
Shri N. R. Ganti, Chairman	Independent, Non- Executive	23	23
Dr. C. Nageswara Rao	Non- Independent, Non- Executive	23	10
Shri C. Krishna Prasad	Non- Independent, Executive	23	20



iv) Mrs.N.Madhavi, Company Secretary is the Compliance Officer of the Company.

2002 to administer the Company's Employee Stock Option Scheme (ESOS).

Two meetings of the Committee were held during the year 2005-06 on October 21 and December 5, 2005. The composition of the Committee and the details of meetings attended by its members are given below:

6. Other Committees

i) Compensation Committee:

The Compensation Committee was constituted in the year of

Name	Category	No. of meetings during the year 2005-06	
		Held	Attended
Shri L. S. Sarma, Chairman	Independent, Non- Executive	2	2
Shri N. R. Ganti	Independent, Non- Executive	2	2
Shri C. Krishna Prasad	Non- Independent, Executive	2	2

ii) Management Committee:

The Board has constituted a Management Committee to advice on all matters related to the management of the Company.

Five meetings of the Committee were held during the year

2005-06 on July 29, September 16, in 2005, January 24, March 14, and May 29, in 2006. The composition of the Committee and the details of meetings attended by its members are given below:

Name	Category	No. of meetings during the year 2005-06	
		Held	Attended
Shri N. R. Ganti, Chairman	Independent, Non- Executive	5	5
Shri L. S. Sarma	Independent, Non- Executive	5	5
Shri C. Krishna Prasad	Non- Independent, Executive	5	4

7. General Body Meetings

Particulars of last three Annual General Meetings:

AGM	Year	Location	Date	Time	No. of special resolutions passed
14th	2005	West Minister Hall, Hotel Central Court, Lakdi Ka Pool, Hyderabad.	05.12.2005	4.00 P.M.	Three
13th	2004	West Minister Hall, Hotel Central Court, Lakdi Ka Pool, Hyderabad.	20.12.2004	4.00 P.M.	One
12th	2003	House of Lords, Viceroy Hotel, Tank Bund Road, Hyderabad.	25.09.2003	3.00 P.M.	One

For the year ended 30th June 2006, there have been no resolutions passed through postal ballot. At the ensuing Annual General Meeting, there is no resolution proposed to be passed through postal ballot.

8. Disclosures

- There are no materially significant related party transactions, which have potential conflict with the interests of the Company at large.
- The Company has complied with the requirements of the Stock Exchanges, SEBI and other statutory authorities on all matters related to capital markets; no penalties or strictures have been imposed on the Company by the Stock Exchanges or SEBI or any other statutory authorities relating to the above.
- The Company has fulfilled the following non-mandatory requirements as prescribed in Annexure I D to clause 49 of the Listing Agreement with the Stock Exchanges:
 - The Company has set up a Remuneration Committee. Please see the para on Remuneration Committee for details.
 - The statutory financial statements of the Company are unqualified.
- Secretarial Audit

A qualified practicing Company Secretary carried out a secretarial audit to reconcile the total admitted capital with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) and the total issued and listed capital. The secretarial audit report confirms that the total Paid-up capital is in agreement with the total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

9. Means of Communication

The quarterly, half-yearly and annual financial results of the Company are communicated to the Stock Exchanges

immediately after the same are approved by the Board and are published in the prominent English and Telugu newspapers namely, Economic Times, Navbharat Times, Mumbai Times, Times of India, Business Standard and Andhra Bhoomi. The results are also displayed on the Company's website viz. www.granulesindia.com besides the web site of SEBI www.sebidifar.nic.in. Press releases made by the Company from time to time are also displayed on the website. The Management Discussion and Analysis forms part of this report and is provided elsewhere in this report.

10. General Shareholder Information

i) Annual General Meeting

Date : 28th December 2006

Time : 4.00 P.M.

Venue : West Minister Hall, Hotel Central Court, Lakdi Ka Pool, Hyderabad.

ii) Financial year

1st July 2005 to 30th June 2006

iii) Date of Book closure

26th December 2006 to 28th December 2006 (both days inclusive)

iv) Dividend payment

The Final Dividend, if declared, shall be paid / credited on or before 26th January 2007

v) Listing on Stock Exchanges

Bombay Stock Exchange Limited (BSE)

National Stock Exchange of India Limited (NSE)

vi) Stock Codes / Symbol

At BSE : 532482

At NSE : GRANULES

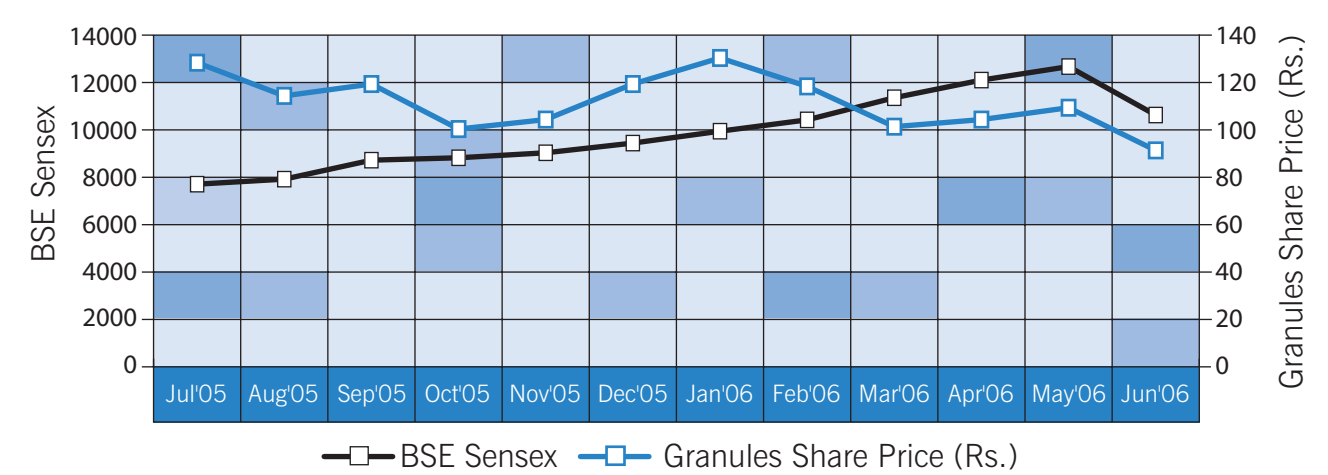


vii) Market Price data:

High, Low (based on the closing prices) and number of shares traded during each month in the last financial year on BSE and NSE are as follows:

Month	BSE			NSE		
	High	Low	Volume	High	Low	Volume
July 2005	128.00	101.10	2461436	126.00	101.30	873629
August 2005	113.90	97.00	2529346	125.00	98.65	1542940
September 2005	119.35	90.00	2577312	119.60	92.30	1660088
October 2005	99.75	80.00	497977	99.85	80.10	310849
November 2005	103.60	85.00	372837	104.00	84.00	311057
December 2005	119.00	92.25	3080111	119.00	91.75	2551483
January 2006	129.50	111.50	3554003	128.00	111.50	3362478
February 2006	118.30	95.20	834804	118.50	95.25	910928
March 2006	101.00	83.25	838758	104.00	83.30	835533
April 2006	103.90	85.05	833034	99.50	82.05	818889
May 2006	109.40	75.00	1780583	108.45	69.25	1967269
June 2006	90.80	64.25	1122291	94.00	63.25	862312

viii) Performance of share price of the Company in comparison to the BSE Sensex:



ix) Registrar and Transfer Agents:

M/s. CIL Securities Limited has been appointed as Registrars & Transfer Agents and Depository Transfer Agents of the Company. Any request pertaining to investors' relations may be addressed to the following address:

CIL Securities Limited
214, Raghava Ratna Towers
Chirag Ali Lane, Abids
Hyderabad – 500 001
Ph No: 91 44 23202465 / 66661276
Fax No: 91 44 23203028 / 66661267
Email: advisors@cilsecurities.com
Website: www.cilsecurities.com

Investors' Correspondence may also be addressed to:

The Company Secretary
Granules India Limited
8-2-293/A/A/2, Road No. 2
Banjara Hills, Hyderabad – 500 033
Tel: 91 44 2355 3266 Fax: 91 44 2354 7894
E-mail : companysec@granulesindia.com

x) Share Transfer System

Share Transfers are processed by the Registrar and Share Transfer Agents and approved by the Share Transfer Committee depending on the volume of transfers.

Presently, the share transfers received in physical form are processed and the share certificates returned within a period of 15 days from the date of receipt, subject to the documents being valid and complete in all respects.

xi) Shareholding:

a) Distribution of Shareholding as on:

Shareholding of Nominal value	30th June 2006				30th June 2005			
	No. of shareholders		No. of shares		No. of shareholders		No. of shares	
	Total	%	Total	%	Total	%	Total	%
1 – 5000	11202	99.12	3461035	28.00	5608	82.81	1021318	8.29
5001 – 10000	40	0.35	285906	2.31	592	8.74	487341	3.96
10001 – 20000	26	0.23	375726	3.04	286	4.22	440122	3.57
20001 – 30000	8	0.07	198519	1.61	88	1.30	233103	1.89
30001 – 40000	5	0.04	175070	1.42	40	0.59	149403	1.21
40001 – 50000	5	0.04	235979	1.91	45	0.67	219108	1.78
50001 – 100000	5	0.04	387251	3.13	45	0.67	345508	2.80
100000 and above	11	0.10	7241466	58.58	68	1.00	9422319	76.49
Total	11302	100.00	12360952	100.00	6772	100.00	12318132	100.00



b) Distribution Pattern as on 30th June 2006:

Category	No. of shares held	Percent to capital	No. of Members
Promoters/Associates	4585674	37.10	13
Mutual Funds, Banks & FIs	1363095	11.03	2
Bodies Corporate	1096104	8.87	477
Individual Shareholders	4151413	33.58	10809
GDRs	1164666	9.42	01
Total	12360952	100.00	11302

xii) Dematerialization of shares and liquidity:

The Company's shares are compulsorily traded in dematerialized form and are available for trading on both the depositories in India viz. National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL). Equity shares of the Company representing 98.14% of the Company's share capital are dematerialized as on June 30, 2006.

The Company's shares are regularly traded on The National Stock Exchange of India Limited and the Bombay Stock Exchange Limited, in electronic form.

Under the Depository System, the International Securities Identification Number (ISIN) allotted to the Company's shares is INE101D01012.

xiii) Outstanding GDRs / ADRs / Warrants:

Out of 37,61,007 GDRs issued during the year 2004-05, 11,64,666 GDRs were outstanding as on 30th June 2006.

The shareholders of the Company at the 14th Annual General Meeting held on 5th December 2005 have accorded their approval for issue of warrants convertible into equity shares on preferential basis to Shri.C.Krishna Prasad, Managing Director of the Company. Consequently the Committee of the Board at its meeting held on 20th December 2005 allotted 13,55,000 warrants convertible into 13,55,000 equity shares. As on

30th June 2006, the entire 13,55,000 warrants were outstanding.

xiv) Plant Locations:

- a. Plot No. 15/A/1, Phase III, I.D.A. Jeedimetla, Hyderabad-500 055
- b. Temple Road, Bonthapally, P.O. Jinnaram (M), Medak-502 313
- c. Plot No. 160/A & 161/E, Gagillapur Village, Qutubullapur Mandal, R R District-500 043

R&D Centre
Plot No. 160/A & 161/E, Gagillapur Village, Qutubullapur Mandal, R R District-500 043

xv) Address for Correspondence:

Granules India Limited
8-2-293/A/A/2, Road No. 2
Banjara Hills, Hyderabad-500 033, India
Tel : 91-44-23553266, Fax : 91-44-23547894
E-mail : mail@granulesindia.com
Website: www.granulesindia.com

Brief profile of Director seeking reappointment at the ensuing Annual General Meeting

Shri.A.P.Kurian

Shri.Kurian, Chairman of Association of Mutual Funds in India. He has a career in financial services area spread over more than four decades. Starting as Research Officer in Reserve Bank of India, he grew up to the rank of Adviser - Economics Department. During the period 1975-1993, he was with Unit Trust of India holding position of Director-Investments, Director-Planning and Development and as Executive Trustee (equivalent to Managing Director) from 1987 to 1993. After retirement from Unit Trust of India, he joined the Apple Mutual

Fund as Adviser from 1993 to 1998 and since 1998, he is the Executive Chairman of Association of Mutual Funds in India.

Shri.Kurian is on the Board of Geojit Financial Services Limited (Chairman), National Stock Exchange of India Limited (Director), Muthoot Capital Services Limited (Director) and Hexaware Technologies Limited (Director). He is a member of the Audit Committee of all the said Companies and of Executive Committee of NSDL and several other Committees associated with Mutual Funds and Capital Market.

Auditors' Certificate

To
The Members of
Granules India Limited

We have examined the compliance of Corporate Governance by Granules India Limited, for the year ended on 30th June 2006, as stipulated in clause 49 of the Listing Agreement of the said Company with Stock Exchanges.

The Compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above-mentioned Listing Agreement.

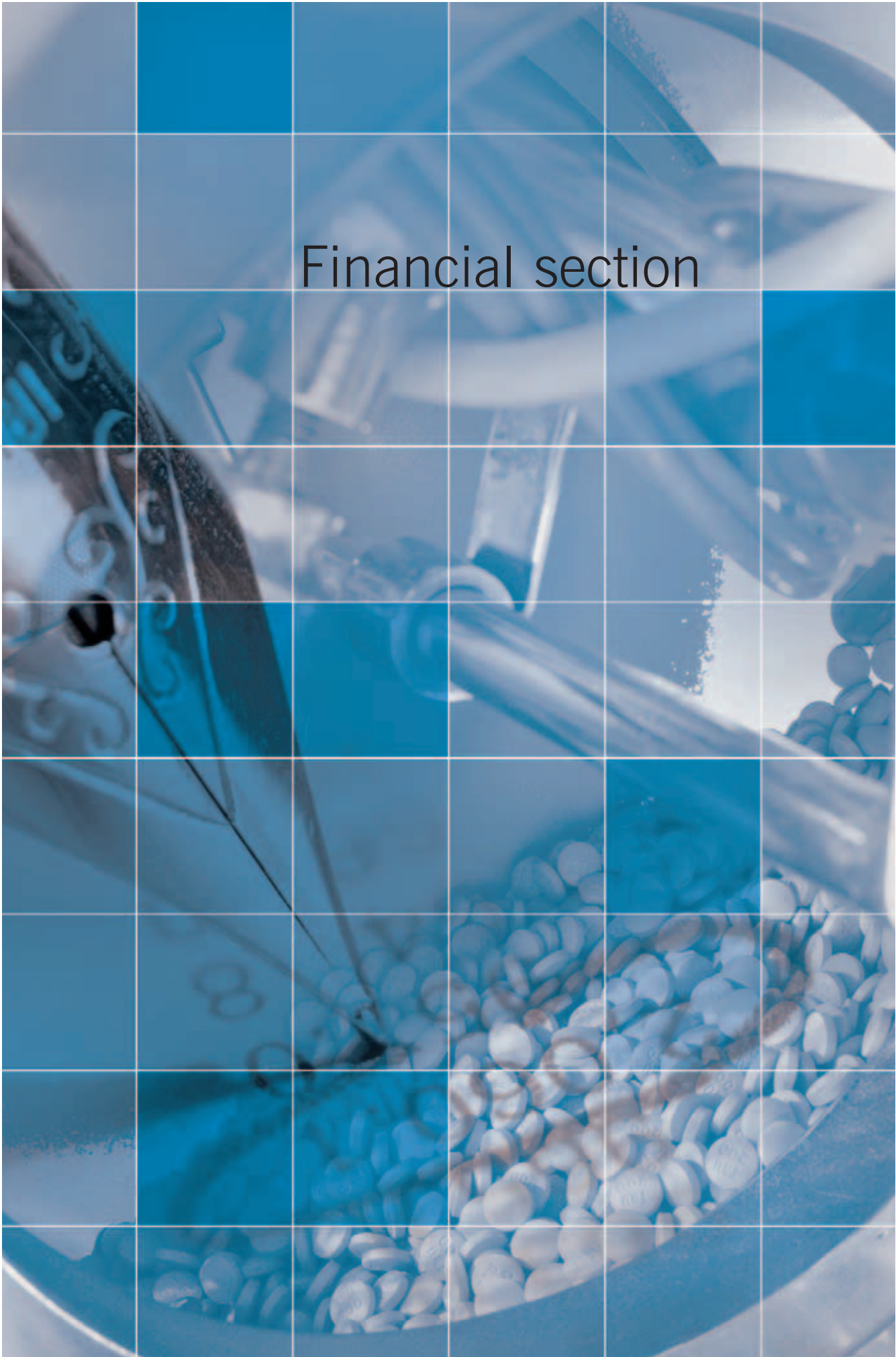
We state that no investor grievances are pending for a period exceeding one month against the Company as per the records maintained by the Share Transfer and Shareholders'/Investors' Grievance Committee.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For **Kumar & Giri**
Chartered Accountants

J. Bhadra Kumar
Proprietor
Membership No. 25480

Place: Hyderabad
Date: 16th October, 2006



Financial section

Auditors' Report

To
The Members of
M/s GRANULES INDIA LIMITED
Hyderabad - 500 033.

1. We have audited the attached Balance Sheet of M/s Granules India Limited, Hyderabad as on 30th June, 2006 and the Profit and Loss Account and Cash Flow Statement of the Company for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. Audit also includes assessing the accounting principles used and significant estimates made by the management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditor's Report) Order, 2003 issued by the Central Government of India in terms of section 227 (4A) of the Companies Act, 1956, we enclose in the Annexure, a statement on the matters specified in paragraphs 4 and 5 of the said Order.
4. Further to the above, our comments are as under:
 - a) Reference is invited to Note No. B (20) under Schedule No. Q regarding confirmation of balances.
 - b) Reference is invited to Note No. B (3) under Schedule No. Q regarding SSI dues.
5. Further to our comments in the Annexure referred to in paragraph (3) & (4) above:
 - a) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit.
 - b) In our opinion, proper books of account as required by the Law have been kept by the Company so far as it appears from our examination of such books.
 - c) The Balance Sheet, Profit and Loss Account and Cash

Flow Statement referred to in this report are in agreement with the Books of Account.

- d) In our opinion, the Balance Sheet, Profit and Loss Account and Cash Flow Statement comply with the requirements of the Accounting Standards referred to in sub-section (3C) of Section 211 of the Companies Act, 1956.
- e) On the basis of the written representations received from the directors, and taken on record by the Board of Directors, we report that none of the Directors are disqualified as on 30th June, 2006, from being appointed as directors in terms of clause (g) of sub-section (1) of Section 274 of the Companies Act, 1956.
- f) In our opinion, and to the best of our information and according to the explanations given to us, the said Balance Sheet, Profit & Loss Account and Cash Flow Statement read together with the significant accounting policies and notes thereon, give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India.
 - i) in so far as it relates to the Balance Sheet, of the state of affairs of the Company as on 30th June, 2006.
 - ii) in so far as it relates to the Profit & Loss Account, of the Profit of the company for the year ended on that date.
 - iii) in case of the Cash Flow Statement, of the cash flows for the period ended on that date.

For M/s Kumar & Giri
Chartered Accountants

J. Bhadra Kumar
Proprietor
Membership No. 25480

Place: Hyderabad
Date: 16th October, 2006

Annexure referred to in paragraph (3) of our report of even date

(I) Fixed Assets

- The Company is maintaining proper records showing full particulars including quantitative details and situation of fixed assets of the company.
- The physical verification of fixed assets is being carried out as per the program drawn up and to the extent the physical verification is carried out, no material discrepancies were noticed on such verification.
- According to the information and explanations given to us, the company has not disposed off any substantial part of fixed assets during the year.

(II) Inventory

- The stocks of raw materials, consumables, stores, work-in-progress and finished goods have been physically verified during the year at regular intervals by the management.
- The procedures of physical verification of stocks followed by the management are reasonable and adequate in relation to the size of the company and the nature of its business. In respect of finished goods lying with the consignees, the certificate given by the management is relied upon.
- The discrepancies noticed on verification of stocks as compared to books were not material and it has been properly dealt with in the books of account.

(III) Loans taken / granted

According to the information and explanations given to us, the company has neither taken nor granted any loans, secured or unsecured to/from companies, firms or other parties covered in the register maintained under sec.301 of the Companies Act, 1956.

(IV) Internal control

- In our opinion and according to the information and

explanations given to us, the internal control procedures are being strengthened on a continuous basis so as to be commensurate with the size of the company and the nature of its business for the purchase of inventory keeping in view of the expansion.

- There are no major weaknesses in the internal control procedures.

(V) Section 301

In our opinion and according to the information and explanations given to us, there are no transactions made in pursuance of contracts or arrangements entered into with parties entered in the register maintained under sec. 301 of the Companies Act, 1956 aggregating during the year to a value exceeding Rs. 5,00,000/- in respect of such party during the year.

(VI) Public deposits

The Company has not accepted any deposits from the public.

(VII) Internal audit

The company has an internal audit system so as to be commensurate with its size and the nature of its business.

(VIII) Cost records

The Central Government has prescribed maintenance of cost records in respect of manufacture of API products and formulations. The company has made and maintained account and records of such activities.

(IX) Statutory dues

The Company is generally regular in depositing undisputed statutory dues including Provident Fund, Employees State Insurance, Income tax, Customs Duty, Wealth Tax, Sales Tax, Excise Duty, Cess and other statutory dues with the appropriate authorities. There are no arrears of outstanding statutory dues as at the last day of the year ending 30.06.2006 for period exceeding 6

months from the date they became payable, excepting an amount of Rs.4.93 lacs representing unpaid dividend.

(X) Accumulated losses / cash losses

The company has no accumulated losses.

(XI) Repayment of dues

There are minor delays in repayment of dues to banks.

(XII) Loans & advances

The Company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.

(XIII) Chit - Fund companies / Nidhi / Mutual benefit societies

The provisions of special statute relating to chit fund companies and the provisions of Nidhi or mutual benefit fund/ societies are not applicable to the company.

(XIV) Financing companies

The Company is not dealing or trading in shares, securities and other investments.

(XV) Guarantee for loans

The company has not given any guarantee for loans taken by others to banks or financial institutions.

(XVI) Term loans

The term loans are applied for the purpose for which the loans were obtained.

(XVII) Usage of funds

According to the information and explanations given to us and on an overall examination of Balance Sheet of the Company, we report that no funds raised on short-term basis have been used for long-term investment. No long-term funds have been used to finance short-term assets except permanent working capital.

(XVIII) Preferential allotments

The company has not made any preferential allotment of shares to parties and companies covered in the register

maintained under sec. 301 of the Companies Act, 1956, excepting preferential allotments as under:

- 13,55,000 share warrants issued to the Managing Director convertible into 13,55,000 equity shares of Rs. 10 each at a price of Rs.102.50 per share; and
- 42,820 equity shares of Rs.10 each at a premium of Rs.4/- per equity share to various employees under an approved ESOP scheme.

The said allotments have been made as per the guidelines of the appropriate authorities.

The preferential shares so issued are not prejudicial to the interests of the company.

(XIX) Creation of securities

The company has not issued any debentures during the year, hence, the question of creation of securities does not arise.

(XX) Public issue

The company has not raised any money from the public during the year.

(XXI) Frauds

According to the information and explanations given to us, no fraud on or by the company has been noticed or reported during the year.

For M/s Kumar & Giri
Chartered Accountants

J. Bhadra Kumar
Proprietor
Membership No. 25480

Place: Hyderabad
Date: 16th October, 2006

Balance Sheet as at 30th June, 2006

(Amount in Rs)

	Schedules	As at 30 June, 2006	As at 30 June, 2005
SOURCES OF FUNDS			
Shareholders' Funds			
Share Capital	A	123,694,020	123,265,820
Share Application Money		13,888,750	–
Reserves & Surplus	B	701,994,248	629,995,246
Loan Funds			
Secured Loans	C	1,163,998,222	884,368,436
Unsecured Loans	D	107,524,468	55,925,918
Deferred Tax Liability		38,928,834	56,088,406
Total Sources of Funds		1,732,484,254	1,732,167,188
APPLICATION OF FUNDS			
Fixed Assets			
Gross Block	E	1,414,450,208	706,057,381
Less: Accumulated Depreciation		172,880,718	170,149
Net Block		1,187,270,059	533,176,664
Add: Capital Work in Progress including advances (Net)		236,930,815	365,716,881
		1,424,200,874	898,893,545
Investments	F	5,430,000	4,415,070
Current Assets, Loans & Advances	G		
Inventories		201,510,415	208,989,662
Sundry Debtors		457,251,059	616,457,811
Cash & Bank Balances		222,157,355	47,166,562
Other Current Assets		1,862,363	928,241
Loans and Advances		106,361,060	102,938,927
		979,903,336	985,720,119
Less: Current Liabilities & Provisions	H		
Current Liabilities		240,620,705	160,248,983
Provisions		18,968,239	17,557,188
Net Current Assets		720,314,392	807,913,948
Miscellaneous Expenditure	I	17,242,848	21,261,691
(to the extent not written off or adjusted)			
Total Application of Funds		2,167,188,114	1,732,484,254
Significant accounting policies and notes to accounts	Q		

As per our report of even date

For **Kumar & Giri**

Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Profit & Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Schedules	Year ended 30 June, 2006	Year ended 30 June, 2005
INCOME			
Gross Sales		1,815,919,699	1,376,131,888
Less: Excise duty & Sales tax		61,203,120	36,143,798
Net Sales	J	1,754,716,579	1,339,988,090
Other Income	K	5,097,455	8,469,791
		1,759,814,034	1,348,457,881
EXPENDITURE			
Cost of Materials consumed	L	1,114,914,902	864,699,774
Manufacturing Expenses	M	166,145,961	127,230,080
Marketing & Selling Expenses	N	128,745,195	93,587,785
Administrative Expenses	O	77,545,062	54,821,885
Interest and Finance Charges	P	102,452,734	88,843,790
Depreciation		52,107,457	32,220,245
Misc. Expenditure written off		4,637,676	4,346,209
Total Expenses		1,646,548,987	1,265,749,768
Profit before tax		113,265,047	82,708,113
Less: Current Tax Expense		2,863,937	2,707,700
Deferred Tax Expense		17,159,572	13,177,851
Fringe Benefit Tax		781,291	173,589
Net Profit after Taxes		92,460,247	66,648,973
Balance available for Appropriation		92,460,247	66,648,973
Less: Provision for dividend		15,451,190	15,397,665
Provision for dividend tax		2,167,029	2,159,523
Transfer to General Reserve		2,400,000	1,700,000
Balance transferred to Balance Sheet		72,442,028	47,391,785
Add profit brought forward from previous year		190,647,545	143,255,762
Surplus carried forward to Balance Sheet		263,089,573	190,647,547
Weighted average No. of Shares		13,692,841	10,101,421
Basic Earnings per share		7.49	6.59
Diluted Earnings per share		6.75	6.59
Significant accounting policies and notes to accounts	Q		

As per our report of even date

For **Kumar & Giri**

Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Schedules forming part of Balance Sheet as at 30th June, 2006

(Amount in Rs)

	As at 30 June, 2006	As at 30 June, 2005
Schedule – A SHARE CAPITAL		
Authorised Capital		
2,00,00,000 Equity Shares of Rs.10/- each (Previous year 2,00,00,000 Equity Shares of Rs.10/- each)	200,000,000	200,000,000
	200,000,000	200,000,000
Issued, Subscribed and Paid up Capital		
1,23,60,952 Equity Shares of Rs.10/- each. (Previous year : 1,23,18,132 equity shares of Rs.10/- each) (Of the above 24,12,134 equity shares of Rs.10/- each issued for consideration otherwise than cash, of which 16,67,334 equity shares are issued as per the Scheme of Amalgamation)	123,609,520	123,181,320
Add: Shares forfeited (39,000 equity shares have been forfeited)	84,500	84,500
	123,694,020	123,265,820

	Opening Balance	Additions	Withdrawals	Closing Balance
Schedule – B RESERVES & SURPLUS				
General Reserve	10,103,369	2,400,000	–	12,503,369
Revaluation reserve	3,014,306	–	3,014,306	–
Central Subsidy	1,214,159	–	–	1,214,159
Share Premium	425,015,867	171,280	–	425,187,147
Profit & loss Account	190,647,545	72,442,028	–	263,089,573
	629,995,246	75,013,308	3,014,306	701,994,248

	As at 30 June, 2006	As at 30 June, 2005
Schedule – C SECURED LOANS		
I) Term loans from Banks	616,182,183	365,167,613
Interest accrued and due	1,559,297	2,665,796
II) Hire purchase loans	3,208,114	1,620,185
III) Working Capital Borrowings from banks	543,048,628	514,914,842
Total (I+II+III)	1,163,998,222	884,368,436

Schedule – D UNSECURED LOANS		
From Banks	100,000,000	50,000,000
Sales Tax Deferment Loan	7,524,468	5,925,918
	107,524,468	55,925,918

Schedules forming part of Balance Sheet as at 30th June, 2006

(Amount in Rs)

Schedule – E FIXED ASSETS										
Particulars	GROSS BLOCK				DEPRECIATION			NET BLOCK		
	As on 1-July 05	Additions	Deletions	Total as on 30-Jun-06	As on 1-July 05	For the Period	On Deletions	As on 30-Jun-06	As on 30-Jun-06	As on 30-Jun-05
Land	26,783,423	25,810,007	–	52,593,430	–	–	–	–	52,593,430	26,783,423
Buildings	210,938,043	153,311,424	–	364,249,467	29,404,538	8,648,348	–	38,052,886	326,196,581	181,533,505
Plant & Machinery	315,190,710	362,964,610	506,385	677,648,935	106,431,232	34,012,493	266,345	140,177,380	537,471,555	208,759,478
Lab equipment	36,325,299	26,001,166	–	62,326,465	5,308,595	2,225,661	–	7,534,256	54,792,209	31,016,704
Material Handling equipment	11,946,354	9,224,845	–	21,171,199	1,316,731	774,888	–	2,091,619	19,079,580	10,629,623
Electrical Installations	28,183,502	12,426,244	–	40,609,746	7,995,601	1,460,598	–	9,456,199	31,153,547	20,187,901
Office equipment	14,776,452	939,136	–	15,715,588	5,171,254	766,159	–	5,937,413	9,778,175	9,605,198
Furniture & Fixtures	7,116,743	2,725,207	–	9,841,950	2,020,842	548,431	–	2,569,273	7,272,677	5,095,901
Computers	6,010,517	2,251,076	–	8,261,593	1,849,746	1,123,403	–	2,973,149	5,288,444	4,160,771
Vehicles	11,237,267	4,206,779	936,398	14,507,648	8,801,089	1,301,391	555,986	9,546,494	4,961,154	2,436,178
Technical Knowhow	37,549,071	109,975,116	–	147,524,187	4,581,089	4,260,391	–	8,841,480	138,682,707	32,967,982
Total	706,057,381	709,835,610	1,442,783	1,414,450,208	172,880,717	55,121,763	822,331	227,180,149	1,187,270,059	533,176,664
Previous year totals	683,049,089	24,232,022	1,223,730	706,057,381	138,295,166	34,923,133	337,582	172,880,717	533,176,664	544,753,923

Notes:

- 1) Depreciation for the period includes Rs.30,14,306 (Previous year Rs.27,02,888) pertaining to depreciation on revalued assets, which is transferred to Revaluation Reserve Account
- 2) Gross block of Vehicles includes Rs.85,56,277 (Previous year:Rs.43,49,498) acquired on hire-purchase basis.
- 3) Gross block of Office equipment includes Rs.226,800 (Previous Year Rs.226,800) acquired on hire-purchase basis.
- 4) Depreciation on Plant and Machinery includes triple shift allowance.

	As at 30 June, 2006	As at 30 June, 2005
Schedule – F INVESTMENTS		
(At Cost less provision for diminution in value)		
Quoted		
Long term - non-trade		
Andhra Bank (9600 shares of Rs.10/- each)	1,014,930	–
Sterling Holiday Resorts Ltd. (Time shares)	129,000	129,000
	1,143,930	129,000
Unquoted		
Trade long term		
M/s. Jeedimetla Effluent Treatment Ltd.. (15142 Equity shares of Rs.100/- each)	1,566,200	1,566,200
Pattancheru Envirotech Ltd. (34040 equity shares of Rs. 10/- each)	340,400	340,400
	1,906,600	1,906,600
Subsidiaries (Unquoted Shares)		
Granules USA Inc - 100% subsidiary	2,379,470	2,379,470
500 fully paid equity shares of US\$100 each		
Total	5,430,000	4,415,070

Schedule – G CURRENT ASSETS, LOANS & ADVANCES

i) Stock in hand		
Raw Materials	109,673,686	62,031,773
Finished Goods	56,526,544	91,899,879
Work In Process	29,098,499	37,436,189
Consumable and packing materials	3,537,704	3,964,345
Stores and Spares	10,153,229	6,178,229
	208,989,662	201,510,415

Schedules forming part of Balance Sheet as at 30th June, 2006

(Amount in Rs)

	As at 30 June, 2006	As at 30 June, 2005
Schedule – G CURRENT ASSETS, LOANS & ADVANCES (CONTD.)		
ii) Sundry Debtors (Unsecured, considered good)		
a) For more than six months	32,380,278	33,997,776
b) Others	584,077,533	424,202,352
	616,457,811	458,200,128
Less: Provision for doubtful debts	–	949,069
	616,457,811	457,251,059
iii) Cash & bank balances		
Cash on hand	221,057	66,202
Bank Balances:		
With scheduled banks:		
– in current account	6,204,952	902,537
– in deposit accounts (including margin money)	40,740,553	31,822,438
Unutilised issue proceeds		
With scheduled banks:		
– in current account	–	41,395,182
– in deposit accounts	–	80,000,000
With ICICI Bank, Singapore branch	–	67,970,996
	47,166,562	222,157,355
iv) Other current assets		
Interest receivable	928,241	1,862,363
	928,241	1,862,363
v) Loans & Advances		
Advances to suppliers	5,591,943	4,838,389
Deposits	7,488,395	7,127,473
Excise duty	15,383,977	16,212,886
Prepaid expenses	8,265,737	5,999,370
Sales tax refund	12,745,849	8,244,669
Import entitlements	41,298,764	41,675,988
Advance tax (net of provisions)	–	1,213,917
Loan to Granules USA	6,879,000	6,502,500
Other advances	8,707,395	11,123,735
	106,361,060	102,938,927
Schedule – H CURRENT LIABILITIES & PROVISIONS		
Current liabilities		
Due to Small Scale Industrial Undertakings	11,650,405	12,961,906
Due to Others		
– for goods & services	190,722,867	138,635,030
– for Capital goods	31,185,671	5,590,900
Unpaid dividends	492,755	323,024
Other Liabilities	6,569,007	2,738,123
	240,620,705	160,248,983
Provisions		
Provision for taxation (net of advances)	1,350,020	–
Provision for dividend	15,451,190	15,397,665
Provision for dividend tax	2,167,029	2,159,523
	18,968,239	17,557,188

Schedules forming part of Balance Sheet as at 30th June, 2006

(Amount in Rs)

	As at 30 June, 2006	As at 30 June, 2005
Schedule – I MISCELLANEOUS EXPENDITURE		
(To the extent not written off or adjusted)		
(i) Public Issue Expenses		
Opening Balance	15,188,652	328,256
Additions during the year	–	15,188,652
Less: Written off during the year	870,915	328,256
	14,317,737	15,188,652
(ii) Deferred Revenue Expenses		
Opening Balance	5,005,624	8,798,656
Less: Written off during the year	3,326,242	3,793,032
	1,679,382	5,005,624
(iii) Amalgamation Expenses		
Opening Balance	–	14,913
Less: Written off during the year	–	14,913
	–	–
(iv) VRS Expenses		
Opening Balance	1,067,415	547,038
Additions during the year	618,833	729,878
Less: Written off during the year	440,519	209,501
	1,245,729	1,067,415
Total (i + ii + iii + iv)	17,242,848	21,261,691

Schedules forming part of Profit and Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Year ended 30 June, 2006	Year ended 30 June, 2005
Schedule – J SALES		
Export Sales	1,432,842,041	959,769,393
Domestic Sales	378,649,934	413,786,960
By products	4,328,228	2,398,096
Export benefits	99,496	177,439
Gross Sales	1,815,919,699	1,376,131,888
Less: Excise duty	53,138,928	31,705,081
Sales Tax	8,064,192	4,438,717
Net Sales	1,754,716,579	1,339,988,090
Schedule – K OTHER INCOME		
Interest	3,135,584	5,890,431
Incentive	28,316	16,476
Dividends received	39,525	9,860
Sale of Scrap	1,850,574	1,284,520
Insurance Claims received	43,456	20,927
Profit on sale of Investments	–	1,113,910
Excess provision written back	–	133,667
	5,097,455	8,469,791

Schedules forming part of Profit and Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Year ended 30 June, 2006	Year ended 30 June, 2005
Schedule – L COST OF MATERIALS CONSUMED		
a) Consumption of Raw material	1,029,230,105	845,819,537
b) Consumption of Packing Materials	41,973,772	33,507,528
c) (Increase)/Decrease in Stocks		
(i) (Increase)/Decrease in WIP		
Opening stock	37,436,189	24,492,160
Closing Stock	29,098,499	37,436,189
	8,337,690	(12,944,029)
(ii) (Increase)/Decrease in FG		
Opening stock	91,899,879	90,216,617
Closing Stock	56,526,544	91,899,879
	35,373,335	(1,683,262)
Total (Increase)/Decrease in stocks	43,711,025	(14,627,291)
Total cost of material consumed (a+b+c)	1,114,914,902	864,699,774

Schedule – M MANUFACTURING EXPENSES

Wages	51,646,409	40,790,301
Conversion charges	1,339,619	–
Power & Fuel	57,901,088	38,915,823
Effluent Treatment expenses	13,252,610	10,553,139
Repairs & Maintenance - Factory Building	2,788,671	1,984,957
Repairs & Maintenance - Plant & Machinery	20,402,840	18,429,348
Repairs & Maintenance - Others	2,968,103	3,114,290
Consumables & Lab Chemicals	12,725,315	10,796,275
Analytical Fees	630,162	619,042
Others	2,491,144	2,026,905
	166,145,961	127,230,080

Schedule – N MARKETING & SELLING EXPENSES

Business Promotion expenses	8,866,650	7,336,804
Sales Commission	22,942,011	13,669,709
Freight & Clearing charges	89,919,643	66,298,411
Advertisement	–	320,496
Discount	–	1,547,207
Travelling expenses	7,016,891	4,415,159
	128,745,195	93,587,785

Schedules forming part of Profit and Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Year ended 30 June, 2006	Year ended 30 June, 2005
Schedule – O ADMINISTRATIVE EXPENSES		
Salaries, Wages & bonus	17,980,545	13,451,149
Contribution to Provident Fund	3,492,942	2,420,110
Employee welfare expenses	3,017,102	2,696,228
Directors remuneration	3,000,000	2,750,000
Managerial Commission	2,153,410	1,137,240
Repairs & Maintenance - Others	626,505	534,552
Rent	3,541,452	2,881,275
Rates & Taxes	4,755,211	2,159,653
Auditors' remuneration	362,250	297,540
Insurance	5,049,910	3,218,550
Consultancy & Professional Charges	5,654,771	3,219,239
Communication expenses	4,531,467	3,637,089
Printing & stationery	2,593,967	2,611,530
Travelling & Conveyance	9,586,063	6,186,912
Directors sitting fees	234,550	232,500
Foreign Exchange Fluctuations	3,321,353	147,321
Advertisement Charges	441,920	548,959
Garden Maintenance	1,521,101	1,700,990
Income-tax	103,799	–
Donations	865,240	475,856
Provision for Doubtful Debts	–	949,069
Loss on sale of assets	155,655	69,844
Sundry expenses	4,555,849	3,496,280
	77,545,062	54,821,885

Schedule – P INTEREST AND FINANCE CHARGES

Interest on Term loans	30,573,361	28,482,719
Interest on Working Capital	49,211,286	37,880,760
Interest Others	8,094,159	9,453,497
Bank Charges	14,573,928	13,026,814
	102,452,734	88,843,790

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS

A) SIGNIFICANT ACCOUNTING POLICIES:

- System of accounting:** The accounts have been prepared and presented under the historical cost convention method on the accrual basis of accounting in accordance with the accounting principles generally accepted in India and comply with the Accounting Standards issued by Institute of Chartered Accountants of India (ICAI) to the extent applicable.
- Fixed Assets:** Fixed Assets are stated at cost less accumulated depreciation. Cost is inclusive of duties & taxes (net of CENVAT / VAT), incidental expenses and erection / commissioning expenses.
- Depreciation:** Depreciation on fixed assets is provided on straight-line method at the rates specified in Schedule XIV of the Companies Act, 1956. The depreciation on incremental value arising from the revaluation of the fixed assets is charged to Revaluation Reserve Account.
- Expenditure during construction period:** Expenditure (including finance cost relating to borrowed funds for construction or acquisition of fixed assets) incurred on projects under implementation are treated as Preoperative expenses pending allocation to the assets and are shown under "Capital Work in Progress" and the same are apportioned to fixed assets on commencement of commercial production.

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

- 5) **Investments:** Long-term investments and investments in subsidiary companies are carried at cost. Provision for diminution in value is made whenever necessary in accordance with the Accounting Standards in force.
- 6) **Valuation of Inventories:**
- Inventories are valued at the lower of cost or net realisable value.
 - Inventories of raw material, consumables and stores and spares are valued at cost as per FIFO method. Cost does not include duties and taxes that are subsequently recoverable.
 - Cost for the purpose of finished goods and material in process is computed on the basis of cost of material, labour and other related overheads.
 - Goods in transit are stated at costs accrued up to the date of Balance Sheet.
 - Stocks with consignment agents are stated at costs accrued up to the date of the Balance sheet.
- 7) **Government grants:** Government grants received in the nature of promoter's contribution and where no repayment is ordinarily expected, are treated as capital reserve.
- 8) **Foreign Exchange:** Foreign exchange transactions are recorded at the exchange rates prevailing at the time of transactions or at contracted rates. Current assets and current liabilities are translated at values prevailing at the Balance Sheet date. Gains/Losses, if any, arising thereby are recognized in the Profit and Loss account.
- 9) **Revenue Recognition:**
- Revenue from sales is recognized when significant risk and rewards in respect of ownership of the products are transferred.
 - Revenue from domestic sales is recognized on dispatch of products from the factory of the company and in case of consignment sale, on further sale made by the agents.
 - Revenue from export sales is recognized on the basis of dates of Bill of Lading.
- 10) **Export Benefits:** Advance licences are issued to the company under the Advance Licence Scheme [Duty Exemption Entitlement Certificate (DEEC Scheme)] / duty entitlement credited under the Duty Entitlement Pass Book Scheme (DEPB Scheme) on the export of the goods manufactured by it. Whenever export sales are made by the company, pending receipt of imported duty-paid raw materials under the DEEC / DEPB Schemes, the cost of domestic raw materials actually consumed for the purpose of such exports is compensated and / or matched by accruing the value of the benefit under the DEEC / DEPB Scheme.
- 11) **Research and development expenses:**
- Research costs not resulting in any tangible property/equipment are charged to revenue as and when incurred.
 - Know-how / product development costs incurred on an individual project are carried forward when its future recoverability can reasonably be regarded as assured. Any expenditure carried forward is amortized over the period of expected future benefits from the related project, not exceeding ten years.
 - The carrying value of know-how / product development costs are reviewed for impairment annually when the asset is not yet in use and otherwise when events or changes in circumstances indicate that the carrying value may not be recoverable.
- 12) **Employee Retirement Benefits:**
- Provident fund: These expenses are accounted on accrual basis and charged to Profit and Loss account of the year.
 - Gratuity: Payment for present liability of future payment of gratuity is made to an approved Gratuity Fund that fully covers the same.
 - Provision for accrued leave encashment is made on the basis of actuarial valuation.
- 13) **Borrowing costs:** Borrowing costs incurred in relation to the acquisition and construction of assets are capitalized as part of the cost of such assets up to the date when such assets are ready for intended use. Other borrowing costs are charged as an expense in the year in which they are incurred.
- 14) **Income tax expense:**
- Current Tax Expense
The Current charge for income tax is calculated in accordance with the tax regulations.
 - Deferred Tax Expense
Deferred income tax reflects the impact of timing difference between accounting income and tax income for the year / period. Deferred tax is measured based on the tax rates and the tax laws enacted at the Balance Sheet date. Deferred tax asset is recognized only to the extent of certainty of realization of such asset.
 - Fringe Benefit Tax:
Fringe Benefit Tax is calculated in accordance with the tax regulations.

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

B) NOTES TO ACCOUNTS :

1) Contingent liabilities not provided for in respect of:

(Rs. in Lacs)

	As at 30 June, 2006	As at 30 June, 2005
a) Claims against the company not acknowledged as debts:		
Income tax	33.80	33.80
Customs duty	43.47	61.95
b) Estimated amount of contracts remaining to be executed on Capital account and not provided for (net of advances)	2026.52	657.90
c) Letters of credit and Bank Guarantees issued by Bank	3158.18	2918.84
d) Bills discounted with banks	4644.76	2667.71

2) Secured loans:

- Term loans: Term loans from Banks are secured by equitable mortgage of Land and buildings and hypothecation of plant and machinery located at Jeedimetla, Gagillapur and Bonthapally on *pari passu* basis.
Term loans are further secured by second charge on hypothecation of stocks of raw materials, finished goods, semi finished goods and receivables.
In addition, pledge of 12.50 lacs shares belonging to Managing director in Granules India Limited were given as collateral security on *pari passu* basis to Andhra Bank, Bank of Baroda, IndusInd Bank and ING Vysya Bank.
- Working capital facilities: The working capital facilities from Banks are secured by hypothecation of stocks of raw materials, finished goods, semi finished goods and receivables on *pari passu* basis. The working capital facilities are further secured by a second charge on the fixed assets of the company.
In addition, *pari passu* charge by way of equitable mortgage of house property belonging to Managing Director was given as collateral security.
- All the above loans are further secured by personal guarantee of the Managing Director.
- Hire purchase loans are secured by hypothecation of the asset purchased.

- 3) Sundry creditors include a sum of Rs.116.50 lacs due to Small Scale Industrial Undertakings. Total outstanding dues of small scale industrial undertakings have been determined to the extent such parties have been identified on the basis of the information available with the company. The parties to whom the company owes sums outstanding for more than 30 days as at the Balance Sheet date are:

Amar Inds. & Fine Chemicals	Durga Industries	Kats Organics (P) Ltd.
Lakshmi Engg. Works	Perfect Engineering	Pragati Switches (P) Ltd.
Shital Chemicals	Spectrum Filtration (P) Ltd.	Sree Srinivasa Containers
Sree Venkateshwara Engg. Works	Super Olefins (P) Ltd.	Sidharth Canisters Pvt. Ltd..
Sree Encee Enterprises	Technic Sales Corporation	Technic Containers
Trijema Filterall (P) Ltd.	Unnati Stickers	Vensar Cold Storages (P) Ltd.

4) Particulars of Production, Sales and Stock of Finished Goods (Previous year figures in brackets).

(Qty is in M.Ts, Value Rs. in Lacs)

Product	Opening stock		Production/ Purchases	Closing Stock		Sales	
	Qty	Value	Qty	Qty	Value	Qty	Value
API's	37.91 (308.78)	125.32 (446.94)	5111.06 (3692)	130.23 (37.91)	223.81 (125.32)	2308.90 (1624.59)	5224.64 (5054.62)
PFI' s	292.71 (231.24)	758.55 (455.23)	6759.51 (3784.65)	173.26 (292.71)	335.73 (758.55)	6878.96 (3723.17)	12171.19 (8201.08)
Formulations (Tablets) (in 000')	24325 (-)	35.13 (-)	25909.14 (106850)	6771.16 (24325)	5.73 (35.13)	43463.99 (82525)	151.33 (144.18)
Total				17547.16			(13399.88)

Note: Captive consumption of API's is 2709.84 MT (Previous Year 2339.08 MT) included in Production.

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

5) Consumption of Raw materials during the year:

(Qty is in M.Ts, Value Rs. in Lacs)

Name of the material	2005-06		2004-05	
	Qty	Value	Qty	Value
Para Amino Phenol	3060.00	3391.87	2200.45	2208.05
Acetic Anhydride	3211.35	1539.82	2366.54	1221.16
Guaicol	391.60	893.90	379.21	766.03
Paracetamol	728.54	1086.18	429.49	533.61
Ibuprofen	297.13	1027.11	120.03	376.40
Epichlorohydrin	379.79	317.89	288.92	206.89
PVPK	69.14	416.74	24.95	197.24
Ephedrine HCL	0.92	11.04	9.87	118.99
2,6 Diamino Pyridine	19.20	155.05	12.30	117.02
PG starch	267.57	148.73	193.02	109.43
Others		1303.97		2603.38
Total		10292.30		8458.20

6) Remuneration to Managing Director

(Rs. in Lacs)

	2005-06	2004-05
Salary	30.00	27.50
Commission	21.53	11.37
Perquisites	7.87	4.58
Total	59.40	43.45

7) Computation of net profit u/s 198 read with Section 309 (5) of Companies Act, 1956

(Rs. in Lacs)

	Period ended 30 June 2006	Period ended 30 June 2005
Profit before Income tax as per Profit & Loss account	1132.65	827.08
Add: Directors remuneration	30.00	27.50
Directors' commission	21.53	11.37
Directors sitting fees	2.35	2.33
Loss / (Profit) on assets sold / written off (Net)	1.56	0.70
Total	1188.09	868.97
Total remuneration payable including commission @5%	59.40	43.45
Less: Remuneration & perquisites paid	37.87	32.08
Balance being commission payable	21.53	11.37

8) Remuneration to Statutory Auditors

	2005-06	2004-05
As Auditor	3.50	2.75
As adviser, or in any other capacity, in respect of:		
Taxation services	Nil	Nil
Company Law matters	Nil	Nil
Management services	Nil	Nil
Certification	0.13	0.22
Out of pocket expenses	Nil	Nil
Total	3.63	2.97

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

9) Licensed, Installed capacity and actual production of Active Pharmaceutical Ingredients (APIs), Pharmaceutical Formulation Intermediates (PFIs) (As certified by the Management)

	2005-06	2004-05
Capacity and Production		
i) Licensed Capacity (Metric tones per annum)	NA	NA
ii) Installed Capacity (Metric tones per annum)		
APIs	13755.10 *	3713.28
PFIs	8400.00	6480.00
Tablets (in 1000 Nos)	172800	172800
iii) Production (Metric tones)		
APIs	5111.06	3692.80
PFIs	6759.51	3784.65
Tablets (in 1000 Nos)	25909.14	106850

* The new plant at Bonthapally commenced commercial production during March 2006 and installed capacity of 10,000 MT is included in total API capacity.

10) Foreign Exchange outgo/earnings towards:

Expenditure/Earnings in Foreign Currency	2005-06	2004-05
Import of goods	7070.72	4344.21
Foreign travel	27.25	8.85
Sales commission	126.05	51.08
Consultancy charges	0.46	102.30
Capital assets	772.36	118.48
Investments	–	–
Unsecured loans	–	23.25
Other expenditure	20.67	33.66
Foreign exchange earnings - Export sales realized	13338.11	9173.25

11) Details of Imported and Indigenous Raw Materials:

Raw materials consumed - Imported/ Indigenous

(Rs. in Lacs)

	2005-06		2004-05	
	%	Value	%	Value
Imported	67.40	7219.70	47.78	4201.78
Indigenous	32.60	3492.34	52.22	4591.49
Total	100.00	10712.04	100.00	8793.27

12) During the year, the company has capitalized borrowing costs of Rs.130.57 lacs towards API facility at Bonthapally (Previous year Rs.78.92 lacs for API facility at Bonthapally, grouped under Capital Work in Progress) incurred during the year.

13) Segment reporting: The Company has only one business segment of "Pharmaceuticals". Therefore, the disclosure requirements of "Segment reporting" are not applicable.

14) Related party disclosures required as per Accounting Standard (AS-18) on "Related party disclosures" issued by the Institute of Chartered Accountants of India, are as below:

a) Names of related parties and the nature of relationships:

Name	Relationship
(i) Granules USA Inc.	Wholly owned subsidiary company
(ii) Key management personnel: Shri C. Krishna Prasad	Managing Director
(iii) Others: Dr. C. Nageswara Rao	Non-Executive Chairman

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

b) Transactions with Subsidiary company:

	30 June 2006	30 June 2005
Sale of goods	5738.70	3442.70
Unsecured loan	–	23.26
Interest on unsecured loan	3.78	3.10
Equity participation	–	–

Amounts outstanding at Balance sheet date:

	30 June 2006	30 June 2005
Loan granted	68.79	65.03
Interest on loan	8.52	4.74
Equity subscribed	23.79	23.79
Amounts receivable for sales made	3183.46	2085.30

c) Transactions with other related parties:

Mr. C. Krishna Prasad, Managing Director:		
Remuneration	59.40	43.45
Dr. C. Nageswara Rao, Chairman:		
Sitting fee paid	0.45	0.50

15) Details of Loans and advances given to Subsidiary company:

Unsecured loan to Granules USA Inc.

	30 June 2006	30 June 2005
Balance as at 30 June 2006	68.79	65.03
Maximum balance during the period	68.79	65.03
Rate of interest charged	5% p.a.	5% p.a.

16) Earnings Per Share – Basic & Diluted

	2005-06	2004-05
Net profit for the year (Rs. in lacs)	923.57	666.49
Weighted average number of shares outstanding during the year	1,36,92,841	1,01,01,421
Basic earnings per share (Rs.)	7.49	6.59
Diluted earnings per share (Rs.)	6.75	6.59
Nominal value of shares (Rs.)	10.00	10.00

- 17) Deferred tax has been accounted for in accordance with the Accounting Standard - 22, "Accounting for taxes on income", issued by the Institute of Chartered Accountants of India. The components of Deferred Tax Assets and Liabilities recognized in these accounts are as follows:

	Opening balance as on 1.7.2005	Charge/(Credit) during the period	Closing balance as on 30.6.2006
(Rs. in Lacs)			
Deferred tax liability			
Depreciation	397.33	311.95	709.28
Voluntary retirement scheme	0.10	(0.10)	–
GAR Issue expenses	–	–	–
Deferred revenue expenses	2.55	–	2.55
Total	399.98	311.85	711.83
Deferred tax asset			
Leave encashment	4.76	3.53	8.29
Bonus	5.92	0.51	6.43
Carry forward Business Losses	–	96.38	96.38
MAT Credit	–	39.83	39.83
Total	10.68	140.25	150.93
Net Deferred tax liability	389.30	171.60	560.90

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

- 18) API facility at Bonthapally commenced production during the year and fixed assets of Rs.5333.61 lacs (including preoperative expenses of Rs. 505.49 Lacs) has been capitalized during the year.

- 19) Sundry debtors include a sum of Rs. 3183.46 lacs (Previous year: Rs.2085.30 lacs) due from a subsidiary company. During the year an amount of Rs.9.49 lacs has been written off as bad debts against provision made in earlier years.

- 20) Balances appearing under Sundry creditors, Capital WIP, Loans and advances and debtors are subject to confirmation and/or reconciliation, if any.

21) Amortization of Miscellaneous Expenditure:

- a) GAR issue expenses of Rs.151.89 lacs carried forward from earlier years are amortized over a period of 5 years commencing from the year in which the Projects commence commercial production. Paracetamol Project at Bonthapally had commenced commercial production during March 2006, hence the issue expenses are proportionately amortized.
- b) Deferred Revenue expenses and Amalgamation expenses of Rs. 50.05 lacs carried forward from earlier years are amortized over a period of 5 years.
- c) The company has implemented a Voluntary Retirement Scheme (VRS). The total cost of separation of Rs.6.19 lacs excluding Gratuity under the Gratuity scheme applicable to the employees is amortized over a period of 5 years.

- 22) The company has implemented an Employees Stock Option Scheme and 42,820 Equity shares of Rs.10 each were issued at a premium of Rs.4/- under the said Scheme.

- 23) The Government of Andhra Pradesh, Commissionerate of Industries has vide its Letter no.20/2/9/0444/ID dated 11 October 1999 and its clarification vide Letter dated 4 August 2001 determined an eligibility of Rs.184.12 lacs towards Sales tax deferment on the sale of Paracetamol and the Sales tax payable by the company for a period of 14 years commencing from 30 June 1998 to 29 June 2012 is deferred. The liability of Rs.75.24 lacs as at 30 June 2006 (Previous year Rs.59.26 lacs) for the deferred Sales tax is shown under unsecured loans.

- 24) The company has not provided Rs.92.25 lacs (Previous year: Rs.83.49 lacs) for Excise duty on Closing Stock of Finished goods. This has no effect in the Profit & Loss account of the year.

- 25) In terms of accounting policy 10 for the accrual of export benefits, estimated benefits of Rs. 513.54 lacs (Previous year Rs.201.88 lacs) have been taken into account under the DEEC / DEPB Schemes.

- 26) Previous years figures have been re-grouped / re-arranged / re-classified wherever necessary.

- 27) Figures in Balance Sheet and Profit & Loss account have been rounded off to the nearest Rupee and figures in Notes have been rounded off to the nearest thousand and have been expressed in terms of decimals of thousands.

As per our report of even date

For **Kumar & Giri**

Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Cash Flow Statement for the year ended 30th June, 2006

(Amount in Rs.)

Particulars	Year ended 30th June, 2006	Year ended 30th June, 2005
A Cash Flow from Operating Activities		
Net Profit before tax and extraordinary items	113,265,047	82,708,113
Adjustments for:		
Depreciation	52,107,457	32,220,245
Misc. Expenditure written off	4,637,676	4,346,209
Profit / (Loss) on sale of assets	155,655	69,844
Provision for doubtful debts	–	949,069
Interest & dividend income	(3,175,108)	(5,900,291)
Profit on sale of investments	–	(1,113,910)
Interest & finance charges	87,878,806	141,604,485
Interest & finance charges	87,878,806	75,816,976
Operating profit before working capital changes	254,869,532	189,096,255
Increase in Trade and other receivables	(163,842,803)	(156,646,848)
Increase in inventories	(7,479,247)	(43,415,418)
Increase/(decrease) in Trade Payable	54,384,583	23,709,037
Cash generated from operations	137,932,065	12,743,027
Interest paid	88,985,304	75,546,761
Direct Taxes paid	858,654	6,588,317
Dividends and dividend tax paid	17,387,457	11,626,080
Net Cash from operating activities	30,700,650	(81,018,131)
B Cash flow from Investing Activities		
Purchase of fixed assets	555,454,773	358,648,153
Increase in Miscellaneous expenditure	618,833	15,918,530
Purchase/(sale) of investments	1,014,930	(1,918,309)
Sale of Fixed Assets	(464,797)	(816,304)
Interest/dividends received	(4,109,231)	(4,530,910)
Net Cash used in investing activities	552,514,508	367,301,160
C Cash flow from Financing Activities		
Proceeds from issue of share capital including premium	14,488,230	398,620,806
Increase in Working Capital Loans	28,133,786	182,943,521
Proceeds from Long Term & Other Borrowings	328,849,904	76,967,613
Repayment of long term loans	(76,247,405)	(625,581)
Proceeds from Unsecured Loans	101,598,550	51,446,668
Repayment of unsecured loans	(50,000,000)	(73,038,000)
Net Cash used in Financing Activities	346,823,065	636,315,026
Net Increase/(decrease) in cash & cash equivalents (A+B+C)	(174,990,793)	187,995,735
Cash equivalents (Opening Balance as at 1-7-2005)	222,157,355	34,161,620
Cash equivalents (Closing Balance as at 30-6-2006)	47,166,562	222,157,355

Notes: Cash flow statement has been prepared following the indirect method. Interest paid, direct taxes paid, dividend paid are on the basis of actual movement of cash.

As per our report of even date
For **Kumar & Giri**
Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Balance Sheet Abstract and Company's General Business Profile

I. Registration Details

Registration No. State Code

Balance Sheet Date

Date Month Year

II. Capital Raised during the year (Amount in Thousand of Rupees)

Public Issue Rights Issue

Bonus Issue Private Placement

III. Position of Mobilization and Deployment of Funds (Amount in Thousand of Rupees)

Total Liabilities Total Assets

Sources of Funds

Paid-up Capital Reserves & Surplus

Secured Loans Unsecured Loans

Deferred tax liability

Application of Funds

Net Fixed Assets Investments

Net Current Assets Misc. Expenditure

IV. Performance of Company (Amount in Thousand of Rupees)

Turnover Total Expenditure

Profit/Loss before Tax Profit/ Loss after Tax

Earnings Per Share Dividend %

V. Generic Names of Three Principal Products / Services of Company (as per monetary terms)

Item code No.

Product Description Bulk drugs
Formulations & Granulations

As per our report of even date
For **Kumar & Giri**
Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Section 212

Statement pursuant to Section 212 of the Companies Act, 1956.

1.	Name of the subsidiary	Granules USA Inc.
2.	Financial period ended	30th June, 2006
3.	Date from which it become a subsidiary.	5th March, 2003
4.	Holding company's interest	100% (500 shares of USD 100 each fully paid up)
5.	The net aggregate amount of the profits or losses for the current period of the subsidiary so far as it concerns the members of the holding company.	
	a. dealt with or provided for in the accounts of the holding company.	Nil
	b. not dealt with or provided for in the accounts of the holding company.	Loss of Rs. 49.58 lacs
6.	The net aggregate amount of the profits or losses for the previous financial years of the subsidiary so far as it concerns the members of the holding company.	
	a. dealt with or provided for in the accounts of the holding company.	–
	b. not dealt with or provided for in the accounts of the holding company.	Loss of Rs. 146.66 lacs

For and on behalf of the Board

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Consolidated Auditors' Report

To

The Board of Directors,
M/s GRANULES INDIA LIMITED
Hyderabad – 500033.

- We have audited the attached consolidated Balance Sheet of M/s Granules India Limited and its subsidiary M/s Granules USA Inc. as on 30th June 2006 and the consolidated Profit and Loss Account and the consolidated Cash Flow Statement of the Company for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
- We conducted our audit in accordance with auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. Audit also includes assessing the accounting principles used and significant estimates made by the management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
- We did not audit the financial statements of the subsidiary, whose financial statements reflect total assets of Rs. 3393.07 lakhs as at 30th June 2006, the total revenue of Rs. 5584.70 lakhs for the year ended on that date. These financial statements and other financial information have been audited by other auditors whose report has been furnished to us, and our opinion is based solely on the report of other auditors.
- We report that the consolidated financial statements have been prepared by the company's management in accordance with the requirements of Accounting Standards

(AS) 21, Consolidated Financial Statements, issued by the Institute of Chartered Accounts of India.

- For that to the above, our comments are as under:
 - Reference is invited to Note No. B (11) under Schedule No. Q regarding confirmation of balances.
- In our opinion, and to the best of our information and according to the explanations given to us, the said consolidated Balance Sheet, consolidated Profit & Loss Account and consolidated Cash Flow Statement read together with the significant accounting policies and notes thereon, give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India.
 - in so far as it relates to the consolidated Balance Sheet, of the state of affairs of the Company as on 30th June 2006.
 - in so far as it relates to the consolidated Profit & Loss Account, of the Profit of the company for the year ended on that date.
 - in case of the consolidated Cash Flow Statement, of the cash flows for the year ended on that date.

For **M/s Kumar & Giri**
Chartered Accountants

J. Bhadra Kumar
Proprietor
Place: Hyderabad
Date: 16th October, 2006
Membership No. 25480

Consolidated Balance Sheet as at 30th June, 2006

(Amount in Rs)

	Schedules	As at 30 June, 2006	As at 30 June, 2005
SOURCES OF FUNDS			
Shareholders' Funds			
Share Capital	A	123,694,020	123,265,820
Share Application Money		13,888,750	–
Reserves & Surplus	B	657,846,166	604,615,204
Loan Funds			
Secured Loans	C	1,163,998,222	884,368,435
Unsecured Loans	D	107,524,468	55,925,918
Deferred Tax Liability		56,088,406	38,928,834
Total Sources of Funds		2,123,040,032	1,707,104,211
APPLICATION OF FUNDS			
Fixed Assets			
Gross Block	E	1,416,092,443	706,706,484
Less: Accumulated Depreciation		227,593,712	173,048,328
Net Block		1,188,498,731	533,658,156
Add: Capital Work in Progress including advances (Net)		236,930,811	365,716,880
		1,425,429,542	899,375,036
Investments	F	3,050,530	2,035,600
Current Assets, Loans & Advances	G		
Inventories		347,956,927	273,210,005
Sundry Debtors		429,955,372	362,811,498
Cash & Bank Balances		60,064,596	228,458,896
Other Current Assets		63,642	1,370,201
Loans and Advances		99,550,299	97,072,294
		937,590,836	962,922,894
Less: Current Liabilities & Provisions	H		
Current Liabilities		241,305,486	160,933,822
Provisions		18,968,239	17,557,188
Net Current Assests		677,317,112	784,431,884
Miscellaneous Expenditure (to the extent not written off or adjusted)	I	17,242,848	21,261,691
Total Application of Funds		2,123,040,032	1,707,104,211
Significant accounting policies and notes to accounts	Q		

As per our report of even date

For **Kumar & Giri**

Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Consolidated Profit & Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Schedules	Year ended 30 June, 2006	Year ended 30 June, 2005
INCOME			
Gross Sales		1,852,054,349	1,402,941,345
Less: Excise duty and Sales Tax		61,203,120	36,143,798
Net Sales	J	1,790,851,229	1,366,797,547
Other Income	K	4,762,917	8,143,122
		1,795,614,146	1,374,940,669
EXPENDITURE			
Cost of Materials consumed	L	1,136,810,975	877,512,604
Manufacturing Expenses	M	166,145,961	127,273,984
Marketing & Selling Expenses	N	137,925,091	100,588,382
Administrative Expenses	O	99,318,479	68,901,728
Interest and Finance Charges	P	103,925,546	89,739,431
Depreciation		52,353,409	32,278,912
Misc. Expenditure written off		4,637,676	4,346,209
Total Expenses		1,701,117,139	1,300,641,250
Profit before tax		94,497,007	74,299,419
Less: Current Tax Expense		2,863,937	2,707,700
Deferred Tax Expense		17,159,572	13,177,851
Fringe Benefit Tax		781,291	173,589
Net Profit after Taxes		73,692,207	58,240,279
Balance available for appropriation		73,692,207	58,240,279
Less: Provision for dividend		15,451,190	15,397,665
Provision for dividend tax		2,167,029	2,159,523
Transfer to General Reserve		2,400,000	1,700,000
Balance transferred to Balance Sheet		53,673,988	38,983,091
Add profit brought forward from previous year		165,267,503	126,284,412
Surplus carried forward to Balance Sheet		218,941,491	165,267,503
Weighted average No. of Shares		13,692,841	10,101,421
Earnings per share		5.38	5.76
Significant accounting policies and notes to accounts	Q		

As per our report of even date

For **Kumar & Giri**

Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Schedules forming part of Consolidated Balance Sheet as at 30th June, 2006

(Amount in Rs)

	As at 30 June, 2006	As at 30 June, 2005
Schedule – A SHARE CAPITAL		
Authorised Capital		
2,00,00,000 Equity Shares of Rs.10/- each (Previous year 2,00,00,000 Equity Shares of Rs.10/- each)	200,000,000	200,000,000
	200,000,000	200,000,000
Issued, Subscribed and Paid up Capital		
1,23,60,952 Equity Shares of Rs.10/- each. (Previous year : 1,23,18,132 equity shares of Rs.10/- each) (Of the above 24,12,134 equity shares of Rs.10/- each issued for consideration otherwise than cash ,of which 16,67,334 equity shares are issued as per the Scheme of Amalgamation)	123,609,520	123,181,320
Add: Shares forfeited (39,000 equity shares have been forfeited)	84,500	84,500
	123,694,020	123,265,820

	Opening Balance	Additions	Withdrawals	Closing Balance
Schedule – B RESERVES & SURPLUS				
General Reserve	10,103,369	2,400,000	–	12,503,369
Revaluation reserve	3,014,306	–	3,014,306	–
Central Subsidy	1,214,159	–	–	1,214,159
Share Premium	425,015,867	171,280	–	425,187,147
Profit & loss Account	165,267,503	53,673,988	–	218,941,491
	604,615,204	56,245,268	3,014,306	657,846,166

	As at 30 June, 2006	As at 30 June, 2005
Schedule – C SECURED LOANS		
I) Term loans		
from Banks	616,182,183	365,167,613
Interest accrued and due	1,559,297	2,665,796
II) Hire purchase loans	3,208,114	1,620,185
III) Working Capital Borrowings from banks	543,048,628	514,914,842
Total (I+II+III)	1,163,998,222	884,368,435

Schedule – D UNSECURED LOANS		
From Banks	100,000,000	50,000,000
Sales Tax Deferment Loan	7,524,468	5,925,918
	107,524,468	55,925,918

Schedules forming part of Consolidated Balance Sheet as at 30th June, 2006

(Amount in Rs)

Schedule – E FIXED ASSETS										
Particulars	GROSS BLOCK				DEPRECIATION			NET BLOCK		
	As on 1 July, 2005	Additions	Deletions	Total as on 30 June, 2006	As on 1 July, 2005	For the Period	On Deletions	As on 30 June, 2006	As on 30 June, 2006	As on 30 June, 2005
Land	26,783,423	25,810,007	–	52,593,430	–	–	–	–	52,593,430	26,783,423
Buildings	210,938,043	153,311,424	–	364,249,467	29,404,538	8,648,348	–	38,052,886	326,196,581	181,533,505
Plant & Machinery	315,190,710	362,964,610	506,385	677,648,935	106,431,232	34,012,493	266,345	140,177,380	537,471,555	208,759,478
Lab equipment	36,325,299	26,001,166	–	62,326,465	5,308,595	2,225,661	–	7,534,256	54,792,209	31,016,704
Material Handling equipment	11,946,354	9,224,845	–	21,171,199	1,316,731	774,888	–	2,091,619	19,079,580	10,629,623
Electrical Installations	28,183,502	12,426,244	–	40,609,746	7,995,601	1,460,598	–	9,456,199	31,153,547	20,187,901
Office equipment	15,113,821	1,586,973	–	16,700,794	5,295,026	998,819	–	6,293,845	10,406,949	9,818,795
Furniture & Fixtures	7,223,309	3,070,503	–	10,293,812	2,051,433	561,722	–	2,613,155	7,680,657	5,171,876
Computers	6,010,517	2,251,076	–	8,261,593	1,849,746	1,123,403	–	2,973,149	5,288,444	4,160,771
Vehicles	11,237,267	4,206,779	936,398	14,507,648	8,801,089	1,301,391	555,986	9,546,494	4,961,154	2,436,178
Technical Knowhow	37,754,238	109,975,116	–	147,729,354	4,594,337	4,260,391	–	8,854,728	138,874,626	33,159,901
Total	706,706,483	710,828,743	1,442,783	1,416,092,443	173,048,328	55,367,714	822,331	227,593,711	1,188,498,732	533,658,155
Previous year totals	683,372,193	24,558,020	1,223,730	706,706,483	138,404,110	34,981,800	337,582	173,048,328	533,658,155	544,968,083

Notes:

- 1) Depreciation for the period includes Rs.30,14,306 (Previous year Rs.27,02,888 pertaining to depreciation on revalued assets, which is transferred to Revaluation Reserve Account
- 2) Gross block of Vehicles includes Rs.76,19,879 (Previous year:Rs.43,49,498) acquired on hire-purchase basis.
- 3) Gross block of Office equipment includes Rs.226,800 (Previous Year Rs.226,800) acquired on hire-purchase basis.
- 4) Depreciation on Plant and Machinery includes triple shift allowance.

	As at 30 June, 2006	As at 30 June, 2005
Schedule – F INVESTMENTS		
(At Cost less provision for diminution in value)		
Quoted		
Long term - non-trade		
Andhra Bank (9600 shares of Rs.10/- each)	1,014,930	–
Sterling Holiday Resorts Ltd (Time shares)	129,000	129,000
	1,143,930	129,000
Unquoted		
Trade long term		
M/s.Jeedimetla Effluent Treatment Ltd. (15142 Equity shares of Rs.100/- each)	1,566,200	1,566,200
Pattancheru Envirotech Ltd (34040 equity shares of Rs. 10/- each)	340,400	340,400
	1,906,600	1,906,600
Total	3,050,530	2,035,600

Schedule – G CURRENT ASSETS, LOANS & ADVANCES

i) Stock in hand		
Raw Materials	109,673,686	62,031,773
Finished Goods	195,493,809	163,599,469
Work In Process	29,098,499	37,436,189
Consumable and packing materials	3,537,704	3,964,345
Stores and Spares	10,153,229	6,178,229
	347,956,927	273,210,005

Schedules forming part of Consolidated Balance Sheet as at 30th June, 2006

(Amount in Rs)

	As at 30 June, 2006	As at 30 June, 2005
Schedule – G CURRENT ASSETS, LOANS & ADVANCES (CONTD.)		
ii) Sundry Debtors (Unsecured, considered good)		
a) For more than six months	32,380,278	4,540,354
b) Others	397,575,094	359,220,213
	429,955,372	363,760,567
Less: Provision for doubtful debts	–	949,069
	429,955,372	362,811,498
iii) Cash & bank balances		
Cash on hand	221,057	66,202
Bank Balances:		
With scheduled banks:		
- in current account	19,102,985	7,204,079
- in deposit accounts (including margin money)	40,740,553	31,822,438
Unutilised issue proceeds		
With scheduled banks:		
- in current account	–	41,395,182
- in deposit accounts	–	80,000,000
With ICICI Bank, Singapore branch	–	67,970,996
	60,064,596	228,458,896
iv) Other current assets		
Interest receivable	63,642	1,370,201
	63,642	1,370,201
v) Loans & Advances		
Advances to suppliers	5,591,943	4,838,389
Deposits	7,488,395	7,127,473
Excise duty	15,383,977	16,212,886
Prepaid expenses	8,333,977	6,635,236
Sales tax refund	12,745,849	8,244,669
Import entitlements	41,298,764	41,675,988
Advance tax (net of provisions)	–	1,213,917
Other advances	8,707,395	11,123,735
	99,550,299	97,072,294

Schedule – H **CURRENT LIABILITIES & PROVISIONS**

Current liabilities		
Due to Small Scale Industrial Undertakings	11,650,405	12,961,906
Due to Others		
- for goods & services	191,407,648	139,319,868
- for Capital goods	31,185,671	5,590,900
Unpaid dividends	492,755	323,024
Other Liabilities	6,569,007	2,738,123
	241,305,486	160,933,822
Provisions		
Provision for taxation (net of advances)	1,350,020	–
Provision for dividend	15,451,190	15,397,665
Provision for dividend tax	2,167,029	2,159,523
	18,968,239	17,557,188

Schedules forming part of Consolidated Balance Sheet as at 30th June, 2006

(Amount in Rs)

	As at 30 June, 2006	As at 30 June, 2005
Schedule – I MISCELLANEOUS EXPENDITURE		
(To the extent not written off or adjusted)		
(i) Public Issue Expenses		
Opening Balance	15,188,652	328,256
Additions during the year	–	15,188,652
Less: Written off during the year	870,915	328,256
	14,317,737	15,188,652
(ii) Deferred Revenue Expenses		
Opening Balance	5,005,624	8,798,656
Additions during the year	–	–
Less: Written off during the year	3,326,242	3,793,032
	1,679,382	5,005,624
(iii) VRS Expenses		
Opening Balance	1,067,415	547,038
Additions during the year	618,833	729,878
Less: Written off during the year	440,519	209,501
	1,245,729	1,067,415
Total (i + ii + iii)	17,242,848	21,261,691

Schedules forming part of Consolidated Profit and Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Year ended 30 June, 2006	Year ended 30 June, 2005
Schedule – J SALES		
Export Sales	1,468,976,691	986,578,850
Domestic Sales	378,649,934	413,786,960
By products	4,328,228	2,398,096
Export benefits	99,496	177,439
Gross Sales	1,852,054,349	1,402,941,345
Less: Excise duty	53,138,928	31,705,081
Sales Tax	8,064,192	4,438,717
Net Sales	1,790,851,229	1,366,797,547

Schedule – K **OTHER INCOME**

Interest	2,801,046	5,563,763
Incentive	28,316	16,476
Dividends received	39,525	9,860
Sale of Scrap	1,850,574	1,284,520
Insurance Claims received	43,456	20,927
Profit on sale of Investments	–	1,113,910
Excess provision written back	–	133,667
	4,762,917	8,143,122

Schedules forming part of Consolidated Profit and Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Year ended 30 June, 2006	Year ended 30 June, 2005
Schedule – L COST OF MATERIALS CONSUMED		
a) Consumption of Raw material	1,118,393,853	877,479,280
b) Consumption of Packing Materials	41,973,772	33,507,528
c) (Increase)/Decrease in Stocks		
(i) (Increase)/Decrease in WIP		
Opening stock	37,436,189	24,492,160
Closing Stock	29,098,499	37,436,189
	8,337,690	(12,944,029)
(ii) (Increase)/Decrease in FG		
Opening stock	163,599,469	143,069,294
Closing Stock	195,493,809	163,599,469
	(31,894,340)	(20,530,175)
Total (Increase)/Decrease in stocks	(23,556,650)	(33,474,204)
Total cost of material consumed (a+b+c)	1,136,810,975	877,512,604

Schedule – M

MANUFACTURING EXPENSES

Wages	51,646,409	40,790,301
Conversion charges	1,339,619	–
Power & Fuel	57,901,088	38,915,823
Effluent Treatment expenses	13,252,610	10,553,139
Repairs & Maintenance - Factory Building	2,788,671	1,984,957
Repairs & Maintenance - Plant & Machinery	20,402,840	18,429,348
Repairs & Maintenance - Others	2,968,103	3,114,290
Consumables & Lab Chemicals	12,725,315	10,796,275
Analytical Fees	630,162	662,947
Others	2,491,144	2,026,905
	166,145,961	127,273,984

Schedule – N

MARKETING & SELLING EXPENSES

Business Promotion expenses	8,866,650	7,336,804
Sales Commission	23,320,351	15,157,866
Freight & Clearing Charges	97,041,420	70,443,128
Advertisement	–	320,496
Discount	–	1,547,207
Travelling expenses	8,696,671	5,782,881
	137,925,091	100,588,382

Schedules forming part of Consolidated Profit and Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Year ended 30 June, 2006	Year ended 30 June, 2005
Schedule – O ADMINISTRATIVE EXPENSES		
Salaries, Wages & bonus	31,623,609	21,693,953
Contribution to Provident Fund	3,492,942	2,420,110
Employee welfare expenses	3,017,102	2,696,228
Directors remuneration	3,000,000	2,750,000
Managerial Commission	2,153,410	1,137,240
Repairs & Maintenance - Others	672,047	537,486
Rent	4,349,382	3,067,944
Rates & Taxes	5,095,458	2,284,454
Auditors' remuneration	362,250	275,500
Insurance	10,639,363	5,489,806
Consultancy & Professional Charges	6,060,543	3,663,568
Communication expenses	5,156,070	4,113,636
Printing & stationery	3,151,262	2,680,864
Travelling & Conveyance	9,586,063	6,186,912
Directors sitting fees	234,550	232,500
Foreign Exchange Fluctuations	2,560,369	1,586,347
Advertisement Charges	441,920	548,959
Garden Maintenance	1,521,101	1,700,990
Income-tax	103,799	–
Donations	865,240	475,856
Provision for Doubtful Debts	–	949,069
Loss on sale of assets	155,655	69,844
Sundry expenses	5,076,345	4,340,462
	99,318,479	68,901,728

Schedule – P

INTEREST AND FINANCE CHARGES

Interest on Term loans	30,573,361	28,482,719
Interest on Working Capital	49,211,286	37,880,760
Interest Others	8,094,159	9,453,497
Bank Charges	16,046,740	13,922,454
	103,925,546	89,739,431

Notes forming part of Consolidated Balance Sheet and Profit & Loss Account

Schedule – Q

SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO CONSOLIDATED ACCOUNTS

A) SIGNIFICANT ACCOUNTING POLICIES:

- System of accounting:** The accounts have been prepared and presented under the historical cost convention method on the accrual basis of accounting in accordance with the accounting principles generally accepted in India and comply with the Accounting Standards issued by Institute of Chartered Accountants of India (ICAI) to the extent applicable.
- Principles of consolidation:** The financial statements are prepared in accordance with the principles and procedures required for the preparation and presentation of consolidated financial statements as laid down on the accounting standards on Consolidated Financial Statements by the ICAI. The financial statements of the parent company, Granules India Limited and Granules USA Inc., have been combined on a line-by-line basis by adding together book values of like items of assets, liabilities, income and expenses after eliminating intra-group balances and transactions and resulting unrealized gains / losses. Exchange differences resulting from the difference due to transactions of foreign currency assets and liabilities in

Notes forming part of Consolidated Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO CONSOLIDATED ACCOUNTS (CONTD.)

subsidiary company is disclosed as foreign currency translation adjustment. The consolidated financial statements are prepared applying uniform accounting policies for like transactions and other events in similar circumstances in use at the parent and subsidiary company.

- 3) **Fixed Assets:** Fixed Assets are stated at cost less accumulated depreciation. Cost is inclusive of duties & taxes (net of CENVAT / VAT), incidental expenses and erection / commissioning expenses.
- 4) **Depreciation:** Depreciation on fixed assets is provided on straight-line method at the rates specified in Schedule XIV of the Companies Act, 1956. The depreciation on incremental value arising from the revaluation of the fixed assets is charged to Revaluation Reserve Account.
- 5) **Expenditure during construction period:** Expenditure (including finance cost relating to borrowed funds for construction or acquisition of fixed assets) incurred on projects under implementation are treated as Pre-operative expenses pending allocation to the assets and are shown under “Capital Work-in-Progress” and the same are apportioned to fixed assets on commencement of commercial production.
- 6) **Investments:** Long-term investments and investments in subsidiary companies are carried at cost. Provision for diminution in value is made whenever necessary in accordance with the Accounting Standards in force.
- 7) **Valuation of Inventories:**
 - a) Inventories are valued at the lower of cost or net realizable value.
 - b) Inventories of raw material, consumables and stores and spares are valued at cost as per FIFO method. Cost does not include duties and taxes that are subsequently recoverable.
 - c) Cost for the purpose of finished goods and material in process is computed on the basis of cost of material, labour and other related overheads.
 - d) Goods in transit are stated at costs accrued up to the date of Balance Sheet.
 - e) Stocks with consignment agents are stated at costs accrued up to the date of the Balance sheet.
- 8) **Government grants:** Government grants received in the nature of promoter’s contribution and where no repayment is ordinarily expected, are treated as capital reserve.
- 9) **Foreign Exchange:** Foreign exchange transactions are recorded at the exchange rates prevailing at the time of transactions or at contracted rates. Current assets and current liabilities are translated at values prevailing at the Balance Sheet date. Gains/Losses, if any, arising thereby are recognized in the Profit and Loss account.
- 10) **Revenue Recognition:**
 - a) Revenue from sales is recognized when significant risk and rewards in respect of ownership of the products are transferred.
 - b) Revenue from domestic sales is recognized on dispatch of products from the factory of the company and in case of consignment sale, on further sale made by the agents.
 - c) Revenue from export sales is recognized on the basis of dates of Bill of Lading.
- 11) **Export Benefits:** Advance licences are issued to the company under the Advance Licence Scheme [Duty Exemption Entitlement Certificate (DEEC Scheme)] / duty entitlement credited under the Duty Entitlement Pass Book Scheme (DEPB Scheme) on the export of the goods manufactured by it. Whenever export sales are made by the company, pending receipt of imported duty-paid raw materials under the DEEC / DEPB Schemes, the cost of domestic raw materials actually consumed for the purpose of such exports is compensated and / or matched by accruing the value of the benefit under the DEEC / DEPB Scheme.
- 12) **Research and development expenses:**
 - a) Research costs not resulting in any tangible property/equipment are charged to revenue as and when incurred.
 - b) Know-how / product development costs incurred on an individual project are carried forward when its future recoverability can reasonably be regarded as assured. Any expenditure carried forward is amortized over the period of expected future benefits from the related project, not exceeding ten years.
 - c) The carrying value of know-how / product development costs are reviewed for impairment annually when the asset is not yet in use and otherwise when events or changes in circumstances indicate that the carrying value may not be

Notes forming part of Consolidated Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO CONSOLIDATED ACCOUNTS (CONTD.)

recoverable.

13) Employee Retirement Benefits:

- a) **Provident fund:** These expenses are accounted on accrual basis and charged to Profit and Loss account of the year.
- b) **Gratuity:** Payment for present liability of future payment of gratuity is made to an approved Gratuity Fund that fully covers the same.
- c) Provision for accrued leave encashment is made on the basis of actuarial valuation.

14) **Borrowing costs:** Borrowing costs incurred in relation to the acquisition and construction of assets are capitalized as part of the cost of such assets up to the date when such assets are ready for intended use. Other borrowing costs are charged as an expense in the year in which they are incurred.

15) Income tax expense:

- a) **Current Tax Expense**
The Current charge for income tax is calculated in accordance with the tax regulations.
- b) **Deferred Tax Expense**
Deferred income tax reflects the impact of timing difference between accounting income and tax income for the year / period. Deferred tax is measured based on the tax rates and the tax laws enacted at the Balance Sheet date. Deferred tax asset is recognized only to the extent of certainty of realization of such asset.
- c) **Fringe Benefit tax:**
Fringe Benefit tax is calculated in accordance with the tax regulations.

B) NOTES TO ACCOUNTS :

1) Contingent liabilities not provided for in respect of:

(Rs. in Lacs)

	As at 30 June, 2006	As at 30 June, 2005
a) Claims against the company not acknowledged as debts:		
Income tax	33.80	33.80
Customs duty	43.47	61.95
b) Estimated amount of contracts remaining to be executed on Capital account and not provided for (net of advances)	2026.52	657.90
c) Letters of credit and Bank Guarantees issued by Bank	3158.18	2918.84
d) Bills discounted with banks	4644.76	2667.71

2) Secured loans:

- a) **Term loans:** Term loans from Banks are secured by equitable mortgage of Land and buildings and hypothecation of plant and machinery located at Jeedimetla, Gagillapur and Bonthapally on *pari passu* basis.
Term loans are further secured by second charge on hypothecation of stocks of raw materials, finished goods, semi finished goods and receivables.
In addition, pledge of 12.50 lacs shares belonging to Managing director in Granules India Limited were given as collateral security on *pari passu* basis to Andhra Bank, Bank of Baroda, IndusInd Bank and ING Vysya Bank.
- b) **Working capital facilities:** The working capital facilities from Banks are secured by hypothecation of stocks of raw materials, finished goods, semi finished goods and receivables on *pari passu* basis. The working capital facilities are further secured by a second charge on the fixed assets of the company.
In addition, *pari passu* charge by way of equitable mortgage of house property belonging to Managing Director was given as collateral security.
- c) All the above loans are further secured by personal guarantee of the Managing Director.
- d) Hire purchase loans are secured by hypothecation of the asset purchased.

Notes forming part of Consolidated Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO CONSOLIDATED ACCOUNTS (CONTD.)

3) Remuneration to Managing Director (Rs. in lakhs)

	2005-06	2004-05
Salary	30.00	27.50
Commission	21.53	11.37
Perquisites	7.87	4.58
Total	59.40	43.45

4) Remuneration to Statutory Auditors

	2005-06	2004-05
As Auditor	3.50	2.75
As adviser, or in any other capacity, in respect of:		
Taxation services	Nil	Nil
Company Law matters	Nil	Nil
Management services	Nil	Nil
Certification	0.13	0.22
Out of pocket expenses	Nil	Nil
Total	3.63	2.97

5) During the year, the company has capitalized borrowing costs of Rs.130.57 lakhs towards API facility at Bonthapally (Previous year Rs.78.92 for API facility at Bonthapally, grouped under capital Work in Progress) incurred during the year.

6) **Segment reporting:** The Company has only one business segment of "Pharmaceuticals". Therefore, the disclosure requirements of "Segment reporting" are not applicable.

7) **Related party disclosures:** Required as per Accounting Standard (AS-18) on "Related party disclosures" issued by the Institute of Chartered Accountants of India, are as below:

a) Names of related parties and the nature of relationships:

Name	Relationship
(i) Granules USA Inc.,	Wholly owned subsidiary company
(ii) Key management personnel:	
Shri C. Krishna Prasad	Managing Director
(iii) Others: Dr. C. Nageswara Rao	Non executive Chairman

b) Transactions with Subsidiary company:

(Rs. in Lakhs)

	30 June, 2006	30 June, 2005
Sale of goods	5738.70	3442.70
Unsecured loan	–	23.26
Interest on unsecured loan	3.78	3.10
Amounts outstanding at Balance sheet date:	30 June, 2006	30 June, 2005
Loan granted	68.79	65.03
Interest on loan	8.52	4.74
Equity subscribed	23.79	23.79
Amounts receivable for sales made	3183.46	2085.30
c) Transactions with other related parties:		
Mr. C. Krishna Prasad, Managing Director:		
Remuneration	59.40	43.45
Dr. C. Nageswar Rao, Chairman:		
Sitting fee paid	0.45	0.50

Notes forming part of Consolidated Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO CONSOLIDATED ACCOUNTS (CONTD.)

8) Details of Loans and advances given to Subsidiary company:

Unsecured loan to Granules USA Inc., (Rs. in lakhs)

	30 June, 2006	30 June, 2005
Balance as at 30 June 2006	68.79	65.03
Maximum balance during the period	68.79	65.03
Rate of interest charged	5% p.a.	5%p.a.

9) Earnings per share – Basic and Diluted:

	2005-06	2004-05
Net profit for the year (Rs. in lakhs)	736.92	582.40
Weighted average number of shares outstanding during the year	13,692,841	1,01,01,421
Earnings per share (Rs.)	5.38	5.77
Nominal value of shares (Rs.)	10.00	10.00

10) Deferred tax has been accounted for in accordance with the Accounting Standard – 22, "Accounting for taxes on income", issued by the Institute of Chartered Accountants of India. The components of Deferred Tax Assets and Liabilities recognized in these accounts are as follows:

(Rs. in lakhs)

	Opening balance as on 1.7.2005	Charge/(Credit) during the period	Closing balance as on 30.6.2006
Deferred tax liability			
Depreciation	397.33	311.95	709.28
Voluntary retirement scheme	0.10	(0.10)	–
Deferred revenue expenses	2.55	–	2.55
Total	399.97	311.85	711.83
Deferred tax asset			
Leave encashment	4.76	3.53	8.29
Bonus	5.92	0.51	6.43
Carry forward business losses	–	96.38	96.38
MAT Credit	–	39.83	39.83
Total	10.68	140.25	150.93
Net Deferred tax liability	389.29	171.60	560.90

11) Balances appearing under Sundry creditors, Capital WIP, Loans and advances and debtors are subject to confirmation and/or reconciliation, if any.

12) Amortization of Miscellaneous Expenditure:

- GAR issue expenses of Rs.151.89 lakhs carried forward from earlier years are amortized over a period of 5 years commencing from the year in which the Projects commence commercial production. Paracetamol Project at Bonthapally had commenced production during March 2006, hence the issue expenses are proportionately amortized..
- Deferred Revenue expenses and Amalgamation expenses of Rs.50.15 lakhs carried forward from earlier years are amortized over a period of 5 years.
- The company has implemented a Voluntary Retirement Scheme (VRS). The total cost of separation of Rs.6.19 lakhs excluding Gratuity under the Gratuity scheme applicable to the employees is amortized over a period of 5 years.

13) The company has implemented an Employees Stock Option Scheme and 42,820 Equity shares of Rs.10 each were issued at a premium of Rs.4/- under the said Scheme.

Notes forming part of Consolidated Balance Sheet and Profit & Loss Account

Schedule – Q SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO CONSOLIDATED ACCOUNTS (CONT'D.)

- 14) The Government of Andhra Pradesh, Commissionerate of Industries has vide its Letter no.20/2/9/0444/ID dated 11 October 1999 and its clarification vide Letter dated 4 August 2001 determined an eligibility of Rs.184.12 lakhs towards Sales tax deferment on the sale of Paracetamol and the Sales tax payable by the company for a period of 14 years commencing from 30 June 1998 to 29 June 2012 is deferred. The liability of Rs.75.24 lakhs as at 30 June 2006 (Previous year Rs.59.26 lakhs) for the deferred Sales tax is shown under unsecured loans.
- 15) The company has not provided Rs.92.25 lakhs (Previous year: Rs.83.49 lakhs) for Excise duty on Closing Stock of Finished goods. This has no effect in the Profit & Loss account of the year.
- 16) In terms of accounting policy 10 for the accrual of export benefits, estimated benefits of Rs.513.54 lakhs (Previous year Rs.201.88 lakhs) have been taken into account under the DEEC / DEPB Schemes.
- 17) Previous years figures have been regrouped/rearranged/re-classified wherever necessary.
- 18) Figures in Balance Sheet and Profit & Loss account have been rounded off to the nearest Rupee and figures in Notes have been rounded off to the nearest thousand and have been expressed in terms of decimals of thousands.

As per our report of even date
For **Kumar & Giri**
Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Consolidated Cash Flow Statement for the year ended 30th June, 2006

(Amount in Rs.)

Particulars	For the year ended 30th June, 2006	For the year ended 30th June, 2005
A. Cash Flow from Operating Activities		
Net Profit before tax and extraordinary items	94,497,007	74,299,419
Adjustments for:		
Depreciation	52,353,409	32,278,912
Misc. Expenditure written off	4,637,676	4,344,981
Profit / (Loss) on sale of assets	155,655	69,844
Provision for doubtful debts	–	949,069
Interest & dividend income	(2,840,571)	(5,573,623)
Profit on sale of investments	–	(1,113,910)
Interest & finance charges	87,878,806	75,816,976
Operating profit before working capital changes	236,681,982	181,071,669
Increase in Trade and other receivables	(70,835,795)	(124,447,647)
Increase in inventories	(74,746,922)	(62,262,331)
Increase/(decrease) in Trade Payable	54,384,525	34,643
Cash generated from operations	145,483,789	(5,603,666)
Interest paid	88,985,304	75,545,533
Direct Taxes paid	858,654	6,588,317
Dividends paid	17,387,457	11,626,080
Net Cash from operating activities	38,252,374	(99,363,596)
B. Cash flow from Investing Activities		
Purchase of fixed assets	556,447,902	335,595,143
Increase in Miscellaneous expenditure	618,833	15,918,530
Purchase/(sale) of investments	1,014,930	(1,918,309)
Sale of Fixed Assets	(464,797)	(816,304)
Interest/dividends received	(4,147,130)	(4,696,403)
Net Cash used in investing activities	553,469,738	344,082,657
C. Cash flow from Financing Activities		
Proceeds from issue of share capital including premium	14,488,230	398,620,806
Increase in Working Capital Loans	28,133,786	182,943,521
Proceeds from Long Term & Other Borrowings	328,849,904	76,967,613
Repayment of long term loans	(76,247,405)	(625,581)
Proceeds from Unsecured Loans	101,598,550	51,446,668
Repayment of unsecured loans	(50,000,000)	(73,038,000)
Net Cash used in Financing Activities	346,823,065	636,315,027
Net Increase/(decrease) in cash & cash equivalents (A+B+C)	(168,394,300)	192,868,774
Cash equivalents (Opening Balance as at 1-7-2005)	228,458,896	35,590,122
Cash equivalents (Closing Balance as at 30-6-2006)	60,064,596	228,458,896

Notes:

Cash flow statement has been prepared following the indirect method. Interest paid, direct taxes paid, dividend paid are on the basis of actual movement of cash.

As per our report of even date
For **Kumar & Giri**
Chartered Accountants

For and on behalf of the Board

J. Bhadra Kumar
Proprietor
Membership No. 25480

Dr. C. Nageswara Rao
Chairman

C. Krishna Prasad
Managing Director

Place: Hyderabad
Date: 16th October, 2006

N. Madhavi
Company Secretary

Pranesh Raj Mathur
Chief Financial Officer

Directors’ Report

To
The members of
Granules USA Inc.

The Directors submit their report together with the accounts of the Company for the year ended 30 June 2006.

The year under review has been a year of consolidation where the company has reaped the benefits of the exemplary customer service that it has been providing to the customers resulting in an annualised growth in turnover of over 61%. The company has also taken the opportunity to look deeply into its internal operations and streamline the business philosophy with the overall strategy of the group.

Business Review

The concept of the PFIs which was popularized by the Company has seen wider acceptance in the US market and customers are now looking at PFIs for products other than Acetaminophen also, giving the company a strong standpoint in the market.

Our growth has been fueled by the increase in our customers’ offtakes for existing products like PAP 90 CPP and 80 DPL. New products have also contributed significantly to the topline and have provided the Company with the required platform for accelerated growth in the years to come.

Operations Review

The company has focused on key elements of working capital management and has undertaken aggressive efforts with customers to manage receivables. Consequently, the company has brought down receivables from 33% of sales to 29% of sales, in spite of the increase in turnover by 61%.

The company has also brought about improvements in our distribution and market approach strategy and has successfully reduced the Marketing and Selling expenses by over 30% over previous year and still supported the enhanced revenues. This has been done by changing our distribution strategy and not by compromising on customer requirements.

This demonstrates the brand that has been generated of

Granules in the US market and the confidence that the customers have been placing on us.

Future Outlook

The US business is rapidly growing as a nerve center for Granules worldwide operations and the future direction of the company would be to focus on developing structured relationships with our customers.

We are looking forward to a strong entry into the prescription drug market, leveraging on our PFI model, which we expect to be one of a kind in this industry. This will open up a huge opportunity space for Granules in the US and would endorse the vision that has been pursued from inception of this Company.

With the enhanced offering of Granules, venturing into finished dosages, the focus would be to support the increased regulatory support requirements of our parent company to drive the creation of enhanced product offerings to the customer. We would also look to create contractual relationships with customers for our finished dosage offerings and expect to have a significant proportion of our capacity to be reserved by customers, by the time the facility is operational.

Results and Dividend

The Company achieved a turnover of Rs.5584.70 lakhs and has incurred a loss of Rs.49.58 lakhs.

The directors have not recommended any dividend.

Auditors

The accounts for the period have been audited by M/s. Professional Accountant Associates.

Sincerely,

Date: 16th October, 2006
Place: New Jersey

Gary Selander
President

Report of the Independent Accountant

The Board of Directors:
Granules USA Inc.
111, Howard Blvd.,
Mt. Arlington,
New Jersey, 07856

We have reviewed the accompanying balance sheet of Granules USA Inc., as of June 30, 2006, and the related statements of income, retained earnings, and cash flows for the period then ended, in accordance with Statements on Standards for Accounting and Review Services issued by the American Institute of Certified Public Accountants. All of the information included in the financial statements is the representation of the management of Granules USA Inc.

Review consists principally of inquiries of Company personnel and analytical procedures applied to financial data. It is substantially less in scope than an audit in accordance with generally accepted auditing standards, the objective of which is

the expression of an opinion regarding the financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our review, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in conformity with generally accepted accounting principles.

Date: 16th October, 2006

Anjali Patel, CPA

Balance Sheet as at 30th June, 2006

(Amount in Rs)

	Schedules	As at 30 June, 2006	As at 30 June, 2005
SOURCES OF FUNDS			
Shareholders' Funds			
Share Capital	A	2,379,470	2,379,470
Loan Funds			
Unsecured Loans	B	7,743,599	6,994,662
Total Sources of Funds		10,123,069	9,374,132
APPLICATION OF FUNDS			
Fixed Assets			
Gross Block	C	1,642,235	649,104
Less: Accumulated Depreciation		413,563	167,611
Net Block		1,228,672	481,493
Current Assets, Loans & Advances	D		
Inventories		163,490,900	82,413,322
Sundry Debtors		161,621,509	114,090,747
Cash & Bank Balances		12,898,033	6,301,542
Loans and Advances		68,240	635,866
		338,078,682	203,441,477
Less: Current Liabilities & Provisions			
Current Liabilities	E	348,808,730	209,215,147
Net Current Assets		(10,730,048)	(5,773,670)
Miscellaneous Expenditure			
(to the extent not written off or adjusted)		-	-
Profit & Loss Account		19,624,445	14,666,309
Total Application of Funds		10,123,069	9,374,132
Significant accounting policies and notes to accounts	K		

Profit & Loss Account for the year ended 30th June, 2006

(Amount in Rs)

	Schedules	Year ended 30 June, 2006	Year ended 30 June, 2005
INCOME			
Sales(net)		558,470,124	345,592,258
Other Income	F	760,983	-
		559,231,107	345,592,258
EXPENDITURE			
Cost of goods sold	G	530,421,642	312,555,938
Marketing & Selling Expenses	H	9,179,897	13,208,880
Administrative Expenses	I	22,534,402	20,352,684
Interest and Finance Charges	J	1,807,350	1,222,308
Depreciation		245,952	58,667
		564,189,243	347,398,477
Profit before tax		(4,958,136)	(1,806,219)
Net Profit after Taxes		(4,958,136)	(1,806,219)
Balance transferred to Balance Sheet		(4,958,136)	(1,806,219)
Add profit brought forward from previous year		(14,666,309)	(12,860,090)
Surplus carried forward to Balance Sheet		(19,624,445)	(14,666,309)

As per our report of even date

For and on behalf of the Board

For Professional Accountant Associates

Anjali Patel

CPA

Place: New Jersty

Date: 16th October, 2006

Gary Selender

President

As per our report of even date

For and on behalf of the Board

For Professional Accountant Associates

Anjali Patel

CPA

Place: New Jersty

Date: 16th October, 2006

Gary Selender

President

Schedules forming part of Balance Sheet as at 30th June, 2006

	As at 30 June, 2006	As at 30 June, 2005
Schedule – A SHARE CAPITAL		
Authorised Capital		
Common stock, 1500 shares of \$100 each	6,675,000	6,675,000
(Previous year Common stock, 1500 shares of \$100 each)		
	6,675,000	6,675,000
Issued, Subscribed and Paid up Capital		
500 Shares of \$ 100 each	2,379,470	2,379,470
(Previous year : 500 shares of \$100 each)		
	2,379,470	2,379,470
Schedule – B UNSECURED LOANS		
From Companies / Banks	7,743,599	6,994,662
	7,743,599	6,994,662

	(Amount in Rs)										
Particulars	GROSS BLOCK				DEPRECIATION				NET BLOCK		
	As on 1-7-2005	Additions	Deletions	Total as on 30-6-2006	As on 1-7-2005	For the Year	On Deletions	As on 30-6-2006	As on 30-6-2006	As on 30-6-2005	
Office equipment	337,369	647,836	–	985,205	108,548	232,660	–	341,208	643,997	228,821	
Furniture & Fixtures	106,566	345,295	–	451,861	45,814	–	–	45,814	406,047	60,752	
Trade marks	205,169	–	–	205,169	13,249	13,291	–	26,541	178,628	191,920	
Total	649,104	993,131	–	1,642,235	167,611	245,951	–	413,563	1,228,672	481,493	
Previous year totals	323,104	325,999	–	649,104	108,943	58,667	–	167,611	481,493	214,161	

	As at 30 June, 2006	As at 30 June, 2005
Schedule – D CURRENT ASSETS, LOANS & ADVANCES		
i) Stock in hand		
Finished Goods	163,490,900	82,413,322
	163,490,900	82,413,322
ii) Sundry Debtors (Unsecured, considered good)		
Receivables	161,621,509	114,090,747
	161,621,509	114,090,747
iii) Cash & bank balances		
- in current account	12,898,033	6,301,542
	12,898,033	6,301,542
iv) Loans & Advances		
Prepaid expenses	68,240	635,866
	68,240	635,866

Schedule – E CURRENT LIABILITIES & PROVISIONS		
Due to creditors for goods & services	348,123,948	208,525,091
Other Liabilities	684,782	690,056
	348,808,730	209,215,147

Schedules forming part of Profit and Loss Account for the year ended 30th June, 2006

	Year ended 30 June, 2006	Year ended 30 June, 2005
Schedule – F OTHER INCOME		
Foreign Exchange Fluctuations	760,983	–
	760,983	–
Schedule – G COST OF GOODS SOLD		
(i) Purchases	609,417,499	340,087,044
(ii) (Increase)/Decrease in Finished goods		
Opening stock	84,495,043	56,963,937
Closing Stock	163,490,900	84,495,043
Total (Increase)/Decrease in stocks	(78,995,857)	(27,531,106)
Cost of goods sold	530,421,642	312,555,938

Schedule – H MARKETING & SELLING EXPENSES		
Sales Commission	378,340	1,488,141
Distribution expenses	7,121,777	10,352,884
Travelling expenses	1,679,780	1,367,855
	9,179,897	13,208,880

Schedule – I ADMINISTRATIVE EXPENSES		
Salaries, Wages & bonus	13,626,203	8,242,804
Repairs & maintenance - Others	45,542	2,934
Rent	807,930	186,669
Rates & Taxes	340,247	6,335,160
Insurance	5,589,453	2,271,256
Consultancy & Professional Charges	405,772	422,289
Communication expenses	624,604	476,547
Printing & stationery	557,295	149,029
Foreign Exchange Fluctuations	–	1,438,999
Advertisement Charges	–	7,420
Sundry expenses	537,356	819,577
	22,534,402	20,352,684

Schedule – J INTEREST AND FINANCE CHARGES		
Interest on Working Capital	334,538	326,668
Bank Charges	1,472,812	895,640
	1,807,350	1,222,308

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – K | SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

NOTE A - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A summary of the significant accounting policies applied in the preparation of the accompanying financial statements are as follows:

1. Business
Granules USA Inc. ("Granules" and the "Company") was incorporated on March 5, 2003 in New Jersey. Granules is a wholly owned subsidiary of Granules India Limited ("GIL"), a company incorporated in India.

Granules acts as an exclusive front-end value chain for GIL and develop markets for the products manufactured by GIL. The business of GIL comprises of manufacture and sale of pharmaceutical products.
2. Basis of presentation
a. The accompanying financial statements for the period July 1, 2005 to June 30, 2006 are prepared in accordance with the accounting principles generally accepted in the United States of America ('US GAAP')

b. In preparing the Company's financial statements in conformity with accounting principles generally accepted in the United States of America, management is required to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period, the important estimates made by the Company in preparing these financial statements include those on the useful life of property and equipment, the valuation of deferred taxes and allowance for doubtful debts and actual results could differ from those estimates.
3. Cash and cash equivalents
The Company considers all highly liquid investments and deposits with an original maturity of ninety days or less to be cash equivalents. Cash and cash equivalents comprise cash on hand and balance with banks.
4. Inventories
Inventories consist of products purchased from GIL, and are stated at cost. The cost of the products is determined using the first in first out ('FIFO') method.
5. Accounts receivables
The Company provides allowance for doubtful accounts equal to the estimated uncollectable amounts in the aggregate, based on the present and prospective financial condition of customers and ageing of accounts receivables after considering historical experience and economic environment.
6. Property and equipment
Property and equipment are stated at cost less accumulated depreciation. Depreciation provided over the estimated useful economic life of the assets using the straight-line method. Depreciation of an asset commences when the asset is put to use. The estimated useful lives used to determine depreciation are:

Furniture and fixture

7 years

Computers

5 years
7. Intangible assets
Purchased trademarks are capitalized at cost; intangible assets with finite useful life are amortized over the useful or economic life of the intangible.
8. Impairment of long-lived assets
In August 2001, the FASB issued Statement of Financial Accounting Standards ("SFAS") No. 144, "Accounting for Impairment or Disposal of Long-Lived Assets" that replaced SFAS 121 "Accounting for Impairment of Long-lived Assets and for Long-Lived Assets to be disposed off". SFAS 144 requires that those long-lived assets be measured at the lower of carrying amount or the fair value less cost to sell, whether reported in continuing operations or in discontinued operations. The provisions of SFAS 144 are effective for financial statements issued for the fiscal year beginning after December 15, 2001 and the Company has adopted the same.
9. Revenue
Customers of the Company consist primarily of large pharmaceutical companies. Revenue from product sales is recognized when the merchandise is shipped to customers and all the four of the following criteria are met: (i) persuasive evidence that an arrangement exists; (ii) delivery of the products has occurred; (iii) the selling price is both fixed and determinable and; (iv) collectibility is reasonably probable.

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – K | SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

Provisions for sales discount, damaged product returns, exchanges for expired products are established as a reduction of product sales revenue at the time such revenues are recognized. Certain charge backs and rebate programs extended to customers pursuant to the industry standards, are recognized as a reduction from product sales revenues at the time of shipment.

10. Research and development
Research and development costs are expensed when incurred. Expenditure for obtaining regulatory approvals and registration of products is charged to revenue when incurred. During the period July 1, 2005 to June 30, 2006, the Company incurred \$ 10,604 on research and development.

NOTE B – CASH AND EQUIVALENTS

The cash and cash equivalents of the Company comprise of: (Amount in Rs)

	As of June 30, 2006
Checking account the Bank of America	12,898,033
Total	12,898,033

Bank balance only to \$ 100,000 is FDIC insured.

NOTE C – INVENTORIES

Inventories comprise of: (Amount in Rs)

	As of June 30, 2006
Traded goods	119,730,142
Goods-in-transit	43,760,758
Total	163,490,900

NOTE D – ACCOUNTS RECEIVABLES

Granules accounts receivables are primarily related to sale of granules to pharmaceutical companies. Credit is extended based on prior experience with the customer and evaluation of customers' financial condition. Granules had gross receivables from outside customers of Rs.1616.22 lakhs as of June 30, 2006. The Company provides for doubtful allowance as and when they are identified.

NOTE E – OTHER CURRENT ASSETS

Other current assets comprise of: (Amount in Rs)

	As of June 30, 2006
Prepaid expenses	68,240
Total	68,240

NOTE F – PROPERTY AND EQUIPMENT

Property and equipment comprise of the following: (Amount in Rs)

	As of June 30, 2006
Furniture and fixtures	451,861
Computer equipment	985,205
Less: Accumulated depreciation	(387,022)
Total	10,50,044

NOTE G – INTANGIBLES

Intangibles comprise of: (Amount in Rs)

	As of June 30, 2006
Trade marks	205,169
Less: Accumulated amortization	(26,541)
Total	178,628

Notes forming part of Balance Sheet and Profit & Loss Account

Schedule – K SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS (CONTD.)

NOTE H – OTHER CURRENT LIABILITIES

Other current liabilities comprise of the following: (Amount in Rs)

	As of June 30, 2006
Accrued expenses	684,782
Loan from Granules India Limited	7,743,599
Total	8,428,381

The Company received a loan of Rs.68.79 lakhs from its parent company GIL. This loan carries 5% simple interest. Interest accrued for the period is Rs.3.44 lakhs

NOTE I – COMMITMENTS AND CONTINGENCIES

There are no commitments or contingencies as on June 30, 2006.

NOTE J – NET OPERATING LOSSES CARRIED FORWARD

As at June 30, 2006, the Company had Rs.196.24 lakhs in Federal net operating loss and New Jersey State operating loss carry forwards which can be carried forward for future utilization within 15-20 years.

NOTE K – RELATED PARTY TRANSCATIONS

The company had following transactions and balances with its parent, GIL: (Amount in Rs)

	Period ending June 30, 2006
Purchases by the Company from GIL	590,471,852
Short-term loan by the Company from GIL	6,879,000
Interest due on short term loan	864,599
Related party balances at the year end:	
Accounts payable by the Company to GIL	338,694,031
Short-term loan payable by the Company to GIL	77,43,599
Accounts Receivable from GIL to the Company	83,60,370

NOTE L – SEGMENT INFORMATION

The Company's main business is marketing of pharmaceutical products of the parent company. The management views the Company's operations as a single reportable segment.

NOTE M – CONCENTRATION

The Company's future results of operations involve a number of risks and uncertainties. Factors that could affect future operating results and cause actual results to vary materially from expectations include but are not limited to government regulations, competition, reliance on certain customers and credit risk.

The Company has concentration in respect of region in which it operates, which is the USA. The Company has concentration in receivables and revenue. Contract Pharmacal, Leiner, LNK and Lehigh Valley Technologies constitute approximately 10%, 18%, 17% and 15% of the accounts receivables and approximately 9%, 33%, 18% and 3% of the revenue respectively.

NOTE N – STOCKHOLDERS' EQUITY

The authorized share capital of the Company is 1,500 equity shares of \$100 each. The company has issued 500 equity shares of \$ 100 each. Each share carries an equal voting right and is entitled to an equal share in the assets of the Company at liquidation.

Cash Flow Statement for the year ended 30th June, 2006

(Amount in Rs.)				
Particulars	For the year ended 30th June, 2006		For the year ended 30th June, 2005	
A Cash Flow from Operating Activities				
Net Profit before tax and extraordinary items		(4,958,136)		(1,806,219)
Adjustments for:				
Depreciation	245,952		58,667	
Interest & finance charges	334,538	580,490	326,668	385,335
Operating profit before working capital changes		(4,377,646)		(1,420,884)
Increase in Trade and other receivables		(46,963,136)		(91,129,710)
Increase in inventories		(81,077,578)		(25,449,385)
Increase/(decrease) in Trade Payable		139,593,583		122,660,795
Cash generated from operations		7,175,222		4,660,816
Interest paid		–		–
Net Cash from operating activities		7,175,222		4,660,816
B Cash flow from Investing Activities				
Purchase of fixed assets	993,131		326,000	
Net Cash used in investing activities		993,131		326,000
C Cash flow from Financing Activities				
Proceeds from Long Term & Other Borrowings	414,400		1,931,747	
Net Cash used in Financing Activities		414,400		1,931,747
Net Increase/(decrease) in cash & cash equivalents (A+B+C)		6,596,491		6,266,563
Cash equivalents (Opening Balance as at 1-7-2005)		6,301,542		34,979
Cash equivalents (Closing Balance as at 30-6-2006)		12,898,033		6,301,542

As per our report of even date
For Professional Accountant Associates

For and on behalf of the Board

Anjali Patel
CPA

Gary Selender
President

Place: New Jersy
Date: 16th October, 2006



Granules India Limited

8-2-293/A/A/2, Road No. 2, Banjara Hills, Hyderabad - 500 033
Ph. No. 040-2355 3266 • Fax No. 040-2354 7894 • www.granulesindia.com

Notice

Notice is hereby given that the Fifteenth Annual General Meeting of the members of Granules India Limited will be held on Thursday, the 28th day of December 2006 at 4.00 p.m. at "West Minister Hall", Hotel Central Court, Lakdi-ka-pul, Hyderabad to transact the following business:

Ordinary Business:

1. To consider and adopt the Audited Balance Sheet as at 30th June 2006 and the Profit and Loss Account for the year ended as on that date along with schedules and notes appended thereto and the reports of Directors' and Auditors' thereon.
2. To declare dividend on equity shares.
3. To appoint a Director in place of Shri.A.P.Kurian, who retires by rotation and being eligible offers himself for reappointment.
4. To appoint M/s. Kumar & Giri, Chartered Accountants, Hyderabad as Statutory Auditors of the Company to hold office from the conclusion of this Annual General Meeting until the conclusion of next Annual General Meeting and to authorize the Board of Directors to fix their remuneration.

By order of the Board
for **Granules India limited**

Place: Hyderabad
Date : 16th October, 2006

N. Madhavi
Company Secretary

NOTES:

1. A Member entitled to attend and vote is entitled to appoint Proxy to attend and vote instead of himself and the Proxy need not be the Member of the Company. The Proxies in order to be effective should be deposited at the Registered Office of the Company not less than 48 hours before the commencement of the Meeting.
2. Members/proxies are requested to duly fill the attendance slips for attending the meeting and bring their copies of the Annual Report to the meeting.
3. In case of joint holders attending the meeting, only such joint holder who is higher in the order of names will be entitled to vote.
4. Members who hold shares in dematerialization form are requested to write their client ID and DP ID numbers and those who hold shares in physical form are requested to write their Folio Number in the attendance slip for attending the meeting.
5. Members are requested to notify immediately any change in their address to the Share Transfer Agents.
6. Closure of register of Members and Dividend payment:
 - a) The Company has already notified closure of Register of Members and Transfer Books thereof from Tuesday, 26th December 2006 to Thursday, 28th December 2006 (both days inclusive) for determining the names of Members eligible for dividend, if approved, on equity shares. In respect of shares held in electronic form, the dividend will be paid on the basis of particulars of beneficial ownership furnished by the Depositories for this purpose.

b) The dividend on equity shares, as recommended by the Board of Directors, if declared at the Annual General Meeting, will be paid on or before 26th January 2007.

c) Members may please note that the Dividend Warrants are payable at par at the designated branches of the Bank printed on reverse of the Dividend Warrant for an initial period of 3 months only. Thereafter, the Dividend Warrant on revalidation is payable only at limited centers/branches. The members are, therefore, advised to en-cash Dividend Warrants within the initial validity period.

7. Payment of Dividend through ECS:

The Company offers the facility of electronic credit of Dividend directly to the respective bank accounts of shareholders, through Electronic Clearing Services (ECS). This facility is currently available at the locations specified in the Mandate form enclosed in this Annual Report.

i) Members holding shares in physical form are advised to submit the Bank mandate particulars of their bank account viz., name and address of the branch of the bank, 9 digit MICR code of the branch, type of account and account number latest by December 20, 2006 to the Company's Registrar and Share Transfer Agent.

ii) In respect of shareholders holding shares in electronic form, the Company will make payment through ECS if the bank account details been furnished by the shareholder to the concerned depository participant with whom the shareholder is maintaining his demat account. In case, so far the bank details have not been furnished to the depository participant or change in the bank particulars already furnished, advised to

submit the same to the depository participant.

8. Non-Resident Indian Shareholders are requested to inform M/s.CIL Securities Limited immediately of:

a) the change in the Residential status on return to India for permanent settlement.

b) the particulars of the Bank Account maintained in India with complete name, branch, account number and address of the Bank, if not furnished earlier.

9. Corporate Members intending to depute their authorized representatives are requested to send a duly certified copy of the Board resolution authorizing their representatives to attend and vote at the Annual General Meeting.

10. M/s.CIL Securities Limited, (214, RAGHAVA RATNA TOWERS, CHIRAG ALI LANE, HYDERABAD - 500 001) acts as the Company's Registrar and Share Transfer Agent for both manual and electronic form of shareholding. All communication relating to shares should be addressed directly to them.

11. Consequent upon the introduction of Section 109A of the Companies Act, 1956, shareholders are entitled to make nomination in respect of shares held by them in physical form. Shareholders desirous of making nominations are requested to send their request in Form 2B (which will be made available on request) to the Registrar and Share Transfer Agent i.e., M/s.CIL Securities Limited.

12. Members desiring to seek any information on the Annual Accounts are requested to write to the Company at an early date to enable compilation of information.



Granules India Limited

8-2-293/A/A/2, Road No. 2, Banjara Hills, Hyderabad - 500 033

Ph. No. 040-2355 3266 • Fax No. 040-2354 7894 • www.granulesindia.com

PROXY FORM

Regd. Folio No.	
*Demat A/c No.	

DP ID No.	
-----------	--

I/We of in the district of being a member/members of the Company, hereby appoint of or failing him/her of in the district of as my/our proxy to vote for me/us on my/our behalf at the 15th Annual General Meeting of the Company to be held at “West Minister Hall”, Hotel Central Court, Lakdi-ka-pul, Hyderabad, on Thursday, the 28th day of December 2006 at 4.00 p.m. and at any adjournment(s) thereof.

Signed this day of 2006

Affix
Re. 15 paisa
Revenue
Stamp

Signature.....

Note: This form, in order to be valid and effective, should be duly stamped, completed, signed and must be deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the meeting.

* Those who hold shares in demat form must quote their Demat A/c No. and Depository Participant (DP) ID. No.



Granules India Limited

8-2-293/A/A/2, Road No. 2, Banjara Hills, Hyderabad - 500 033

Ph. No. 040-2355 3266 • Fax No. 040-2354 7894 • www.granulesindia.com

ATTENDANCE SLIP

Regd. Folio No.	
*Demat A/c No.	

DP ID No.	
No. of Shares held	

I certify that I am a Member/Proxy for the Member of the Company.

I hereby record my presence at the 15th Annual General Meeting of the Company at “West Minister Hall”, Hotel Central Court, Lakdi-ka-pul, Hyderabad, on Thursday, the 28th day of December 2006 at 4.00 p.m.

Member's/Proxy's Name

Signature of Member/Proxy



Granules India Limited

8-2-293/A/A/2, Road No. 2, Banjara Hills, Hyderabad - 500 033
Ph. No. 040-2355 3266 • Fax No. 040-2354 7894 • www.granulesindia.com

ELECTRONIC CLEARING SERVICE (CREDIT CLEARING) MANDATE FORM

Shareholder's authorization to receive dividends through Electronic Credit Clearing Mechanism.

1. Name of the sole/first Shareholder (IN BLOCK LETTERS)	_____
2. Folio No./DP ID No. & Client ID No.:	_____
3. Particulars of Bank Account	
a Name of the Bank	_____
b Branch, Address & Telephone No. of the Branch	_____
c Account No. (as appearing on the cheque book/pass book)	_____
d Account Type (Saving/Current/Cash Credit Account)	_____
e Ledger No./ Ledger Folio No. (if appearing on the cheque book/pass book)	_____
f 9 Digit Code No. of the Bank & Branch appearing on the MICR Cheque issued by the bank.	_____

I hereby declare that the particulars given above are correct and complete. If the transaction is delayed or not effected at all for reasons of incomplete or incorrect information, I will not hold Granules India Limited responsible.

Place:	_____
Date :	Signature of the Sole/First Shareholder

Notes:	
1. Please fill in the Mandate Form and send it to:	details on separate sheets.
i) the Depository Participant who is maintaining your Demat Account in case you hold shares electronically with a copy to the company, in case there are any changes in your bank particulars.	
ii) the Registrar and Share Transfer Agent of the Company, M/s.CIL Securities Limited, 214, Raghava Ratna Towers, Chirag Ali Lane, Hyderabad - 500 001, in case you hold shares in physical form.	
2. Please attach a blank cancelled cheque or photocopy of a cheque. Alternatively, the above particulars may be attested by your bank manager.	4. The information provided by you will be treated confidential and would be utilized only for the purpose of effecting the payments meant for you. You also have a right to withdraw from this mode of payment by providing the Company with an advance notice of 3 weeks.
3. In case of more than one folio/demat account please complete	At present the Reserve Bank of India at the following centres makes the ECS facility available at Ahmedabad, Bangalore, Bhubhaneshwar, Chennai, Chandigarh, Guwahati, Hyderabad, Jaipur, Kolkata, Kanpur, Mumbai, New Delhi, Nagpur, Patna and Trivendrum.
	The members located at other than the above list of centers will continue to receive the dividend warrants with bank particulars, if any, despite ECS mandate.

